Nov 2026 attempt

Ind AS 103 — Business Combinations

Follows ICAI SM Chapter 12 heading by heading (1 Introduction → 17 Carve-in). Every Example, Illustration and TYK with ICAI's answer.

1 Introduction — why Ind AS 103

- → Old Indian GAAP: **AS 14** (Accounting for Amalgamations) + **AS 21** (consolidation) — not in line with global standards. Ind AS 103 is in line with **IFRS 3**.
- → **Business combination** = a transaction in which the **acquirer obtains control of another business** (the acquiree).
- → **Business** = an integrated set of activities and assets capable of being conducted and managed for providing goods or services to customers, generating investment income (dividends, interest) or other income from ordinary activities.

Business combination vs acquisition of a group of assets (SM table)

Particulars	Business combination	Asset acquisition
Intangibles incl. goodwill	Intangibles at **fair value** if separately identifiable; **goodwill recognised** as a separate asset	Intangibles measured by **allocating the overall cost by relative fair values**; **no goodwill**
Transaction costs	Acquisition-related costs **(including stamp duty) expensed**; not part of consideration	**Capitalised** as part of cost of the assets
Deferred tax	**Recognised** on temporary differences of assets acquired (other than goodwill) and liabilities assumed	**Not recognised** — Ind AS 12 para 15 initial-recognition exemption (not a BC; affects neither accounting nor taxable profit)
FV of net assets > consideration	**Bargain purchase gain** → OCI → capital reserve (or directly capital reserve)	Allocated on relative FV → **no gain**
Contingent liabilities	**Recognised** if present obligation from past events and FV reliable; later changes to P&L	**Not recognised**, subject to Ind AS 37

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Illustration 1 (asset acquisition): equipment (FV 500) + patent (FV 1,000) for a product just commercialised, bought for cash ₹1,000 crore + land (FV 400, carrying 100). → Ind AS 103 para 2(b): **not a business**. Cost = FV of consideration given (land FV is the more reliable measure) = **₹1,400 crore**, allocated on relative FV: equipment 500/1,500 × 1,400 = **467**; patent 1,000/1,500 × 1,400 = **933**. Gain on land 400 − 100 = **₹300 crore** to P&L. No goodwill.

2 Scope 2

Applies to a transaction or event that meets the definition of a business combination. Does **not** apply to:

- → (a) the **formation of a joint arrangement** (in the FS of the joint arrangement itself);
- → (b) acquisition of an **asset or group of assets that is not a business** (asset acquisition) — identify and recognise individual identifiable assets (incl. Ind AS 38 intangibles) and liabilities, allocate cost on **relative fair values** at date of purchase; **no goodwill**;
- → (c) combinations of entities or businesses under **common control** → dealt with in **Appendix C** (SM §13);
- → (d) acquisition by an **investment entity** of a subsidiary required to be measured at FVTPL (Ind AS 110).

③ Definition of business combination

→ Occurs when an entity **obtains control of a business** by acquiring its **net assets** or a significant **equity interest**.

→ Control can be obtained **by contract only** — the acquirer acquires neither net assets nor equity → in the balance sheet **controlling interest = 0** and **NCI = 100%**.

Two elements, both required: (1) the acquirer **obtains control** of an acquiree (control as defined in Ind AS 110); and (2) the acquiree is a **business**.

Ways of obtaining control

→ transferring cash, cash equivalents or other assets (incl. net assets that constitute a business)

→ incurring liabilities

→ issuing equity interests

→ providing more than one type of consideration

→ **without transferring consideration**, incl. by contract alone

Legal structures (not limited to)

→ businesses become **subsidiaries**, or their net assets are **legally merged** into the acquirer

→ one entity transfers its net assets / its owners transfer equity to another entity or its owners

→ all entities transfer to a **newly formed entity** (roll-up / put-together)

→ a group of former owners of one combining entity obtains control of the combined entity

④ Definition and elements of business

4.1 Definition B7

→ A business consists of **inputs** and **processes applied to those inputs** that have the ability to contribute to the creation of **outputs**. Businesses usually have outputs, but **outputs are not required**.

→ The entity must gain control of an **integrated set** of assets and activities that is **more than a collection of assets** or of assets and liabilities. A business normally carries out a continuing trade with identifiable revenue — its assets interact with each other and with the **people who operate them**. In some cases it needs judgement.

4.2 Elements of business

Element	Definition	Examples (SM)
(a) Input	Any **economic resource** that creates outputs or has the ability to contribute to the creation of outputs **when one or more processes are applied to it**.	Non-current assets (incl. intangibles or **rights to use** non-current assets), intellectual property, the **ability to obtain access to necessary materials or rights**, and **employees**.
(b) Process	Any **system, standard, protocol, convention or rule** that when applied to an input or inputs creates output or has the ability to contribute to the creation of outputs.	**Strategic management, operational** and **resource management** processes. Typically documented — but the **intellectual capacity of an organised workforce** having the necessary skills and experience, following rules and conventions, may provide the processes. **Accounting, billing, payroll and other administrative systems are typically NOT processes** used to create outputs.
(c) Output	The result of inputs and processes applied to those inputs that **provide goods or services to customers**, generate **investment income** (dividends, interest) or generate **other income from ordinary activities**.	Sales to customers, dividend and interest income.

4.3 Further assessment — the minimum B8 · B12A–B12C

→ *Two essential elements:* ***inputs and processes applied to those inputs.***

→ *An integrated set must include,* ***at a minimum, an input and a substantive process that together significantly contribute to the ability to create output.***

Substantive process?	Conditions (SM 4.3)
(1) No output *at acquisition date*	*Substantive* ***only if*** *— (a) it is* ***critical*** *to the ability to* ***develop or convert*** *an acquired input or inputs into outputs;* ***and*** *(b) the inputs acquired include* ***both*** *an* ***organised workforce*** *that has the necessary skills, knowledge or experience to perform that process,* ***and*** *other inputs that the organised workforce could develop or convert into outputs. Those other inputs could include — (i)* ***intellectual property*** *that could be used to develop a good or service; (ii) other* ***economic resources*** *that could be developed to create outputs; or (iii)* ***rights to obtain access*** *to necessary materials or rights that enable creation of future outputs.*
(2) Has outputs *at acquisition date*	*Substantive if, when applied to an acquired input or inputs, it — (a) is* ***critical to the ability to continue producing outputs,*** ***and*** *the inputs acquired include an* ***organised workforce*** *with the necessary skills, knowledge or experience to perform that process;* ***or*** *(b)* ***significantly contributes*** *to the ability to continue producing outputs* ***and*** *— (i) is considered* ***unique or scarce****; or (ii)* ***cannot be replaced without significant cost, effort, or delay*** *in the ability to continue producing outputs.*

Manpower link: ***no output → organised workforce is compulsory****. Output exists → workforce needed for route (a); route (b) (unique / scarce / hard to replace) works* ***without*** *a workforce.*

4.4 Concentration test B7A–B7C

→ *An* ***optional*** *test that permits a* ***simplified assessment*** *of whether an acquired set is* ***not*** *a business.*

→ ***Test met → not a business → no further assessment.*** ***Test not met → further assessment*** *(4.3) needed.*

→ *Met if* ***substantially all of the fair value of the gross assets acquired*** *is concentrated in a* ***single identifiable asset*** *or* ***group of similar identifiable assets.***

	Conditions for the test (B7B)
(a)	*Gross assets* ***exclude*** *cash and cash equivalents, deferred tax assets, and goodwill resulting from the effects of deferred tax liabilities.*
(b)	*FV of gross assets* ***includes*** *any consideration transferred (plus FV of any NCI and FV of any previously held interest)* ***in excess of*** *the FV of net identifiable assets acquired.*
(c)	*A* ***single identifiable asset*** *includes any asset or group of assets that would be recognised and measured as a single identifiable asset in a business combination.*
(d)	*A tangible asset* ***attached to****, and not physically removable and usable separately from, another tangible asset (or from an underlying asset subject to a lease, Ind AS 116) without significant cost or significant diminution in utility or FV → a* ***single*** *identifiable asset (e.g.* ***land and buildings****).*
(e)	*To judge* ***similar****: consider the* ***nature*** *of each single identifiable asset and the* ***risks*** *of managing and creating outputs from it (risk characteristics).*
(f)	***Not similar:*** *(i) a tangible and an intangible asset; (ii) tangible assets in* ***different classes*** *unless a single asset under (d); (iii) identifiable intangible assets in different classes; (iv) a financial and a non-financial asset; (v) financial assets in different classes; (vi) assets in the* ***same class*** *but with* ***significantly different risk characteristics****.*

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SM notes

1. The test is **optional**; the decision is made **transaction by transaction**.
2. It does **not prohibit** a detailed assessment using the definition of business.
3. **3-step process:** (a) measure FV of gross assets acquired; (b) identify the single identifiable asset or group of similar identifiable assets; (c) if substantially all of (a) is concentrated in (b) → **asset acquisition**; otherwise assess the business definition.

FV of gross assets = (i) FV of consideration (incl. FV of NCI and FV of previously held interest) + (ii) FV of liabilities assumed – (iii) cash & cash equivalents, DTA and goodwill resulting from DTL

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Example 1 (concentration test): A holds 20% of B; buys 50% more for ₹300 crore. FV: building 1,000; cash 200; financial liabilities 800; DTL 150. FV of B 400 → NCI 120 (30%), old 20% stake 80.

(i) 300 + 120 + 80 = **500** · (ii) liabilities excl. deferred tax = **800** · (iii) cash = **200** → gross assets = 500 + 800 – 200 = **1,100**. Building 1,000 / 1,100 = **91%** → substantially all in a single identifiable asset → **asset acquisition**.

"Substantially" is **not defined** in the standard — judgement; ICAI treats **91% as substantial**.

Summary flow chart — business or not? (SM)

1. Inputs and processes acquired? **No** → **asset acquisition.**
2. Outputs exist at acquisition date? **Yes** → is the process critical to continue producing outputs **and** is an organised experienced workforce acquired? Yes → substantive. If No → is the process unique/scarce or not replaceable without significant cost, effort or delay? Yes → substantive; No → asset acquisition.
3. Outputs don't exist? → is the process critical to develop/convert inputs into outputs? No → asset acquisition. Yes → do the inputs include **both** an organised workforce **and** other inputs it could develop/convert? Yes → substantive; No → asset acquisition.
4. Substantive process acquired → **business combination**.

SM Examples 2–7 and Illustrations 2–3

Facts	ICAI conclusion and reason
Ex. 2 — simple business: liquor maker X with workforce (operators, testers, marketing, admin), factory, warehouse, machinery, inventory. Y pays USD 80m for 100%; Y's four executive directors take same roles in X.	**Business.** Trades with assets used by employees in related, integrated activities; input + significant process. Y obtains control on 1 Jan 20X1.
Ex. 3 — development stage entity: D has no revenue; research engineers developing technology with a pending patent; licensing talks advanced; needs funding. Net assets ₹750m; A pays ₹600m for 60%.	**Business.** Employs specialist engineers; viable plan to complete development and start production; can access customers. Also A paid a **premium (goodwill)** — in the absence of evidence to the contrary, D is presumed a business.
Ex. 4 — investment properties: P owns 3 single-tenant warehouses on long leases; maintenance and security **outsourced**; part-time admin employee of former parent **doesn't transfer**.	**Asset purchase.** Activities ancillary to investment property get lower weight; maintenance/security/admin not critical, not unique, easily replaced. (Tested as **PYQ Sep 2025 MCQ 12**, answer: asset purchase.)
Ex. 5 — investment properties: Q owns 3 multi-tenant residential condominiums, short-term rentals, substantial services outsourced; **5 employees** handle tenants, contractors, tenant selection, lease negotiation, rent reviews, marketing.	**Business.** Activities go beyond ancillary; tenant selection, negotiation and rent reviews are **critical** to continue producing outputs.
Ex. 6 — seller keeps some activities: A buys trade, assets, liabilities and workforce of S's operating segments but not payroll/accounting cost centre or head office.	**Business.** Payroll, accounting and admin are not used to create outputs — not essential.
Ex. 7 — shell company: property developer buys a shell company instead of incorporating one.	**Not a business.** Treat like incorporating a new subsidiary; costs per their nature; **no goodwill**.
Illus. 2: pharma company — skilled R&D workforce, patents (IPR), plant with regulatory approval, no revenue, no customer contracts.	**Business.** Workforce, plant, IPR + strategic and operational processes = inputs and processes; lack of revenue irrelevant (presuming access to customers).
Illus. 3: as above but with revenue contracts and a sales force; buyer takes everything **except the sales force**.	**Business** if the missing input (sales force) can be easily replicated or obtained by a market participant; buyer's own sales force (same line of business) can also fill the gap.

5 The acquisition method

1. **Step 1** — Identifying the acquirer. *(Who is the acquirer?)*
2. **Step 2** — Determining the acquisition date. *(When is the business acquired?)*
3. **Step 3** — Recognising and measuring the identifiable assets acquired, liabilities assumed and any NCI. *(Which assets and liabilities? At what value?)*
4. **Step 4** — Recognising and measuring goodwill or a gain from a bargain purchase.

⑥ Identifying the acquiring enterprise

6.1 The acquiring enterprise

→ All business combinations in scope use the **acquisition method** (purchase method). The **acquirer** = the entity that obtains control; the acquiree's assets and liabilities are the ones measured at FV.

→ Control is determined under **Ind AS 110**: an investor controls if and only if it has (a) **power** over the investee; (b) **exposure, or rights, to variable returns**; (c) **ability to use its power to affect** its returns.

→ Control does not depend only on voting rights. Also consider: **potential voting rights**; **rights of non-controlling shareholders**; **other contractual rights** of the investor if **substantive**. (Detail: Ind AS 110 notes.)

→ **Indicators of control:** more than 50% voting rights · power to **appoint and remove the board** · **currently exercisable potential voting rights**.

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Illustration 4 (potential voting rights): P buys 40,000 of X's 1,00,000 shares + option for 25,000 more, exercisable any time in 12 months at a **small premium**. Others hold 35,000 and 25,000, each with currently exercisable options for 2,000. → Options currently exercisable, no conditions; P would hold 65,000/1,25,000 (>50%); even if all options exercised, 65,000/1,29,000 = majority; small premium (slightly out of the money) still gives **economic substance** → **P controls X**.

6.2 Acquisition through cash or incurring liabilities B14

The acquirer is usually the entity that **transfers the cash or other assets or incurs the liabilities**.

6.3 Acquisition through issue of equity B15–B17

The acquirer is usually the entity that **issues its equity** — except in **reverse acquisitions**. Also consider:

	Factor	The acquirer is usually…
a	Relative voting rights after the combination	the entity whose owners as a group retain/receive the **largest portion of voting rights** (consider unusual or special voting arrangements, options, warrants, convertibles)
b	Large minority voting interest (no other significant holder)	the entity whose single owner or organised group holds the **largest minority voting interest**
c	Composition of the governing body	the entity whose owners can **elect, appoint or remove a majority** of the board
d	Composition of senior management	the entity whose (former) management **dominates**
e	Terms of exchange of equity	the entity that **pays a premium** over the pre-combination FV of the other's equity
f	Relative size	the entity whose size (assets, revenues, profit) is **significantly greater**; with more than two entities also consider **who initiated** the combination

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Illustration 5: NewCo Meera issues 100 shares to Veera's and 50 to Zeera's shareholders (relative FVs), voting by shareholding → the acquirer must be **one of the combining entities**; Veera's owners get 67% → **Veera is the acquirer**.

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Examples 8 & 9: (8) larger A issues shares = **20%** of combined capital to B's holders; A's holders keep 80% → **A is acquirer**. (9) smaller A issues 10 shares per B share = **70%** of combined capital to B's holders, and B's management runs the combined entity → **B is the accounting acquirer**; A is the **legal acquirer**. Identification matters because the **accounting acquiree's** net assets are the ones taken at FV.

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Illustration 6: ABC forms Super Ltd., which borrows from a bank at commercial rates and **pays cash** at FV for 100% of Focus; Super can appoint/remove a majority of Focus's board and its management dominates → **Super Ltd. is the acquirer** (key drivers: on whose behalf the NewCo was formed, and what business is acquired).

6.4 Shell company and reverse acquisition B19–B27

- → **Reverse acquisition**: the entity that **issues securities (legal acquirer)** is the **acquiree for accounting**; the entity whose equity is acquired (**legal acquiree**) is the **accounting acquirer**.
- → Typical case: a **private operating company** wants to become public without registering its shares → arranges for a **public entity** to acquire its shares in exchange for the public entity's shares → public entity = legal acquirer but accounting acquiree; private entity = accounting acquirer.
- → The **accounting acquiree must meet the definition of a business**; all Ind AS 103 recognition and measurement principles apply, **including goodwill**.
- → Consideration = acquisition-date FV of the **accounting acquirer's** equity: the number of shares the **legal subsidiary would have had to issue** to give the legal parent's owners the same % of the combined entity.

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Example 9 (reverse acquisition): A (30,000 shares; net assets 1,100) issues 2.5 shares per B share → 1,50,000 shares for B's 60,000. B's holders own 1,50,000/1,80,000 = **83.33%** and 6 of 8 board seats → **B is accounting acquirer**. B's share price ₹105 (A's ₹20). B would have issued 30,000 ÷ 2.5 = **12,000** shares (12,000/72,000 same ratio) × ₹105 = **₹12,60,000**. Goodwill = 12,60,000 − 11,00,000 = **₹1,60,000**.

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Example 11 (new parent pays cash): A spins off B and C; forms D with independent directors; D raises cash from new investors (99%; A keeps 1%) and **pays cash** for 100% of B and C → **D is the acquirer** — it paid cash and its new owners obtained control of B and C from A.

⚠ TRAP

Accounting may change significantly if the **accounting acquirer differs from the legal acquirer**. Always test who really gets control.

⑦ Determining the acquisition date 8–9

- → = the date on which the acquirer **obtains control**. Generally the **closing date** (consideration legally transferred, assets acquired, liabilities assumed) — but it can be **earlier** (written agreement gives control before closing) or **later**. Consider all facts.
- → It decides when consideration, assets, liabilities and NCI are **measured**, and from when the acquiree's results are **consolidated** — it materially affects post-combination earnings.

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Example 12: shareholder agreement 1 Jun; appointed date 1 Apr; **board control 1 Jul**; payment 15 Jul; share transfer 1 Aug → acquisition date **1 July 20X1** (appointed date isn't control).

Illustration	Acquisition date
7 — signed **non-binding letter of intent**; exchange expected within 2 months	**Cannot be used — LOI doesn't transfer control**
8 — binding all-equity deal, effective control 1 Apr; share issue needs shareholder approval on 30 Apr, else **cash**	**1 April** (consideration settled anyway)
9 — talks from 1 Jan; agreement and power on 1 Mar; "effective 1 Jan", profits and price based on 1 Jan	**1 March** — power to direct relevant activities only then
10 — terms agreed; **CCI approval** (substantive) pending	**Not earlier than CCI approval**

⑧ Step acquisitions 41-42

- → Acquisition date = date **control** is obtained. Until then the investment follows **Ind AS 109** (or **Ind AS 28** for associates/JVs).
- → On control: **remeasure the previously held equity interest at acquisition-date FV**; gain or loss in **P&L or OCI, as appropriate**.
- → Amounts earlier recognised in OCI for that interest → recognised on the **same basis as if the interest were disposed of directly**.

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SM example: Fruits Ltd buys 15% of Mango (1 Apr 20X1) → 20% more (5 Apr 20X2) → 65% more (31 Mar 20X3) → total 90% → control (acquisition date) = **31 March 20X3**. Assumption: control comes with total stake unless stated otherwise.

⑨ Determination of the purchase consideration 37-40

- → Measured at **fair value** = total of acquisition-date FVs of **assets transferred (incl. cash)** + **liabilities incurred to former owners** of the acquiree + **equity interests issued** by the acquirer (+ **contingent consideration**).
- → Forms: cash, other assets, a business or subsidiary of the acquirer, contingent consideration, ordinary or preference equity instruments, options, warrants, member interests of mutual entities.
- → **Exception to FV:** the portion of the acquirer's **share-based payment awards exchanged** for acquiree employees' awards that is included in consideration → measured under **Ind AS 102**.
- → **Non-monetary assets transferred** (carrying amount ≠ FV): remeasure to FV at acquisition date; gain/loss in **P&L**. E.g. land given to the acquiree's owners → land's FV is consideration; derecognise land; difference to P&L.
- → **But** if the transferred assets/liabilities **remain within the combined entity** (transferred to the acquiree, not its former owners) → acquirer keeps control → measure at **carrying amounts**, **no gain/loss**. They still affect NCI and goodwill.

Purchase consideration = FV of assets transferred (incl. cash) + liabilities incurred to former owners + equity interests issued + contingent consideration

9.1 Business combination achieved in stages (step acquisition)

- → Acquirer held an equity interest immediately before the acquisition date. **Example 13:** A holds 35% of B on 31 Dec 20X1 and buys 40% more → control → step acquisition.
- → Remeasure previously held interest at acquisition-date **FV**; gain/loss in **P&L**.
- → If the old interest was designated **FVOCI** (Ind AS 109 / 27): once elected, all gains/losses stay in OCI even on sale → remeasurement gain/loss goes to **OCI**.
- → A party to a **joint operation** that obtains control of the joint operation business → business combination in stages → remeasure its previously held interest at FV.

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Illustration 11: PQR buys 30% of XYZ for ₹8,000 crore (equity method). Year 1: share of P&L 700, FCTR in OCI 100, revaluation reserve in OCI 50 → carrying amount **8,850**. Then buys 70% for **₹25,000 crore**; FV of the 30% = **9,000**; FV of net assets **30,000**.

Goodwill = 25,000 + 9,000 − 30,000 = **4,000**. Gain on old stake = 9,000 − 8,850 = 150 + FCTR recycled 100 = **250 to P&L**. Revaluation reserve 50 → **retained earnings** (Ind AS 16: not reclassified to P&L).

Entry: Dr Net assets 30,000 · Dr Goodwill 4,000 · Dr FCTR 100 · Dr Revaluation reserve 50 · Cr Cash 25,000 · Cr Investment in associate 8,850 · Cr Retained earnings 50 · Cr Gain (P&L) 250.

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SM TYK 5: 5% held at FVOCI (cost 1,00,000; FV 1,05,000; ₹5,000 in OCI), then buys 95% → the ₹5,000 **stays in OCI** (not recycled under Ind AS 109); investment already at FV, so no remeasurement; FV 1,05,000 + consideration for 95% go into goodwill.

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SM TYK 1 (full acquisition method): A holds 25% of B (equity-method carrying ₹6,00,000; FV ₹20,00,000); buys 65% more on 1 Nov → 90%. Cash 59,00,000 + 1,00,000 shares × ₹10 + contingent consideration (FV) 3,00,000 + old stake 20,00,000 = **92,00,000**. Costs ₹1,00,000 → **P&L**. NCI at FV 7,50,000. Net assets 60,00,000 → **goodwill 39,50,000**. Gain on old stake 20,00,000 − 6,00,000 = **14,00,000 to P&L**.

9.2 Business combination without transfer of consideration 43–44

- (a) The acquiree **repurchases enough of its own shares** for an existing investor to obtain control.
- (b) **Minority veto rights lapse** that had kept the majority holder from controlling.
- (c) Acquirer and acquiree combine **by contract alone** — no consideration, no equity interest held now or before (e.g. **stapling arrangement**, **dual listed corporation**).
- By contract alone: attribute the acquiree's net assets to its owners → **NCI**, even if **all** of the acquiree's equity is NCI. Goodwill uses the **FV of the acquirer's interest** in place of consideration.

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Illustration 12 (contract alone): Sita (FV 100) and Beta (FV 80; net assets 70) form a DLC; Sita gets 6 of 10 board seats → **Sita acquirer**. Part A: consideration nil + interest in acquiree (NCI at FV) 80 + old interest nil; Part B: net assets 70 → **goodwill ₹10 crore**.

9.3 Direct cost of acquisition 53

- **Not** part of consideration: finder's fees, due diligence, accounting, legal, investment banker fees, **even bonuses to employees for a successful acquisition**; advisory, valuation, other professional or consulting fees; general admin costs incl. an internal acquisitions department.
- Expensed in the period the costs are incurred and services received — **one exception**: costs to issue **debt or equity** → Ind AS 32 / Ind AS 109.
- The para 53 list is **inclusive**, only indicative.

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Illustration 13 — stamp duty on land acquired in a business combination → **acquisition-related cost, expense** in the period the acquisition is completed. It is not part of the FV exchange and doesn't increase future benefits (assets are at FV). Separate PPE purchase under Ind AS 16 would capitalise it.

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Illustration 14 — one-time payment to the regulator to transfer a wireless spectrum licence acquired with PQR → **transaction cost, expense**. Transfer of rights is integral to the business combination. (Bought separately, Ind AS 38 would capitalise it.)

9.4 Contingent consideration 39-40 · 58

- → Consideration includes any asset or liability from a **contingent consideration arrangement** → recognise its **acquisition-date FV** as part of consideration.
- → Classify an obligation to pay as **liability or equity** using **Ind AS 32** definitions (or other Ind AS). A right to the **return** of previously transferred consideration → **asset**.
- → FV measured on the acquisition date. Direct costs → P&L, never in consideration.

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Example 14: extra ₹20m cash if targets met; FV at acquisition ₹15m → **financial liability** (variable cash) → increases goodwill. Later targets become less likely → **remeasure liability; change to P&L**.

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SM TYK 10: 10 lakh shares now (FV ₹20) + **2 lakh more shares** after one year if PBIT > ₹1 crore; FV of contingent consideration ₹25 lakh. → fixed number of shares → **equity**; consideration 2,00,00,000 + 25,00,000 = **2,25,00,000**; when target met and share price is ₹25, **no remeasurement** (equity). Variant: shares of a **variable number worth ₹40 lakh** → **financial liability** at ₹25 lakh → remeasured to ₹40 lakh → **₹15 lakh loss in P&L**.

10 Purchase price allocation

10.1 Recognition of assets and liabilities of the acquired entity 10-17

At the acquisition date recognise, **separately from goodwill**, the identifiable assets acquired, liabilities assumed and any NCI. The most important principle: recognise and measure **all** assets and liabilities acquired on the acquisition date.

10.1.1 Recognition conditions

- → Must meet the definitions of assets and liabilities in the **Framework for the Preparation and Presentation of FS** (not the 2021 Conceptual Framework) at the acquisition date. E.g. costs the acquirer **expects but is not obliged** to incur to exit an activity, terminate or relocate employees → **not liabilities** → post-combination expense under other Ind AS.
- → Record only assets and liabilities that are **part of the business combination deal**; other items follow other Ind AS.
- → Acquirer may record items the acquiree **never recorded** — internally developed brand name, patent, customer relationship.
- → **Classification and designation** on conditions at the **acquisition date**: financial assets/liabilities (FVTPL / amortised cost / FVOCI), hedge designation, separation of embedded derivatives (Ind AS 109).
- → **Only exception:** lease contracts where the **acquiree is lessor** (operating vs finance) → classified on **conditions at inception**, not reassessed — unless modified at that date.

10.2 Measurement principle 18–19

→ Identifiable assets and liabilities at **acquisition-date fair values**.

→ **NCI** — components that are **present ownership interests** entitling holders to a proportionate share of net assets on liquidation: at **fair value**, or at the present ownership instruments' **proportionate share of the recognised identifiable net assets**. All other NCI components at acquisition-date **fair value**, unless another Ind AS requires otherwise.

10.2.1 Exceptions to the recognition or measurement principle 21–31A

Limited to **acquisition-date accounting**. Result: (1) an item that otherwise would not be recorded **gets recorded**; or (2) items are measured at a value **other than FV**.

Item	Guidance under Ind AS 103 (SM)
Contingent liability (recognition exception)	Ind AS 37 definition: (a) a **possible** obligation from past events confirmed only by uncertain future events not wholly within the entity's control; or (b) a **present** obligation not recognised because outflow is not probable or amount can't be measured reliably. **Ind AS 37 doesn't apply** at acquisition: recognise a contingent liability assumed if it is a **present obligation from past events and its FV can be measured reliably — even if outflow is not probable**.
Income taxes	Recognise and measure DTA/DTL from assets acquired and liabilities assumed under **Ind AS 12**; account for tax effects of temporary differences and carry-forwards of the acquiree existing at, or arising from, the acquisition (initial-recognition exemption does not apply to a BC).
Employee benefits	Post-retirement obligations under **Ind AS 19** — exception to the FV rule.
Indemnification assets	Seller indemnifies the acquirer for the outcome of a contingency (e.g. losses above a specified amount) → acquirer gets an indemnification asset, recognised **at the same time** and **on the same basis** as the indemnified item, subject to valuation allowance for uncollectible amounts.
Reacquired rights	Rights the acquirer had granted to the acquiree to use its assets (recorded or not) — brand licence, franchise. BC settles the right → any settlement gain/loss is a **separate transaction**. Measure the intangible on the **remaining contractual term**, ignoring potential renewals.
Intangible assets	Record separately from goodwill if identifiable — **separability** or **contractual-legal** criterion (10.3).
Share-based payment	Acquiree's awards, or their replacement by the acquirer's awards → **Ind AS 102 method** at the acquisition date.
Assets held for sale	Non-current asset / disposal group classified HFS at acquisition date → **Ind AS 105**: FV less costs to sell.
Insurance contracts	Groups of contracts in Ind AS 117 scope (and assets for insurance acquisition cash flows) → **Ind AS 117**.
Leases — acquiree is lessee	Recognise ROU assets and lease liabilities (Ind AS 116); not required for leases ending **within 12 months** of acquisition date or **low-value** assets. Lease liability = **PV of remaining lease payments** as if a new lease at acquisition date. ROU asset = **same amount** as lease liability, adjusted for **favourable/unfavourable** terms vs market.
Leases — acquiree is lessor	Take the lease terms into account in the asset's FV; **no separate asset or liability** for favourable/unfavourable operating lease terms.
Assembled workforce	Not identifiable → value **subsumed into goodwill**. It is the existing collection of employees, not their intellectual capital.

Contingent liability outcome	Ind AS 37	Business combination
Possible obligation	Not recognised	Not recognised
Present obligation, outflow **not probable**	Not recognised	**Recognised if reliably measured**
Present obligation, probable, **can't be measured reliably**	Not recognised	Not recognised

SM chart: **Recognition exception** = contingent liabilities · **Recognition + measurement** = income taxes, employee benefits, indemnification assets, leases (acquiree lessee) · **Measurement only** = share-based payment, assets held for sale, reacquired rights (+ insurance contracts).

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Example 15: suit for ₹10m disclosed by B as a contingent liability (present obligation, not probable); FV ₹2m → A recognises **₹2m** in acquisition accounting.

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Example 16: B sued for ₹250; seller reimburses losses **above ₹100**; present obligation, FV 250 → liability **250** + indemnification asset **150**.

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Illustration 15: suit for ₹2 crore; seller indemnifies up to ₹1 crore; FV of liability ₹70 lakh → liability 70 lakh + indemnification asset 70 lakh; **net nil effect on goodwill**. If FV were ₹1.2 crore → asset **limited to ₹1 crore**.

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Illustration 16: 10 class actions; seller indemnifies up to ₹10 crore; liability can't be measured reliably → no liability → **no indemnification asset**.

10.3 Intangible assets B31–B34

Recognise separately from goodwill if the item meets the **definition of an asset** and is **identifiable** by either criterion:

10.3.1 Contractual-legal criterion

→ Identifiable **even if not transferable or separable**.

→ (a) Licence to operate a **nuclear power plant** → meets the criterion even if it can't be sold apart from the plant; may be combined with the plant as a single asset if useful lives are similar.

→ (b) A **technology patent** licensed to others outside the domestic market for a % of revenue → both the patent and the licence agreement meet the criterion even if selling them separately isn't practical.

10.3.2 Separability criterion

→ Capable of being separated and **sold, transferred, licensed, rented or exchanged**, individually or with a related contract, asset or liability.

→ Met **even if the acquirer doesn't intend** to sell/license it; evidence of exchange transactions for that type of asset (even infrequent, even not involving the acquirer) is enough.

→ **Example 17:** customer and subscriber lists are frequently licensed → separable — **unless** confidentiality or other agreements prohibit selling or exchanging customer information.

→ Separable **with a related item**: (a) **depositor relationship** intangible exchanged with deposit liabilities → recognise separately; (b) **registered trademark + documented unpatented technical expertise** — expertise must be sold with the trademark → separable.

Sources for spotting intangibles (SM)

→ **Acquiree's FS:** significant **R&D cost** → technology intangibles · significant **sales promotion / marketing cost** → marketing intangibles (distributor network, collaterals) · **customer acquisition cost** (incentives to register first-time users / app downloads) → customer list.

→ **Share purchase agreement** → technical know-how, trademarks, patents named in it.

→ **Purpose of acquisition** → e.g. Coca-Cola bought Thums Up intending to close the brand to raise market share — still a possible intangible.

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Illustration 17: FMCG A buys e-commerce E with 10 million registered users; E has no intention to sell the list → no legal/contractual right, but **separable** (useful to others, E can transfer it); intention irrelevant → **recognise customer list**.

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Illustration 18: pharma XYZ has two drugs in clinical trials — one awaiting approval (expected in 2 years), one approved. Ind AS 38.33: probability and reliable-measurement criteria are **always satisfied** for intangibles acquired in a BC; IPR&D is recognised if it meets the asset definition and is identifiable → **both recognised**; the probability of approval is reflected in FV. Later expenditure → Ind AS 38 paras 43, 54–62. (Internal research could never be capitalised.)

10.3.3 Assembled workforce and other items not identifiable

→ **Assembled workforce** — existing collection of employees allowing the business to operate from the acquisition date → not identifiable → **goodwill**.

→ **Potential contracts** being negotiated with prospective customers → not assets at acquisition date → **goodwill**; don't reclassify later for post-acquisition events (but check events shortly after acquisition to see if an intangible existed at the date).

→ After initial recognition → Ind AS 38. Identifiability decides recognition only; FV uses market-participant assumptions, e.g. **expected contract renewals** (renewals need not themselves be identifiable).

10.4 Reacquired rights 29 · B35–B36

→ A right the acquirer had granted to the acquiree to use the acquirer's recognised or unrecognised assets (trade name under a franchise; technology under a licence) → **identifiable intangible**, separate from goodwill.

→ If the contract is **favourable or unfavourable** vs current market terms → recognise a **settlement gain or loss**.

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Illustration 19: Vadapav buys its franchisee Efficient; licence at **current market terms** → reacquired right recognised as an intangible; **no gain/loss**.

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Illustration 20: ABC pays ₹1 crore for PQR. Four years ago it gave PQR a 10-year licence for ₹2,50,000; termination costs unexpired fee + 20% = **₹1,80,000**; a new 6-year licence would fetch **₹4,50,000**. Licence recognised at **₹4,50,000**. Loss = lower of (i) unfavourable amount 4,50,000 − 1,50,000 = 3,00,000 and (ii) settlement 1,80,000 = **₹1,80,000**. So of ₹1 crore, **₹98.2 lakh** is consideration; ₹1,80,000 is a separate settlement loss.

10.5 Goodwill — recognition and measurement 32–33

Goodwill = (a) [i. consideration at acquisition-date FV + ii. NCI (Ind AS 103) + iii. FV of previously held interest (step acquisition)] − (b) net identifiable assets (Ind AS 103 amounts)

→ Only **equity exchanged** and the acquiree's equity FV is **more reliable** → use the acquiree's equity FV instead.

→ **No consideration** → use the acquisition-date FV of the acquirer's interest in the acquiree.

10.6 Bargain purchase 34-36

→ Extremely rare: net assets acquired **exceed** the consideration (+ NCI + old stake).

→ **Clear evidence** of the reason → gain in **OCI** on the acquisition date, accumulated in equity as **capital reserve**. **No clear evidence** → **directly in equity as capital reserve**.

→ Gain attributed to the **acquirer — no allocation to NCI**.

→ Examples of reasons: **forced sale** (seller under compulsion), bankruptcy sale, sale due to a regulatory requirement.

→ Before recognising: confirm clear evidence of the reason; **reassess** whether all assets and liabilities are identified (recognise any found); **review the measurement** of (i) identifiable assets and liabilities, (ii) NCI, (iii) previously held interest, (iv) consideration — to reflect all information available at the acquisition date.

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Example 18: UK competition authority orders X to sell a division of Y's UK assets within a deadline; boutique Z buys it → **more likely than not a bargain purchase** (seller under compulsion).

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Illustration 21: A buys 80% of B for ₹15 crore; sellers had to dispose by a deadline. Net assets ₹20 crore; NCI FV ₹4.2 crore → 20 − 19.2 = **₹80 lakh** → (clear evidence) **OCI** → **capital reserve**. With proportionate NCI: NCI 4 crore → gain **₹1 crore**.

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SM TYK 6: 70% for ₹5 million; NCI proportionate; net assets ₹10 million → NCI 3m → gain 10 − 8 = **₹2 million**. **SM TYK 8:** Alpha buys 80% of Beta for ₹300 (seller legally compelled); assets 500, liabilities 100; NCI FV 84 → 400 − 384 = **₹16** → OCI → capital reserve.

10.7 Measurement period 45-50

→ If information is incomplete at the reporting date, do the purchase price allocation on a **provisional** basis.

→ During the period: **retrospectively adjust** provisional amounts for new information about **facts and circumstances that existed at the acquisition date**; also recognise **additional** assets/liabilities. Adjust against **goodwill**.

→ Ends when the information is received or learned unobtainable — **never more than one year** from acquisition date.

→ Covers: identifiable assets, liabilities and NCI; consideration (or other amount used for goodwill); previously held interest; resulting goodwill or bargain gain.

→ After the period: changes for information that existed at the date → **error under Ind AS 8**. Conditions that did **not** exist at the date → other Ind AS (P&L).

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Illustration 22: DTA on Y's carried-forward losses not recognised at acquisition (no convincing evidence); a year later Y wins a big contract → DTA recognised then → **change of estimate, no goodwill adjustment**.

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Illustration 23: claim recognised at ₹1 crore at acquisition (15 Jan 20X1). Oct 20X1 (within period) new info → FV at acquisition ₹2 crore → **+₹1 crore liability, +₹1 crore goodwill**, comparatives restated and disclosed. Feb 20X2 (after period) FV revised to ₹1.9 crore → **no adjustment**; Ind AS 37 amount ₹2.2 crore → **₹20 lakh to P&L**.

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SM TYK 3: Bank F buys Bank E (Oct). Scenario 1: Dec — borrower's results for the year to 30 Sep (before acquisition) show lower income → loan FV lower at acquisition → **adjust provisional amount, increase goodwill**. Scenario 2: borrower loses a major customer after acquisition → **new event** → **P&L**, not goodwill.

10.8 Determining what is part of the business combination transaction 51-53 · B50-B53

→ The parties may have a **pre-existing relationship** or an arrangement made **during negotiations** that is separate from the combination. Identify amounts that are **not part of the exchange for the acquiree**. Apply the acquisition method only to consideration transferred and assets/liabilities exchanged for the acquiree; account for **separate transactions under the relevant Ind AS**.

→ A transaction entered by or for the **acquirer** or primarily for the benefit of the acquirer or combined entity (not of the acquiree or its former owners) is likely **separate**.

Examples of separate transactions

· settling **pre-existing relationships** between acquirer and acquiree · · **remunerating employees or former owners** of the acquiree for **future services** · · **reimbursing** the acquiree or its former owners for paying the **acquirer's acquisition-related costs**.

Factor (not mutually exclusive, not individually conclusive)	How it helps
I. Reasons for the transaction	Arranged primarily for the benefit of the **acquirer / combined entity** → that portion is less likely part of the exchange → account separately.
II. Who initiated it	Initiated by the **acquirer** → likely for its future benefit, little benefit to acquiree/former owners → separate. Initiated by the **acquiree or former owners** → more likely part of the combination.
III. Timing	Entered **during negotiations** in contemplation of the combination to benefit the acquirer → likely separate.

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Illustration 24: Progressive had recognised a ₹10m liability for a patent suit by Regressive; then buys Regressive for ₹500m; FV of expected settlement ₹20m → litigation **settled by the combination**: ₹20m treated as paid to settle the claim (purchase price for the business = ₹480m); **₹10m loss on settlement** in Progressive's P&L.

Pre-existing relationship (SM summary)	Settlement measured at	Where
Non-contractual (lawsuit)	Fair value	P&L, not goodwill
Contractual (supply agreement)	Lesser of (i) favourable/unfavourable amount vs market and (ii) stated settlement provision. If (ii) < (i), the difference is part of the business combination accounting. (Unfavourable ≠ onerous.)	
Reacquired right (franchise)	Intangible at FV on remaining contractual term (no renewals) → **capitalised and amortised**; settlement gain/loss as above	Asset + P&L

10.9 Contingent payments to employees or selling shareholders B54-B55

Whether they are contingent consideration or a separate transaction depends on the nature of the arrangement — look at **why** the provision exists, **who initiated** it and **when**. If unclear, use these indicators:

Indicator	Consideration vs remuneration
(a) **Continuing employment**	Payments **automatically forfeited if employment terminates** → **remuneration** for post-combination services. Not affected by termination → may be additional consideration.
(b) **Duration** of continuing employment	Required employment period **coincides with or is longer than** the contingent payment period → may be remuneration.
(c) **Level of remuneration**	Other pay **reasonable** vs other key employees → contingent payments may be additional **consideration**.
(d) **Incremental payments** to employees	Non-employee sellers get **less per share** than sellers who become employees → the **incremental** amount is remuneration.
(e) **Number of shares owned**	Sellers who owned **substantially all** shares stay as key employees → may be profit-sharing (remuneration). Stayers own **few** shares and all sellers get the **same per share** → consideration. Consider shares of related parties (family).
(f) **Linkage to valuation**	Initial price at the **low end** of the valuation range and the formula relates to that valuation → **consideration**. Formula consistent with **prior profit-sharing** → remuneration.
(g) **Formula**	**Multiple of earnings** → consideration (establishes/verifies FV of acquiree). **Specified % of earnings** → profit sharing → remuneration.
(h) **Other agreements and issues**	Non-competes, executory or consulting contracts, property leases and tax treatment. E.g. lease from a selling shareholder at **significantly below market** → part of the contingent payments is really **rent**, recognised post-combination; at market rent → contingent consideration.

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Illustration 25: KKV buys 100% of VIVA (owner is KMP) for USD 20m + USD 2m after 2 years if EBITDA margin is 21% **and** the owner stays 2 years (nothing paid otherwise) → consideration **USD 20m only**; USD 2m = **employee cost**.

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Illustration 26: 3 equal shareholders, 2 are senior employees who stay. Employee-shareholders get ₹60,00,000 each + ₹1.5–2 crore based on a **multiple of earnings** over 2 years, **forfeited if they leave**; non-employee shareholders get ₹1,00,00,000 each; salaries reasonable → the ₹1.5–2 crore is **post-combination remuneration** (BSS(a)); only **₹60,00,000** each is consideration.

10.10 Acquirer share-based payment awards exchanged for acquiree employees' awards B56–B62

- → Replacement awards may cover **vested and unvested** awards; accounted as **modifications** under Ind AS 102.
- → If the acquirer replaces acquiree awards, all or part of the **market-based measure** (remeasured on acquisition date under Ind AS 102) of the replacement awards is included in **consideration**.
- → Acquiree awards would **expire** on the combination and the acquirer replaces them **without being obliged** → **all** of the market-based measure is **post-combination remuneration**; none in consideration. The acquirer is **obliged** if replacement is required by (a) the acquisition agreement, (b) the terms of the acquiree's awards, or (c) laws or regulations (i.e. the acquiree or employees can enforce it).
- → Measure both replacement and acquiree awards at the acquisition date (Ind AS 102).

Pre-combination portion (→ consideration) = market-based measure of ACQUIREE award × vesting period completed ÷ greater of (total vesting period, original vesting period)

Post-combination portion (→ remuneration cost) = market-based measure of REPLACEMENT award – pre-combination portion

- → Any **excess** of replacement over acquiree award measure → post-combination remuneration.
- → Attribute a portion to post-combination service if **post-combination service is required**, even if employees had completed all service for the acquiree awards.
- → Both portions reflect the **best estimate of awards expected to vest**. **Example 19:** pre-combination measure ₹100, 95% expected to vest → **₹95** in consideration.
- → Later changes in expected vesting / forfeitures, modifications, outcomes of performance conditions → **remuneration cost** of that period (not consideration).
- → Same rules whether the award is **liability or equity**-classified; liability-award remeasurements after acquisition → post-combination FS. Income tax effects → **Ind AS 12**.

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Illustration 27: original vesting 5 years, 2 served; replacement vests in 2 more years (total 4); original award ₹500, replacement ₹600 → pre-combination = 500 × 2 ÷ greater of (5, 4) = **₹200** → consideration. Post-combination = 600 − 200 = **₹400** → expense over 2 years.

10.11 Non-replacement awards

- → Acquiree awards **not exchanged** by the acquirer → settled in the acquiree's own shares → those holders become **NCI**.
- → **Vested** → part of **NCI** at market-based measure (the share-based payment reserve is classified as NCI).
- → **Unvested** → market-based measure as if acquisition date were grant date; **pre-combination** portion (ratio as above) → **NCI**; the balance → **employee cost** over remaining vesting, credited to **NCI**.

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Illustration 28: Q's award vests after 5 years; 2 served; P doesn't replace it but cuts the remaining period from 3 to 2 years; measure ₹500 → **₹200 to NCI** (500 × 2/5, original vesting period); **₹300** expensed over 2 years.

10.12 Non-controlling interest in an acquiree 19 · B44–B45

- → NCI may be measured at **fair value** — from a **quoted price** in an active market for the shares not held by the acquirer, or other valuation techniques.
- → Per-share FV of the acquirer's interest and of NCI may **differ**: **control premium** in the acquirer's, or **discount for lack of control** (NCI discount) in NCI's.

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Illustration 29: Classic buys 60% of Natural for ₹97.5 crore; net assets FV 150; FV of the 40% NCI 65; carrying net assets 120 (irrelevant). **(a) FV method:** Dr Net assets 150, Dr Goodwill **12.5** · Cr NCI 65, Cr Investment 97.5 (goodwill = FV of Natural 162.5 − 150). **(b) Proportionate:** NCI 40% × 150 = 60 → goodwill **7.5** (= 97.5 − 60% × 150).

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SM TYK 4: 90% of B for ₹85 crore in a distress sale; NCI FV ₹15 crore; net assets ₹100 crore → NCI = **₹15 crore** (FV) or **₹10 crore** (10% × 100).

11 Subsequent measurement and accounting 54–58

Generally **other Ind AS** apply after the acquisition date. Ind AS 103 gives specific guidance for four items:

Item	After acquisition
11.1 Reacquired rights	Amortise over the **remaining contractual period** of the contract that granted the right. If later sold to a third party, include its carrying amount in the gain/loss on sale.
11.2 Contingent liabilities	Until settled, cancelled or expired: **higher of** (a) the Ind AS 37 amount and (b) the amount initially recognised less cumulative income recognised under Ind AS 115 principles, if appropriate.
11.3 Indemnification assets	Each reporting date: **same basis** as the indemnified item, subject to **contractual limits** and (if not at FV) **collectability**. Derecognise only when **collected, sold** or the right is **lost**.
11.4 Contingent consideration	Changes from new info about **facts existing at acquisition date** (within the measurement period) → **goodwill**. Changes from **post-acquisition events** (earnings target met, share price reached, R&D milestone) are not measurement-period adjustments: (a) **equity**-classified → **not remeasured**; settlement within equity; (b) other — within Ind AS 109: FV each reporting date, changes in **P&L**; outside Ind AS 109: FV each reporting date, changes in **P&L**.

12 Disclosures B9–B63 · B64–B67

Objective: let users evaluate the **nature and financial effect** of business combinations (a) **during** the period, or (b) **after** the period end but before FS are approved. For **each** combination in the period:

a	name and description of the acquiree	j	each contingent liability recognised (Ind AS 37 para 85); if not recognised for lack of reliable FV — Ind AS 37 para 86 info + reasons
b	acquisition date	k	total goodwill expected to be **tax-deductible**
c	% of voting equity acquired	l	separate transactions: description, accounting, amounts and line items; method for settling a pre-existing relationship
d	primary reasons and how control was obtained	m	**acquisition-related costs**: total, amount expensed and line items; issue costs not expensed and how recognised
e	qualitative factors making up **goodwill** (synergies, unrecognisable intangibles, other)	n	**bargain purchase**: gain in OCI; gain directly in equity; reasons (for the OCI case)
f	acquisition-date FV of total consideration and each class: cash; other assets incl. a business/subsidiary; liabilities incl. contingent consideration; equity interests (number and FV method)	o	less than 100% acquired: **NCI** amount and basis; for FV-measured NCI the valuation techniques and inputs
g	**contingent consideration and indemnification assets**: amount recognised; description and basis; range of outcomes (undiscounted), or why not estimable; unlimited maximum → say so	p	**stages**: FV of the old stake immediately before; gain/loss on remeasurement and its line item
h	**acquired receivables**: FV; gross contractual amounts; best estimate not collectable — by major class	q	acquiree's **revenue and profit since acquisition**; combined entity's revenue and profit **as if acquired at the start** of the year (impracticable → say why)
i	amounts for each **major class of assets and liabilities**		Acquired after period end and accounting incomplete at approval → state which disclosures can't be made and why.

SM §10.8–12

Adjustments in the period (each material combination, or aggregated if individually immaterial)

- (a) **Provisional** accounting: reasons it is incomplete; items affected; nature and amount of measurement-period adjustments.
- (b) **Contingent consideration** until settled/expired: changes in recognised amounts (incl. on settlement); changes in range and reasons; valuation techniques and key inputs.
- (c) **Contingent liabilities** recognised: Ind AS 37 paras 84–85 by class.
- (d) **Goodwill reconciliation**: opening gross amount and accumulated impairment; additions (except HFS on acquisition); adjustments for later DTA recognition; goodwill in HFS disposal groups and derecognised; impairment losses (Ind AS 36); net exchange differences (Ind AS 21); other changes; closing gross and accumulated impairment.
- (e) Amount and explanation of any material **gain or loss** in the period relating to assets/liabilities of a combination of this or the previous period.

13 Common control transactions including merger Appendix C

13.1 Definitions

→ **Transferor** — entity or business combined into another entity as a result of a business combination.

→ **Transferee** — entity in which the transferor is combined.

→ **Reserve** — portion of earnings, receipts or other surplus (capital or revenue) appropriated by management for a general or specific purpose, **other than provision for depreciation**.

→ **Common control business combination** — involving entities or businesses that are all **ultimately controlled by the same party or parties both before and after** the combination, and that control is **not transitory**.

13.2 Common control business combinations

→ Includes transfers of subsidiaries or businesses **between entities within a group**.

→ **Extent of NCI is not relevant** — a partly-owned subsidiary is still controlled by the parent.

→ Controller may be an **individual** or a **group of individuals acting together under a contractual arrangement**, who need not follow Ind AS — combining entities **need not be in the same consolidated FS**.

→ A group of individuals controls when, **as a result of contractual arrangements**, they collectively have power to govern financial and operating policies to obtain benefits, and that collective power is not transitory.

→ Usually a **group reorganisation** where direct ownership changes but the ultimate parent stays the same.

Judgement needed on:

- **Transitory** — not defined; meant to apply Ind AS 103 acquisition accounting where a **substantive change in control** is structured so the entity is briefly under common control before and after. Not transitory merely because the combination is done in contemplation of an **IPO** or sale.
- Two or more individuals — do they control **collectively under a contractual agreement**?

→ **Examples:** merger between fellow subsidiaries · merger of subsidiary with parent · acquisition of an entity from an entity within the same group · bringing entities under common control into a corporate legal structure.

Illustration	ICAI conclusion
30 — ultimate parent X reorganises retail: subsidiary Z acquires X's holding in subsidiary Y by issuing its own shares to X	**Business combination under common control — X controls both before and after; no change from X's perspective**
31 — B, C, D, E hold 25% each in ABC and XYZ; B, C, D have a **shareholders' agreement** giving joint control	**Common control (group of individuals, contractual arrangement)**
32 — same holdings, **no agreement** to vote jointly	**Not common control — even with an established pattern of voting together**
33 — ABC buys Y on 1 Apr; transfers Y to its subsidiary X on 2 Apr	**In X's CFS: X is the acquirer → acquisition accounting. Placing Y briefly under ABC doesn't avoid it — X would have applied acquisition accounting if it bought Y directly ("transitory")**
35 — A owns B; forms new subsidiary C, funded by a loan, which pays ₹2,00,000 cash for B (FV net assets 1,50,000; carrying 1,00,000)	C **cannot be the acquirer**; C isn't a business; it's a **reorganisation of B** → B's assets and liabilities in C's CFS at **pre-combination carrying amounts**, no FV uplift
TYK 7 — A (owned by individuals, no collective agreement) and B (Mr. Ram). B issues 40% new shares to Ram, who passes them to A's owners for A → Ram "controls" both (100% A, 71.42% B)	**Not common control — Ram's control of A was transitory. B obtains control of A → acquisition accounting**

13.3 Method of accounting — pooling of interests App C · 8–12

1. Assets and liabilities of the combining entities at their **carrying amounts**.
2. **No adjustments to reflect fair values**, no new assets or liabilities. **Only adjustment: harmonise accounting policies.**
3. Prior-period financial information **restated** as if the combination occurred from the **beginning of the earliest period presented**, irrespective of the actual date. If the combination (common control) occurred after that date, restate **only from that date**.

→ Consideration may be securities, cash or other assets. **Securities at nominal value**; assets other than cash at **fair value**.

→ Transferor's **retained earnings** are aggregated with the transferee's — or transferred to **General Reserve**, if any.

→ **Identity of reserves preserved**: transferor's General Reserve → transferee's General Reserve; Capital Reserve → Capital Reserve; Revaluation Reserve → Revaluation Reserve. So reserves distributable before stay distributable after.

Capital reserve = (Share capital issued + additional consideration in cash/other assets) − Share capital of transferor → present separately from other capital reserves; disclose nature and purpose

Acid test: **the same shareholders control the entity before and after** the reorganisation.

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Illustration 34: (a) XYZ acquires PQR on 1 Oct 20X9 (year end 31 Mar), both controlled by the same shareholders since incorporation → restate comparatives for 20X8-X9 as if acquired **before 1 April 20X8**; current year includes the other entity from 1 Apr 20X9. (b) ABC acquires DEF on 1 Oct 20X9; shareholder A invested in DEF only on **1 Oct 20X8** → restate comparatives **from 1 Oct 20X8, not earlier**.

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Illustration 36 (demerger to a new company): Enterprise sells loss-making Mobiles division (net assets: PPE 100 + CA 500 − CL 400 − loans 300 = **−100**) for ₹25 crore to new Turnaround Ltd., which issues 1 crore shares of ₹10 at ₹15 premium to Enterprise's members (one member holds 52% → common control). Enterprise: Dr Loans 300, CL 400, Provision for depreciation 400 · Cr PPE 500, CA 500, **100 credit** (ICAI's entry credits P&L; its balance sheet note shows it as "Capital reserve on reconstruction 100"). Turnaround: book values; share capital 10 + premium 15; capital reserve 25 − (600 − 700) = **(125)**; other equity **(110)**.

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Illustration 37 (demerger): Mini division (PPE 200 WDV + CA 300 − CL 100 − secured loan 100 = 300) to new Mini Ltd. for 5 crore shares of ₹10 at par to Maxi Mini's members. Maxi Mini: **loss on reconstruction 300** (Dr) → other equity 650 → 350. Mini Ltd.: assets/liabilities at book value; share capital 50; **capital reserve 250**. NAV per share: pre-demerger 700/5 = **₹140**; post 400/5 = 80 + Mini 300/5 = 60 = **₹140** → no change in shareholders' wealth (only yield valuation may change).

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Illustration 38 (amalgamation into new ABX Ltd.): (a) **Common control**: book values; consideration = net assets − reserves: AX 60,00 + BX 70,00 = **1,30,00 thousand**; shares split in proportion of net assets (90,50 : 97,00 → 6,27,500 and 6,72,500 shares); reserves keep identity (General 35,00; P&L 15,00; Investment Allowance 6,00; Export Profit 1,50). (b) BX larger and takes control → **not common control** → BX is accounting acquirer (FV 14,000 vs 11,000 → 56% : 44%) → **reverse acquisition**: BX at book values; BX would issue 550 thousand shares (700 ÷ 56% − 700) × ₹20 = **₹11,000 thousand**; AX net assets at FV 10,100 → **goodwill 900**; equity = 1,250 thousand shares (12,500) + BX's reserves + premium 5,500.

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Illustration 39: talks 9 Apr; board authorises 10 May; offer 15 May; acceptance 31 May; press release 2 Jun; shareholder approval 10 Jun; **shares allotted 15 Jun** → acquisition date **15 June**; consideration 12,000 × ₹90 = **₹10,80,000**.

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Illustration 40 (opening CFS with every special item): Professional buys 70% of Dynamic (1 share for 2; FV ₹40). Consideration: shares 2,00,000 × 70% × ₹40 = **56.00** + **deferred** ₹35 lakh minimum payable after 2 years discounted @10% = **28.93** (the "higher of ₹35 lakh or 25% of excess profit" — minimum is deferred consideration; contingent part FV taken as nil) + replacement award 5 × 2/4 = **2.50** (rest 8 − 2.5 = 5.5 → expense over 1 year) = **87.43**. ₹20 lakh to a founder if he stays 2 years → **employee cost**. Net assets: PPE FV 350 vs 500 (−150); lawsuit FV 5 (claim 50) → net assets 470; DTA on −155 @30% = 46.5 → **516.5**. NCI 30% = **154.95**. **Capital reserve = 516.5 − 154.95 − 87.43 = 274.12**. Share capital 500 + 14 = 514; premium 42.

(14) Extracts from FS of listed entities (SM)

HUL — amalgamation of GlaxoSmithKline Consumer Healthcare (2020-21) · L&T — majority stake in Mindtree via further acquisition (28.86% held + 31.20% open offer; step acquisition) · L&T — majority stake in L&T Gulf Pvt Ltd.

15 Significant differences — Ind AS 103 vs AS 14

#	Basis	Ind AS 103	AS 14 / AS 21
1	Applicability	All business combinations, except formation of JV and asset acquisitions — **wider**	Amalgamations and mergers only
2	Method	**Only acquisition method**; pooling only for common control	Pooling of interests **and** purchase method
3	Effective date	Acquisition date = date control obtained	Not defined; in practice the **appointed date** in the court scheme
4	Valuation base	Identifiable assets, liabilities and NCI at **fair value**	Book values, or FV under purchase method
5	NCI / minority interest	FV or proportionate share of identifiable net assets	Equity attributable to minorities at investment date; **shown outside shareholders' equity**
6	Goodwill	**Not amortised**; annual impairment test (Ind AS 36)	Amortised over **not more than 5 years**
7	Reverse acquisition	Guidance given	Not dealt with
8	Contingent consideration	Dealt with	No specific guidance
9	Bargain purchase	OCI → capital reserve; or directly capital reserve if no clear evidence	Capital reserve under reserves and surplus
10	Common control	Appendix C — pooling	No separate treatment

Indian GAAP had no comprehensive standard for obtaining control: treatment depended on the **form** (separate entity vs legal merger); court schemes could prescribe treatments; AS 21 consolidated at **carrying values**. Ind AS 103 uses principles and fair values.

16 Carve-out from IFRS 3

IFRS 3: bargain purchase gain → **P&L**. **Ind AS 103:** → **OCI** → **capital reserve**, or directly capital reserve if no clear evidence (same carve-out in **Ind AS 28**). **Reason:** continuation of Indian GAAP practice — gain at the time of acquiring a business is capital in nature.

17 Carve-in to IFRS 3

IFRS 3 excludes common control combinations. **Ind AS 103 Appendix C** gives guidance — additional guidance not available under IFRS.

18 Test Your Knowledge — ICAI answers in brief

Q	Topic	ICAI answer
1	Step acquisition with contingent consideration, costs, NCI at FV	Acquirer A; date 1 Nov; consideration 59,00,000 + 10,00,000 + 3,00,000 + 20,00,000 = **92,00,000**; costs 1,00,000 → P&L; NCI 7,50,000; old stake gain **14,00,000** → P&L; **goodwill 39,50,000**
2	Reverse acquisition with CBS	B accounting acquirer (60%); consideration 40 shares × ₹40 = **1,600** (measured using A's quoted price: 100 × ₹16); A's net assets 1,300 → **goodwill 300**. CBS: NCA 4,500 · goodwill 300 · CA 1,200 = **6,000**; issued equity 600 + 1,600 = **2,200** (structure: A's 250 shares); RE **1,400** (B's); NCL 1,500; CL 900
3	Measurement period	Info about pre-acquisition facts → adjust provisional amount and goodwill; post-acquisition event → Ind AS 109 allowance in P&L
4	NCI options	₹15 crore (FV) or ₹10 crore (10% × 100)
5	FVOCI old stake	₹5,000 stays in OCI (not recycled); FV 1,05,000 + consideration for 95% in acquisition accounting
6	Bargain purchase review	Procedures appropriate after review; 1,00,00,000 − 50,00,000 − 30,00,000 = **₹20,00,000** gain
7	Transitory control	**Not** common control; B acquires A → acquisition method
8	Bargain purchase + entry	Gain **16**: Dr Assets 500 · Cr Cash 300, Liabilities 100, OCI/Equity 16, NCI 84. Proportionate NCI: 80 → gain **20**
9	Goodwill impairment, both NCI methods, deferred tax	Shares 12,000 × 75% × 2/3 × ₹6.50 = 39,000; deferred 7,150 ÷ 1.10 = 6,500; contingent 25,000. Net assets 70,000 − DTL 20% × 10,000 = **68,000**. NCI: FV 3,000 × ₹6 = 18,000 / proportionate 17,000. Goodwill **20,500 / 19,500**; 10% impairment **2,050 / 1,950** (₹'000)
10	Contingent consideration in shares	(i) Fixed 2 lakh shares → **equity**, 25,00,000, not remeasured (consideration 2,25,00,000). (ii) Variable shares worth 40 lakh → **liability**; loss **15,00,000** to P&L; issue 1,60,000 shares (40 lakh ÷ ₹25) at ₹15 premium

Ind AS 103 Business Combinations — practice sheet

Every question comes with its full solution, straight after it. **Cover the solution, solve by hand, then check.** SM illustrations, SM Test Your Knowledge and ICAI Practice Questions are reproduced exactly as ICAI printed them (page images). RTP, MTP and past-paper questions are ICAI's text with ICAI's suggested answers. Where ICAI's answer is not available, the solution is marked **app-written**. Questions are grouped by concept; inside each concept: SM first, then Practice Questions, RTPs, MTPs and past papers.

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Q29	Business combination achieved in stages (step acquisition)	RTP May 2023 · Q1	Numerical
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Q32	Business combination achieved in stages (step acquisition)	MTP Jan 2026 S-II · Part II Q1	Numerical
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Q49	Identifiable intangible assets, assembled workforce	RTP May 2023 · Q18	Theory
Q50	Identifiable intangible assets, assembled workforce	RTP Nov 2024 · Q16	Numerical
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Q56	Non-controlling interest at acquisition	ICAI Practice Questions · Ch 12 Q7	
Q57	Non-controlling interest at acquisition	RTP May 2023 · Q5	Theory
Q58	Non-controlling interest at acquisition	MTP Sep 2025 S-I · Q5(b)	Theory
Q59	Non-controlling interest at acquisition	MTP Jan 2026 S-I · Q3(b)	Numerical
Q60	Non-controlling interest at acquisition	PYQ May 2022 · Q1(a) · 15 marks	Numerical

No.	Concept	Source	Type
Q61	Non-controlling interest at acquisition	PYQ May 2022 · Q6(d) · 5 marks	Numerical
Q62	Non-controlling interest at acquisition	PYQ May 2023 · Q1(a) · 15 marks	Numerical
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Q64	Step 4 — goodwill	SM Ch 12 · Test Your Knowledge Q9	Numerical
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Q75	What is part of the business combination; pre-existing relationships	SM Ch 12 · Illustration 24	Numerical
Q76	What is part of the business combination; pre-existing relationships	PYQ May 2026 · MCQ 8 · 2 marks	Theory
Q77	Contingent payments to employees or selling shareholders	SM Ch 12 · Illustration 25	Numerical
Q78	Contingent payments to employees or selling shareholders	SM Ch 12 · Illustration 26 : Contingent consideration- Payments to employees who are former owners	Numerical
Q79	Contingent payments to employees or selling shareholders	ICAI Practice Questions · Ch 12 Q6	
Q80	Replacement and non-replacement share-based awards	SM Ch 12 · Illustration 27	Numerical

No.	Concept	Source	Type
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Q82	Replacement and non-replacement share-based awards	ICAI Practice Questions · Ch 12 Q4	
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Q85	Common control business combinations — scope	SM Ch 12 · Illustration 31	Theory
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Q88	Common control business combinations — scope	SM Ch 12 · Test Your Knowledge Q7	Theory
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Q90	Pooling of interests method	SM Ch 12 · Illustration 35	Theory
Q91	Pooling of interests method	SM Ch 12 · Illustration 36	Numerical
Q92	Pooling of interests method	SM Ch 12 · Illustration 37	Numerical
Q93	Pooling of interests method	SM Ch 12 · Illustration 38	Numerical
Q94	Pooling of interests method	SM Ch 12 · Illustration 39	Numerical
Q95	Pooling of interests method	SM Ch 12 · Illustration 40	Numerical

Ⓐ Scope and what is a business

Q1 · Scope and what a business combination is

SM Ch 12 · Illustration 1: Asset acquisition · Numerical

Illustration 1: Asset acquisition

An entity acquires an equipment and a patent in exchange for ₹ 1,000 crore cash and land. The fair value of the land is ₹ 400 crore and its carrying value is ₹ 100 crore. Fair values of the equipment and patent are estimated to be ₹ 500 crore and ₹ 1,000 crore, respectively. The equipment and patent relate to a product that has just recently been commercialised. The market for this product is still developing.

Assume the entity incurred no transaction costs. For ease of convenience, the tax consequences on the gain have been ignored.

State how should the transaction be accounted for.

Solution — ICAI

Solution

As per paragraph 2(b) of Ind AS 103, the standard does not apply to "the acquisition of an asset or a group of assets that does not constitute a business. In such cases the acquirer shall identify and recognise the individual identifiable assets acquired (including those assets that meet the definition of, and recognition criteria for, intangible assets in Ind AS 38, Intangible Assets) and liabilities assumed. The cost of the group shall be allocated to the individual identifiable assets and liabilities on the basis of their relative fair values at the date of purchase. Such a transaction or event does not give rise to goodwill". In the given case, the acquisition of equipment and patent does not represent acquisition of a business as equipment and patent relate to a product that has just recently been commercialised.

The cost of the asset acquisition is determined based on the fair value of the assets given, unless the fair value of the assets received is more reliably determinable. In the given case, the fair value measurement of the land appears more reliable than the fair value estimate of the equipment and patent. Thus, the entity should record the acquisition of the equipment and patent as ₹ 1,400 crore (the total fair value of the consideration transferred).

Thus, the fair value of the consideration given, i.e., ₹ 1,400 crore is allocated to the individual assets acquired based on their relative estimated fair values. The entity should record a gain of ₹ 300 crore for the difference between the fair value and carrying value of the land.

The equipment is recorded at its relative fair value ((₹ 500 / ₹ 1,500) × ₹ 1,400 = ₹ 467 crore).

The patent is recorded at its relative fair value ((₹ 1,000 / ₹ 1,500) × ₹ 1,400 = ₹ 933 Crore).

Q2 · Definition of a business, substantive process and the concentration test

SM Ch 12 · Illustration 2 · Theory

Illustration 2

Company A is a pharmaceutical company. Since inception, the Company had been conducting in-house research and development activities through its skilled workforce and recently obtained an intellectual property right (IPR) in the form of patents over certain drugs. The Company's has a production plant that has recently obtained regulatory approvals. However, the Company has

not earned any revenue so far and does not have any customer contracts for sale of goods. Company B acquires Company A.

Determine whether Company A constitute a business in accordance with Ind AS 103.

Solution — ICAI

Solution

The definition of business requires existence of inputs and processes. In this case, the skilled workforce, manufacturing plant and IPR, along with strategic and operational processes constitutes the inputs and processes in line with the requirements of Ind AS 103.

When the said inputs and processes are applied as an integrated set, the Company A will be capable of producing outputs; the fact that the Company A currently does not have revenue is not relevant to the analysis of the definition of business under Ind AS 103. Basis this and presuming that Company A would have been able to obtain access to customers that will purchase the outputs, the present case can be said to constitute a business as per Ind AS 103.

Q3 · Definition of a business, substantive process and the concentration test

SM Ch 12 · Illustration 3 · Theory

Illustration 3

Modifying the above illustration, if Company A had revenue contracts and a sales force, such that Company B acquires all the inputs and processes other than the sales force, then whether the definition of the business is met in accordance with Ind AS 103?

Solution — ICAI

Solution

Though the sales force has not been taken over, however, if the missing inputs (i.e., sales force) can be easily replicated or obtained by the market participant to generate output, it may be concluded that Company A has acquired business. Further, if Company B is also into similar line of business, then the existing sales force of the Company B may also be relevant to mitigate the missing input. As such, the definition of business is met in accordance with Ind AS 103.

Q4 · Definition of a business, substantive process and the concentration test

SM Ch 12 · Example 1: On Concentration test · Theory

Example 1: On Concentration test

Entity A holds 20% interest in Entity B. Subsequently Entity A, further acquires 50% share in Entity B by paying ₹ 300 Crores.

The fair value of assets acquired and Liabilities assumed are as follows:

Building	- ₹ 1000 Crores
Cash and Cash Equivalent	- ₹ 200 Crores
Financial Liabilities	- ₹ 800 Crores
DTL	- ₹ 150 crores

Fair value of Entity B is ₹ 400 Crores and Fair value of NCI is ₹ 120 Crores (400 x 30%)

Fair value of Entity A's previously held interest is ₹ 80 Crores (400 x 20%)

Entity A needs to determine whether acquisition is an asset acquisition as per concentration test.

i) Fair value of consideration transferred (including fair value of non-controlling interest and fair value of previously interest held) = 300 + 120 + 80 = ₹ 500 Crores

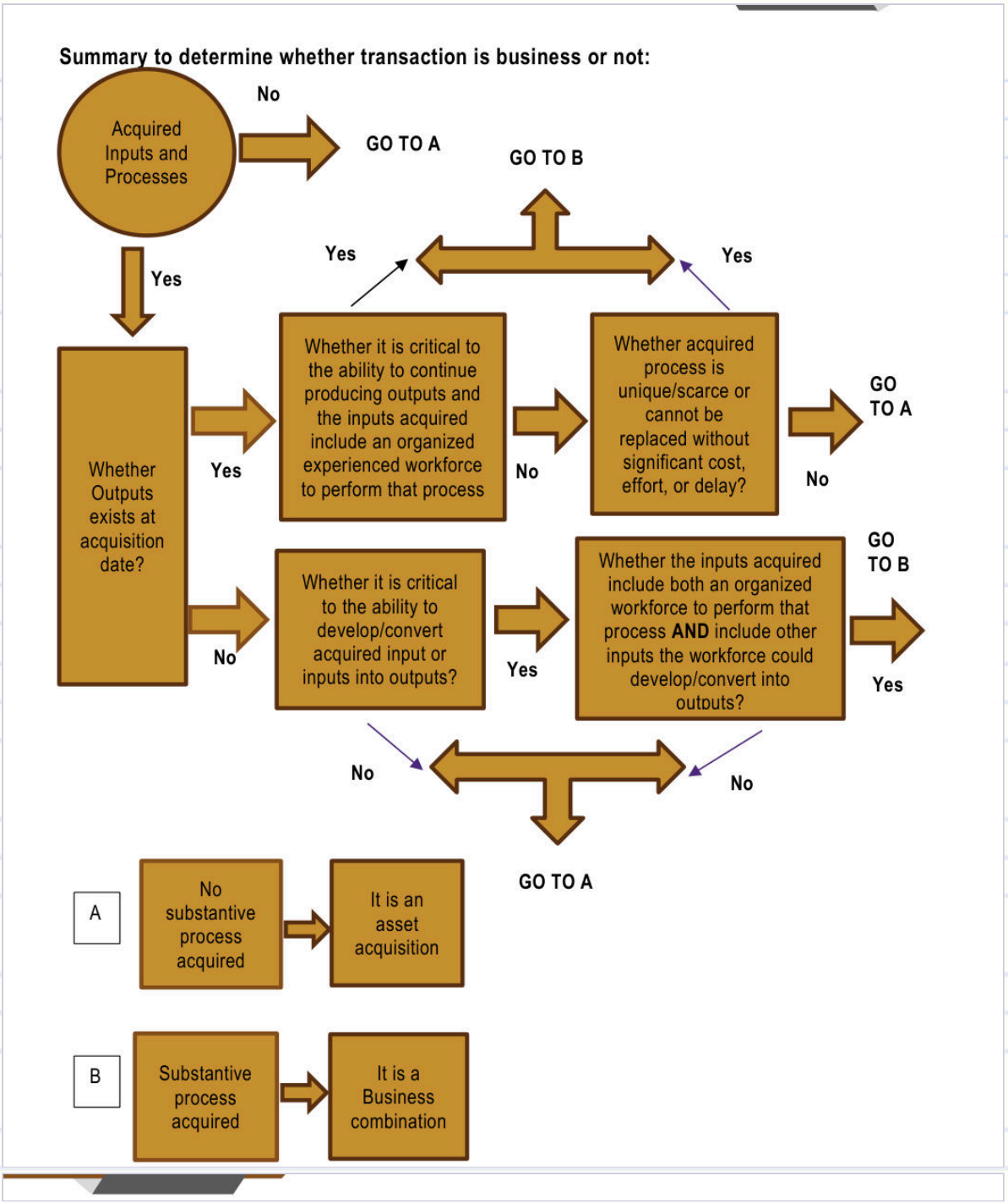
ii) Fair value of liability assumed (excluding deferred tax) – ₹ 800 crores

iii) Cash and cash equivalent – ₹ 200 crores.

Fair value of gross assets acquired - ₹ 1,100 Crores

In the above scenario, substantially all fair value of gross assets acquired is concentrated in a single identifiable asset i.e. building. Hence it should be asset acquisition. (1,000 / 1,100 = 91% of value of gross assets is concentrated into single identifiable asset i.e. building). A Judgement is required to conclude on the word substantially as the same is not defined in the standard.

In our view we have considered 91% of the value as substantial to conclude the above transaction as asset acquisition.



ICAI example — the facts and ICAI's analysis are printed together.

Q5 · Definition of a business, substantive process and the concentration test

SM Ch 12 · Example 2: Simple-business combination · Theory

Example 2: Simple-business combination

Company X is a liquor manufacturer and has traded for a number of years. The company produces a wide variety of liquor and employs a workforce of machine operators, testers, and other operational, marketing and administrative staff. It owns and operates a factory, warehouse, machinery and holds raw material inventory and finished products.

On 1st January, 20X1, Company Y pays USD 80 million to acquire 100% of the ordinary voting shares of Company X. No other type of shares has been issued by the Company X. On the same day, the four main executive directors of the Company Y take on the same roles in the Company X.

In this case, it is clear that the Company X is a business. It operates a trade with a variety of assets that are used by its employees in a number of related activities. These assets and activities are necessarily integrated in order to create and sell the company's products. As per definition the above acquisition includes an input (including four main executive directors of Company X) and thus it can be concluded as the significant process acquired along with the other inputs.

Thus, Company Y obtains control on 1st January, 20X1 by acquiring 100% of the voting rights.

The application of the definition is less clear in situations as illustrated in the following examples:

ICAI example — the facts and ICAI's analysis are printed together.

Q6 · Definition of a business, substantive process and the concentration test

SM Ch 12 · Example 3: Investment in a development stage entity · Theory

Example 3: Investment in a development stage entity

Company D is a development stage entity that has not started revenue-generating operations. The workforce consists mainly of research engineers who are developing a new technology that has a pending patent application. Negotiations to license this technology to a number of customers are at an advanced stage. Company D requires additional funding to complete development work and commence planned commercial production.

The value of the identifiable net assets in Company D is ₹ 750 million. Company A pays ₹ 600 million in exchange for 60% of the equity of Company D (a controlling interest).

Although Company D is not yet earning revenues (an example of 'outputs') there are a number of indicators that it has a sufficiently integrated set of activities and assets that are capable of being managed to produce a return for investors. In particular, Company D:

- employs specialist engineers developing the know-how and design specifications of the technology.
- is pursuing a viable plan to complete the development work and commence production.
- has identified and will be able to access customers willing to buy the outputs.

In addition, Company A has paid a premium (or goodwill) for its 60% interest. In the absence of evidence to the contrary, Company D is presumed to be a business.

ICAI example — the facts and ICAI's analysis are printed together.

Q7 · Definition of a business, substantive process and the concentration test

SM Ch 12 · Example 4: Acquisition of an entity holding investment properties · Theory

Example 4: Acquisition of an entity holding investment properties

Company A acquires 100% of the equity and voting rights of Company P, a subsidiary of a property investment group. Company P owns three investment properties. The properties are single-tenant industrial warehouses subject to long-term leases. The leases oblige Company P to provide basic maintenance and security services, which have been outsourced to third party contractors. The administration of Company P's leases was carried out by an employee of its former parent company on a part-time basis but this individual does not transfer to the new owner.

In most cases, an asset or group of assets and liabilities that are being capable of generating revenues, combined with all or many of the activities necessary to earn those revenues, would constitute a business. However, investment property is a specific case in which earning a return for investors is a defining characteristic of the asset. Accordingly, revenue generation and activities that are specific and ancillary to an investment property and its tenancy agreements should therefore be given a lower 'weighting' in assessing whether the acquiree is a business.

Further process (i.e. Basic maintenance, security services and administration) is not critical to the ability to continue producing outputs. Also process (i.e. Basic maintenance, security services and administration) is not unique and it can be replaced easily without significant cost.

In our view the purchase of investment property with tenants and services that are purely ancillary to the property and its tenancy agreements should generally be accounted for as an asset purchase.

ICAI example — the facts and ICAI's analysis are printed together.

Q8 · Definition of a business, substantive process and the concentration test

SM Ch 12 · Example 5: Acquisition of an entity holding investment properties · Theory

Example 5: Acquisition of an entity holding investment properties

Company A acquires 100% of the equity and voting rights of Company Q, which owns three investment properties. The properties are multi-tenant residential condominiums subject to short-term rental agreements that oblige Company Q to provide substantial maintenance and security services, which are outsourced with specialist providers. Company Q has five employees who deal directly with the tenants and with the outsourced contractors to resolve any non-routine security or maintenance requirements. These employees are involved in a variety of lease management tasks (e.g. identification and selection of tenants; lease negotiation and rent reviews) and marketing activities to maximise the quality of tenants and the rental income.

In this case, Company Q consists of a group of revenue-generating assets, together with employees and activities that clearly go beyond activities ancillary to the properties and their tenancy agreements.

Further process (i.e. identification and selection of tenants; lease negotiation and rent reviews) is critical to the ability to continue producing outputs (i.e. in terms to maximise quality of tenants and the rental income).

The assets and activities are clearly integrated so Company Q is considered a business.

ICAI example — the facts and ICAI's analysis are printed together.

Q9 · Definition of a business, substantive process and the concentration test

SM Ch 12 · Example 6: Seller retains some activities and assets · Theory

Example 6: Seller retains some activities and assets

Company S is a manufacturer of a wide range of products. The company's payroll and accounting system is managed as a separate cost centre, supporting all the operating segments and the head office functions.

Company A agrees to acquire the trade, assets, liabilities and workforce of the operating segments of Company S but does not acquire the payroll and accounting cost centre or any head office functions. Company A is a competitor of Company S.

In this case, the activities and assets within the operating segments are capable of being managed as a business and so Company A accounts for the acquisition as a business combination. The payroll, accounting cost centre and administrative head office functions are typically not used to create outputs and so are generally not considered an essential element in assessing whether an integrated set of activities and assets is a business or not.

ICAI example — the facts and ICAI's analysis are printed together.

Q10 · Definition of a business, substantive process and the concentration test

SM Ch 12 · Example 7: Acquisition of a shell company · Theory

Example 7: Acquisition of a shell company

Company A is a property development company with a number of subsidiary companies, each of which holds a single development. After completion of the development, Company A sells its equity investment because the applicable tax rate is lower than that applicable to the sale of the underlying property.

Company A is planning to start the development of a large new retail complex. Rather than incorporating a new company, Company A acquires the entire share capital of a 'shell' company.

The shell company does not contain an integrated set of activities and assets and so does not constitute a business. Consequently, Company A should account for the purchase of the shell company in the same way as the incorporation of a new subsidiary. In the consolidated financial statements, any costs incurred will be accounted for in accordance with their nature and applicable Ind AS. No goodwill is recognised.

ICAI example — the facts and ICAI's analysis are printed together.

Q11 · Definition of a business, substantive process and the concentration test

ICAI Practice Questions · Ch 12 Q3

3. Company X is engaged in the business of exploration & development of Oil & Gas Blocks.

Company X currently holds participating interest (PI) in below mentioned producing Block as follows:

Block Name	Company X	Company Y	Company Z	Total
AWM/01	30%	60%	10%	100%

For the above Block, Company X, Y & Z has entered into unincorporated Joint Arrangement.

Company Y is the Operator of the Block AWM/01. Company X & Company Z are the Joint Operators. Company Y incurs all the expenditure on behalf of Joint Venture and raise cash call to Company X & Company Z at each month end in respect of their share of expenditure incurred in Joint Venture. All the manpower and requisite facilities / machineries owned by the Joint venture and thereby owned by all the Joint Operators.

For past few months, due to liquidity issues, Company Z defaulted in payment of cash calls to operators. Therefore, company Y (Operator) has issued notice to company Z for withdrawal of their participating right from on 01.04.20X1. However, company Z has filed the appeal with arbitrator on 30.04.20X1.

Financial performance of company Z did not improve in subsequent months and therefore company Z decided to withdraw participating interest rights from Block AWM/01 and entered into sale agreement with Company X & Company Y. As per the terms of the agreement, dated 31.5.20X1, Company X will receive 33.33% share & Company Y will receive 66.67% share of PI rights owned by Company Z.

Company X is required to pay ₹ 1 Lacs against 33.33% share of PI rights owned by Company Z.

After signing of sale agreement, Operator (company Y) approach government of India for modification in PSC (Production Sharing Contract) i.e. removal of Company Z from PSC of AWM/01 and government has approved this transaction on 30.6.20X1. Government approval for the modification in PSC is essential, given the industry in which the joint operators operate.

Balance sheet of Company X & Company Z are as follows:

Particulars	Company X		Company Z	
	31.5.20X1	30.6.20X1	31.5.20X1	30.6.20X1
	₹	₹	₹	₹
Assets				
Non-Current Assets				
Property, Plant & Equipment	5,00,000	10,00,000	1,50,000	3,00,000
Right of Use Asset	1,00,000	2,00,000	10,000	20,000
Development CWIP	50,000	1,00,000	50,000	1,00,000
Financial Assets				
Loan receivable	25,000	50,000	25,000	50,000
Total Non-Current Assets	**6,75,000**	**13,50,000**	**2,35,000**	**4,70,000**
Current assets				
Inventories	1,00,000	2,00,000	15,000	30,000
Financial Assets				
Trade receivables	1,50,000	3,00,000	50,000	1,00,000
Cash and cash equivalents	2,00,000	4,00,000	1,00,000	2,00,000
Other Current Assets	2,25,000	50,000	25,000	50,000
Total Current Assets	**6,75,000**	**9,50,000**	**1,90,000**	**3,80,000**
Total Assets	**13,50,000**	**23,00,000**	**4,25,000**	**8,50,000**
Equity and Liabilities				
Equity				
Equity share capital	3,00,000	3,00,000	1,00,000	1,00,000
Other equity	2,00,000	3,00,000	75,000	2,50,000
Total Equity	**5,00,000**	**6,00,000**	**1,75,000**	**3,50,000**
Liabilities				
Non-Current Liabilities				
Provisions	4,00,000	8,00,000	1,00,000	2,00,000
Other Liabilities	1,50,000	3,00,000	50,000	1,00,000
Total Non-Current Liabilities	**5,50,000**	**11,00,000**	**1,50,000**	**3,00,000**
Current Liabilities				
Financial Liabilities				
Trade Payables	3,00,000	6,00,000	1,00,000	2,00,000
Total Current Liabilities	**3,00,000**	**6,00,000**	**1,00,000**	**2,00,000**
Total Liabilities	**13,50,000**	**23,00,000**	**4,25,000**	**8,50,000**

Additional Information:

1. Fair Value of PPE & Development CWIP owned by Company Z as per Market participant approach is ₹ 5,00,000 & ₹ 2,00,000 respectively.
2. Fair Value of all the other assets and liabilities acquired are assumed to be at their carrying values (except cash & cash equivalent). Cash and cash equivalents of Company Z are not to be acquired by Company X as per the terms of agreement.
3. Tax rate is assumed to be 30%.
4. As per Ind AS 111, it is a joint operation whereby every operator records their share of assets and liabilities in their books.

You need to determine the following:

1. Whether the above acquisition falls under business or asset acquisition as defined under business combination standard Ind AS 103?
2. Determine the acquisition date in the above transaction?
3. Prepare Journal entries for the above-mentioned transaction?
4. Draft the Balance Sheet for Company X based on your analysis in Part 1 above as at acquisition date.

Solution — ICAI

3. (1) Ind AS 103 defines business as an integrated set of activities and assets that is capable of being conducted and managed for the purpose of providing goods or services to customers, generating investment income (such as dividends or interest) or generating other income from ordinary activities.

For a transaction to meet the definition of a business combination (and for the acquisition method of accounting to apply), the entity must gain control of an integrated set of assets and activities that is more than a collection of assets or a combination of assets and liabilities.

To be capable of being conducted and managed for the purpose identified in the definition of a business, an integrated set of activities and assets requires two essential elements—inputs and processes applied to those inputs.

Therefore, an integrated set of activities and assets must include, at a minimum, an input and a substantive process that together significantly contribute to the ability to create output.

In the aforesaid transaction, Company X acquired share of participating rights owned by Company Z for the producing Block (AWM/01). The output exist in this transaction (Considering AWM/01) is a producing block. Also, all the manpower and requisite facilities / machineries are owned by Joint venture and thereby all the Joint Operators. Hence, acquiring participating rights tantamount to acquire inputs (Expertise Manpower & Machinery) and it is critical to the ability to continue producing outputs. Thus, the said acquisition will fall under the Business Acquisition and hence standard Ind AS 103 is to be applied for the same.

(2) As per paragraph 8 of Ind AS 103, acquisition date is the date on which the acquirer obtains control of the acquiree. Further, paragraph 9 of Ind AS 103 clarifies that the date on which the acquirer obtains control of the acquiree is generally the date on which the acquirer legally transfers the consideration, acquires the assets and assumes the liabilities of the acquiree—the closing date. However, the acquirer might obtain control on a date that is either earlier or later than the closing date.

An acquirer shall consider all pertinent facts and circumstances in identifying the acquisition date. Since government of India (GOI) approval is a substantive approval for Company X to acquire control of Company Z's operations, the date of acquisition cannot be earlier than the date on which approval is obtained from GOI. This is pertinent given that the approval from GOI is considered to be a substantive process and accordingly, the acquisition is considered to be completed only on receipt of such approval. Hence acquisition date in the above scenario is 30.6.20X1.

(3) **Journal entry for acquisition**

Particulars		Amount (₹)	Amount (₹)
Property Plant & Equipment	Dr.	1,66,650	
Right-of-use Asset	Dr.	6,666	
Development CWIP	Dr.	66,660	
Financial Assets - Loan Receivables	Dr.	16,665	
Inventories	Dr.	9,999	
Trade Receivables	Dr.	33,330	
Other Current Assets	Dr.	16,665	
To Provisions			66,660
To Other Liabilities			33,330
To Trade Payables			66,660
To Deferred Tax Liability			29,997
To Cash & Cash Equivalent (purchase consideration)			1,00,000
To Gain on bargain purchase (Other Comprehensive Income)			19,988
(Being assets acquired and liabilities assumed from Company Z recorded at fair value along gain on bargain purchase)			

(4) **Balance Sheet of Company X as at 30.6.20X1**

(Pre & Post Acquisition of PI rights pertaining to Company Z)

Particulars	Pre-Acquisition	Adjustments	Post-Acquisition
	30.6.20X1		30.6.20X1
Assets			
Non - Current Assets			
Property Plant & Equipment	10,00,000	1,66,650	11,66,650
Right of Use Asset	2,00,000	6,666	2,06,666
Development CWIP	1,00,000	33,330	1,66,660

Financial Assets			
Loan receivable	50,000	16,665	66,665
Total Non-Current Assets	**13,50,000**		**16,06,641**
Current assets			
Inventories	2,00,000	9,999	2,09,999
Financial Assets			
Trade receivables	3,00,000	33,330	3,33,330
Cash and cash equivalents	4,00,000	(1,00,000)	3,00,000
Other Current Assets	50,000	16,665	66,665
Total Current Assets	**9,50,000**		**9,09,994**
Total Assets	**23,00,000**		**25,16,635**
Equity and Liabilities			
Equity			
Equity share capital	3,00,000		3,00,000
Other equity	3,00,000		3,00,000
Capital Reserve (OCI)		19,988	19,988
Total Equity	**6,00,000**		**6,19,988**
Liabilities			
Non-Current Liabilities			
Provisions	8,00,000	66,660	8,66,660
Other Liabilities	3,00,000	33,330	3,33,330
Deferred Tax Liability		29,997	29,997
Total Non-Current Liabilities	**11,00,000**		**12,29,987**
Current Liabilities			
Financial liabilities			
Trade Payables	6,00,000	66,660	6,66,660
Total Current Liabilities	**6,00,000**		**6,66,660**
Total Equity and Liabilities	**23,00,000**		**25,16,635**

Working Notes

1. **Determination of Company Z's balance acquired by Company X on 30.6.20X1 (Acquisition Date)**

Particulars	As per Company Z Books 30.6.20X1	Carrying Value 33.33% Share	Acquisition Date Value	Remarks
	₹	₹	₹	
Assets				
Non-Current Assets				
Property Plant & Equipment	3,00,000	99,990	1,66,650	Note 1
Right of Use Asset	20,000	6,666	6,666	
Development CWIP	1,00,000	33,330	66,660	Note 2
Financial Assets				
Loan receivable	50,000	16,665	16,665	
Total Non-Current Assets	**4,70,000**	**1,56,651**	**2,56,641**	
Current assets				
Inventories	30,000	9,999	9,999	
Financial Assets				
Trade receivables	1,00,000	33,330	33,330	
Cash and cash equivalents	2,00,000	66,660	66,660	
Other Current Assets	50,000	16,665	16,665	
Total Current Assets	**3,80,000**	**1,26,654**	**1,26,654**	
Liabilities				
Non-Current Liabilities				
Provisions	2,00,000	66,660	66,660	
Other Liabilities	1,00,000	33,330	33,330	
Total Non-Current Liabilities	**3,00,000**	**99,990**	**99,990**	
Current Liabilities				
Financial liabilities				
Trade Payables	2,00,000	66,660	66,660	
Total Current Liabilities	**2,00,000**	**66,660**	**66,660**	

Note 1: Fair Value of PPE:

Fair Value of PPE in Company Z Books	₹ 5,00,000
33.33% Share acquired by Company X	₹ 1,66,650

Note 2: Fair Value of Development CWIP:

Fair Value of PPE in Company Z Books	₹ 2,00,000
33.33% Share acquired by Company X	₹ 66,660

2. Computation Goodwill/Bargain Purchase Gain

Particulars	**As at 30.6.20X1 (₹)**
Total Non - Current Assets	2,56,641
Total Current Assets (Except Cash & Cash Equivalent of ₹ 66,660) (1,26,654 – 66,660)	59,994
Total Non-Current Liabilities	(99,990)
Total Current Liabilities	(66,660)
Total Deferred Tax Liability (Refer Working note 3)	(29,997)
Net Assets Acquired	**1,19,988**
Less: Consideration Paid	(1,00,000)
Gain on Bargain Purchase (To be transferred to OCI)	**19,988**

*In extremely rare circumstances, an acquirer will make a bargain purchase in a business combination in which the value of net assets acquired in a business combination exceeds the purchase consideration. The acquirer shall recognise the resulting gain in other comprehensive income on the acquisition date and accumulate the same in equity as capital reserve, if the reason for bargain purchase gain is clear and evidence exist. If there does not exist clear evidence of the underlying reasons for classifying the business combination as a bargain purchase, then the gain shall be recognised directly in equity as capital reserve. Since in the above scenario it is clearly evident that due to liquidity issues, Company Z has to withdraw their participating right from AWM/01. The said bargain purchase gain should be transferred to other comprehensive income on the acquisition date.

3. Computation of Deferred Tax Liability arising on Business Combination

Particulars	Acquisition Date Value (₹)
Total Non - Current Assets	2,56,641
Total Current Assets (Except Cash & Cash Equivalent of ₹ 66,660)	59,994
Total Non-Current Liabilities	(99,990)
Total Current Liabilities	(66,660)
Net Assets Acquired at Fair Value	**1,49,985**
Book value of Net Assets Acquired	(49,995)
Temporary Difference	**99,990**
DTL @ 30% on Temporary Difference	**29,997**

Note: As per Ind AS 103, in case an entity acquires another entity step by step through series of purchase then the acquisition date will be the date on which the acquirer obtains control. Till the time the control is obtained the investment will be accounted as per the requirements of other Ind AS 109, if the investments are covered under that standard or as per Ind AS 28, if the investments are in Associates or Joint Ventures.

If a business combination is achieved in stages, the acquirer shall remeasure its previously held equity interest in the acquiree at its acquisition-date fair value and recognise the resulting gain or loss, if any, in profit or loss or other comprehensive income, as appropriate.

Since in the above transaction, company X does not hold any prior interest in Company Z & company holds only 30% PI rights in Block AWM/01 trough unincorporated joint arrangement, this is not a case of step acquisition.

Q12 · Definition of a business, substantive process and the concentration test

ICAI Practice Questions · Ch 12 Q9

9. Mini Limited is a manufacturing entity in textile industry. Mini Limited decided to reduce the cost of manufacturing by setting up its own power plant for their captive consumption. As per market research report, there was non-operational power plant in nearby area. Hence, it decided to acquire that power plant which was having capacity of 80MW along with all entire labour force. This Power entity was owned by another entity Max Limited. Mini Limited approached Max Limited for acquisition of 80MW power plant at following terms:

   (i) Mini Limited will seek an independent valuation for determining fair value of 80MW power plant.

   (ii) Value of other Non-current assets acquired, and Non–current financial liabilities assumed is ₹ 11.10 million and ₹ 32 million respectively.

   (iii) Consideration agreed between both the parties is at ₹ 51 million.

   Both the parties agreed to the terms and entered into agreement on 1st April, 20X1 with immediate effect.

   Due to unavoidable circumstances, valuation could not be completed by the time Max Limited finalizes its financial statements for the year ending 31st March, 20X1. Max Limited's annual financial statements records the fair value of 80 MW Power Plant at ₹ 46.90 million with remaining useful life at 40 years.

   Max Limited also has license to operate that power plant unrecorded in books. As on 31st March, 20X1, it has fair value of ₹ 5 million.

   Six months after acquisition date, Mini Limited received the independent valuation, which estimated the fair value of 80MW Power Plant as ₹ 54.90 million.

   CFO of Mini Limited, wants you to work upon following aspects of the transaction:

   (a) Determine whether transaction should be accounted as asset acquisition or business combination.

   (b) Calculate Goodwill / Bargain Purchase due to the above acquisition.

   (c) Pass necessary journal entities in the books of Mini Limited as per Ind AS 103 and prepare balance sheet as on date of acquisition.

   (d) Determine whether any adjustment is required in case of valuation received subsequent to acquisition. If yes, pass the necessary entries in the books of Mini Limited.

Balance Sheet of Mini Limited as at 31st March, 20X1

Particulars	(₹ in Million)
ASSETS	
Non-current assets	
Property, plant and equipment	2,158
Capital work-in-progress	12
Deferred Tax Assets (Net)	324
Other non-current assets	25
Total non-current assets	**2,519**
Current assets	
Inventories	368
Financial assets	
(i) Investments	45
(ii) Trade Receivables	762
(iii) Cash and Cash Equivalents	110
(iv) Bank balances other than (iii) above	28
(v) Other financial assets	267
Total current assets	**1,580**
Total assets	**4,099**
EQUITY AND LIABILITIES	
Equity	
Equity Share Capital	295
Other equity	
Equity component of compound financial instruments	717
Reserves and surplus	2,481
Total equity	**3,493**
Liabilities	
Non-current liabilities	
Financial Liabilities	
Borrowings	268
Total non-current liabilities	**268**
Current liabilities	
Financial Liabilities	
(i) Trade payables	302
Other current liabilities	36
Total current liabilities	**338**
Total liabilities	**606**
Total equity and liabilities	**4,099**

Solution — ICAI

9. (a) Ind AS 103 defines business as an integrated set of activities and assets that is capable of being conducted and managed for the purpose of providing goods and services to customers, generating investment income (such as dividends or interest) or generating other income from ordinary activities.

In the given scenario, acquisition of power plant along with its labour force will be considered as integrated set of activity as it is capable of being generating power. Hence, transaction will be considered as business combination and not asset acquisition and acquisition method of accounting will be applied.

Thus, following will be the case:

(i) Acquirer – Mini Ltd;

(ii) Acquiree – Max Ltd;

(iii) Acquisition date – 1st April, 20X1

(b) Calculation of Goodwill:

Particulars		₹ in Million
Purchase consideration	(A)	51
Fair Value of Power Plant – PPE		46.90
Fair Value of other non-current assets		11.10
Fair Value of Intangible Asset (License) – Refer Note 1 below		5
Non-Current Liabilities assumed		(32)
Value of net assets acquired	(B)	31
Goodwill		20

Note 1: The licence to operate power plant is an intangible asset that meets the contractual-legal criterion for recognition separately from goodwill though acquirer cannot sell or transfer it separately from the acquired power plant. Intangible Assets needs to be recorded by the acquirer at the time of accounting for acquisition though not recorded by the acquiree in its book.

(c) Journal Entries for acquiring power plant

Particulars		₹ in Million	₹ in Million
Fair Value of Power Plant	Dr.	46.90	
Fair Value of other assets	Dr.	11.10	
Fair Value of License acquired	Dr.	5	
Goodwill	Dr.	20	
To Liabilities assumed			32
To Bank (PC paid)			51

Balance Sheet of Mini Limited as at 1st April, 20X1

Particulars	Notes to Accounts	₹ in Million
ASSETS		
Non-current assets		
Property, plant and equipment	1	2,204.90
Intangible Asset (License acquired in business combination)		5.00
Capital work-in-progress		12.00

Goodwill on acquisition		20.00
Deferred Tax Assets (Net)		324.00
Other non-current assets	2	36.10
Total non-current assets		**2,602.00**
Current assets		
Inventories		368.00
Financial assets		
(i) Investments		45.00
(ii) Trade Receivables		762.00
(iii) Cash and Cash Equivalents	3	59.00
(iv) Bank balances other than (iii) above		28.00
(v) Other financial assets		267.00
Total current assets		**1,529.00**
Total assets		**4,131.00**
EQUITY AND LIABILITIES		
Equity		
Equity Share Capital		295.00
Other equity		
Equity component of compound financial instruments		717.00
Reserves and surplus		2,481.00
Total equity		**3,493.00**
Liabilities		
Non-current liabilities		
Financial Liabilities		
Borrowings	4	300.00
Total non-current liabilities		**300.00**
Current liabilities		
Financial Liabilities		
(i) Trade payables		302.00

Other current liabilities		36.00
Total current liabilities		**338.00**
Total liabilities		**638.00**
Total equity and liabilities		**4,131.00**

Notes to Accounts

1. Property, Plant and Equipment

Particulars	₹ in Million
PPE value as on 1st April, 20X1	2,158.00
Add: Fair Value of Power Plant acquired	46.90
Total	2,204.90

2. Other Non-current Assets

Particulars	₹ in Million
Other non-current assets value as on 1st April, 20X1	25.00
Add: Fair Value of Non-current assets acquired	11.10
Total	36.10

3. Cash and Cash equivalents

Particulars	₹ in Million
Cash and Cash equivalents as on 1st April, 20X1	110
Less: Payment of Purchase consideration transferred	(51)
Total	59

4. Non-current Liabilities

Particulars	₹ in Million
Non-current Liabilities value as on 1st April, 20X1	268
Add: Non-current liabilities assumed in acquisition	32
Total	300

(d) Subsequent Accounting: Ind AS 103 provides a measurement period window, wherein if all the required information is not available on the acquisition date, then entity can do price allocation on provisional basis. During the measurement period, the acquirer shall retrospectively adjust the provisional amounts recognised

at the acquisition date to reflect new information obtained about facts and circumstances that existed as on the acquisition date and, if known, would have affected the measurement of the amounts recognised as of that date. Any change i.e. increase or decrease in the net assets acquired due to new information available during the measurement period which existed on the acquisition date will be adjusted against goodwill.

Accordingly, in the financial statements for half year ending 30th September, 20X1, Mini Limited will retrospectively adjusts the prior year information as follows:

(i) the carrying amount of PPE (including power plant) as of 1st April, 20X1 is increased by ₹ 8 million (i.e. ₹ 54.90 million minus ₹ 46.90 million). The adjustment is measured as the fair value adjustment at the acquisition date less the additional depreciation that would have been recognised if the asset's fair value at the acquisition date had been recognised from that date [(80,00,000/40) x (6/12) = 0.1 million]

(ii) the carrying amount of goodwill as of 1st April, 20X1 is decreased by ₹ 8 million; and

(iii) depreciation expense for the period ending 30th September, 20X1 will increase by ₹ 0.1 million;

(iv) disclose in its financial statements of 1st April, 20X1, that the initial accounting for the business combination has not been completed because the valuation of property, plant and equipment has not yet been received;

(v) disclose in its financial statements of 30th September, 20X1, the amounts and explanation of the adjustments to the provisional values recognised during the current reporting period. Therefore, Mini Limited discloses that comparative information is adjusted retrospectively to increase the fair value of the item of property, plant and equipment at the acquisition date by ₹ 8 million, offset by decrease in goodwill of ₹ 8 million.

Journal Entries

(1)	PPE (Power Plant)	Dr.	₹ 8 Million	
	To Goodwill			₹ 8 Million
(2)	Depreciation	Dr.	₹ 0.1 Million	
	To Provision for Depreciation			₹ 0.1 Million

Q13 · Definition of a business, substantive process and the concentration test

RTP Nov 2023 · Q1 · Numerical

1. Mini Limited is a manufacturing entity in textile industry. Mini Limited decided to reduce the cost of manufacturing by setting up its own power plant for their captive consumption. As per market research report, there was non-operational power plant in nearby area. Hence, it decided to acquire that power plant which was having capacity of 80MW along with all entire labour force. This Power entity was owned by another entity Max Limited. Mini Limited approached Max Limited for acquisition of 80MW power plant at following terms:

(i) Mini Limited will seek an independent valuation for determining fair value of 80MW power plant.

(ii) Value of other Non-current assets acquired, and Non–current financial liabilities

assumed is ₹ 11.10 million and ₹ 32 million respectively.

(iii) Consideration agreed between both the parties is at ₹ 51 million.

Both the parties agreed to the terms and entered into agreement on 1st April, 20X1 with immediate effect.

Due to unavoidable circumstances, valuation could not be completed by the time Max Limited finalizes its financial statements for the year ending 31st March, 20X1.

Max Limited's annual financial statements records the fair value of 80 MW Power Plant at ₹ 46.90 million with remaining useful life at 40 years.

Max Limited also has license to operate that power plant unrecorded in books. As on 31st March, 20X1, it has fair value of ₹ 5 million.

Six months after acquisition date, Mini Limited received the independent valuation, which estimated the fair value of 80MW Power Plant as ₹ 54.90 million.

CFO of Mini Limited, wants you to work upon following aspects of the transaction:

(a) Determine whether transaction should be accounted as asset acquisition or business combination.

(b) Calculate Goodwill / Bargain Purchase due to the above acquisition.

(c) Pass necessary journal entities in the books of Mini Limited as per Ind AS 103 and prepare balance sheet as on date of acquisition.

(d) Determine whether any adjustment is required in case of valuation received subsequent to acquisition. If yes, pass the necessary entries in the books of Mini Limited.

Balance Sheet of Mini Limited as at 31st March, 20X1

Particulars (₹ in Million)

ASSETS

Non-current assets

Property, plant and equipment	2,158
Capital work-in-progress	12
Deferred Tax Assets (Net)	324
Other non-current assets	25
Total non-current assets	2,519
Current assets	
Inventories	368
Financial assets	
(i) Investments	45
(ii) Trade Receivables	762
(iii) Cash and Cash Equivalents	110
(iv) Bank balances other than (iii) above	28
(v) Other financial assets	267
Total current assets	1,580
Total assets	4,099

EQUITY AND LIABILITIES

Equity

Equity Share Capital 295

Other equity

Equity component of compound financial instruments 717

Reserves and surplus	2,481
Total equity	3,493

Liabilities

Non-current liabilities

Financial Liabilities

Borrowings	268
Total non-current liabilities	268

Current liabilities

Financial Liabilities

(i) Trade payables	302
Other current liabilities	36
Total current liabilities	338
Total liabilities	606
Total equity and liabilities	4,099

Solution — ICAI

1. (a) Ind AS 103 defines business as an integrated set of activities and assets that is capable of being conducted and managed for the purpose of providing goods and services to customers, generating investment income (such as dividends or interest) or generating other income from ordinary activities.

In the given scenario, acquisition of power plant along with its labour force will be considered as integrated set of activity as it is capable of being generating power.

Hence, transaction will be considered as business combination and not asset acquisition and acquisition method of accounting will be applied.

Thus, following will be the case:

(i) Acquirer – Mini Ltd;

(ii) Acquiree – Max Ltd;

(iii) Acquisition date – 1st April, 20X1

(b) Calculation of Goodwill:

Particulars ₹ in Million

Purchase consideration (A)	51
Fair Value of Power Plant – PPE	46.90
Fair Value of other non-current assets	11.10

Fair Value of Intangible Asset (License) – Refer Note 1 below 5

Non-Current Liabilities assumed	(32)
Value of net assets acquired (B)	31
Goodwill	20

Note 1: The licence to operate power plant is an intangible asset that meets the contractual-legal criterion for recognition separately from goodwill though acquirer cannot sell or transfer it separately from the acquired power plant. Intangible Assets needs to be recorded by the acquirer at the time of accounting for acquisition though not recorded by the acquiree in its book.

(c) Journal Entries for acquiring power plant

Particulars ₹ in Million ₹ in Million

Fair Value of Power Plant Dr.		46.90
Fair Value of other assets Dr.		11.10
Fair Value of License acquired Dr.		5
Goodwill Dr.		20
To Liabilities assumed		32
To Bank (PC paid)		51

Balance Sheet of Mini Limited as at 1st April, 20X1

Particulars Notes to ₹ in Accounts Million

ASSETS

Non-current assets

Property, plant and equipment	1	2,204.90
Intangible Asset (License acquired in business combination)		5.00
Capital work-in-progress		12.00
Goodwill on acquisition		20.00
Deferred Tax Assets (Net)		324.00
Other non-current assets	2	36.10
Total non-current assets		2,602.00
Current assets		
Inventories		368.00
Financial assets		
(i) Investments		45.00
(ii) Trade Receivables		762.00
(iii) Cash and Cash Equivalents	3	59.00
(iv) Bank balances other than (iii) above		28.00
(v) Other financial assets		267.00
Total current assets		1,529.00
Total assets		4,131.00

EQUITY AND LIABILITIES

Equity

Equity Share Capital 295.00

Other equity

Equity component of compound financial

instruments	717.00
Reserves and surplus	2,481.00
Total equity	3,493.00

Liabilities

Non-current liabilities

Financial Liabilities

Borrowings	4	300.00
Total non-current liabilities		300.00

Current liabilities

Financial Liabilities

(i) Trade payables	302.00
Other current liabilities	36.00
Total current liabilities	338.00
Total liabilities	638.00
Total equity and liabilities	4,131.00

Notes to Accounts

1. Property, Plant and Equipment

Particulars ₹ in Million

PPE value as on 1st April, 20X1	2,158.00
Add: Fair Value of Power Plant acquired	46.90
Total	2,204.90

2. Other Non-current Assets

Particulars ₹ in Million

Other non-current assets value as on 1st April, 20X1 25.00

Add: Fair Value of Non-current assets acquired 11.10

Total 36.10

3. Cash and Cash equivalents

Particulars ₹ in Million

Cash and Cash equivalents as on 1st April, 20X1 110

Less: Payment of Purchase consideration transferred (51)

Total 59

4. Non-current Liabilities

Particulars ₹ in Million

Non-current Liabilities value as on 1st April, 20X1 268

Add: Non-current liabilities assumed in acquisition 32

Total 300

(d) Subsequent Accounting: Ind AS 103 provides a measurement period window,

wherein if all the required information is not available on the acquisition date, then

entity can do price allocation on provisional basis. During the measurement

period, the acquirer shall retrospectively adjust the provisional amounts recognised at the acquisition date to reflect new information obtained about facts and circumstances that existed as on the acquisition date and, if known, would have affected the measurement of the amounts recognised as of that date. Any change i.e. increase or decrease in the net assets acquired due to new information available during the measurement period which existed on the acquisition date will be adjusted against goodwill.

Accordingly, in the financial statements for half year ending 30th September, 20X1, Mini Limited will retrospectively adjusts the prior year information as follows:

(i) the carrying amount of PPE (including power plant) as of 1st April, 20X1 is increased by ₹ 8 million (i.e. ₹ 54.90 million minus ₹ 46.90 million). The adjustment is measured as the fair value adjustment at the acquisition date less the additional depreciation that would have been recognised if the asset's fair value at the acquisition date had been recognised from that date [(80,00,000/40) x (6/12) = 0.1 million]

(ii) the carrying amount of goodwill as of 1st April, 20X1 is decreased by ₹ 8 million; and

(iii) depreciation expense for the period ending 30th September, 20X1 will increase by ₹ 0.1 million

(iv) disclose in its financial statements of 1st April, 20X1, that the initial accounting for the business combination has not been completed because the valuation of property, plant and equipment has not yet been received;

(v) disclose in its financial statements of 30th September, 20X1, the amounts and explanation of the adjustments to the provisional values recognised during the current reporting period. Therefore, Mini Limited discloses that comparative information is adjusted retrospectively to increase the fair value of the item of property, plant and equipment at the acquisition date by ₹ 8 million, offset by decrease in goodwill of ₹ 8 million.

Journal Entries

(1) PPE (Power Plant) Dr. ₹ 8 Million

To Goodwill ₹ 8 Million

(2) Depreciation Dr. ₹ 0.1 Million

To Provision for Depreciation ₹ 0.1 Million

Q14 · Definition of a business, substantive process and the concentration test

MTP Nov 2022 S-I · Q1 · Numerical

1. Company X is engaged in the business of exploration & development of Oil & Gas Blocks. It currently holds participating interest (PI) along with other companies in below mentioned producing Block as follows:

Block Name Company X Company Y Company Z Total

AWM/01 30% 60% 10% 100%

For the above Block, Company X, Y & Z has entered into unincorporated Joint Venture.

Company Y is the Operator of the Block AWM/01. Company X and Company Z are the Joint Operators. Company Y incurs all the expenditure on behalf of Joint Venture and raise cash call to Company X and Company Z at each month end in respect of their share of expenditure incurred in Joint Venture. All the manpower and requisite facilities / machineries owned by the Joint venture and thereby owned by all the Joint Operators.

For past few months, due to liquidity issues, Company Z defaulted in payment of cash calls to operators. Therefore, company Y (Operator) has issued notice to company Z for withdrawal of their participating right from on 1.4.20X1. However, company Z has filed the appeal with arbitrator on 30.4.20X1.

Financial performance of company Z has not been improved in subsequent months and therefore company Z has decided to withdraw participating interest rights from Block AWM/01 and entered into sale agreement with Company X and Company Y. As per the terms of the agreement, dated 31.5.20X1, Company X will receive 33.33% share & Company Y will receive 66.67% share of PI rights owned by Company Z.

Company X is required to pay ₹ 1,00,000 against 33.33% share of PI rights owned by Company Z.

After signing of sale agreement, Operator (company Y) approach Government of India for modification in PSC (Production Sharing Contract) i.e. removal of Company Z from PSC of AWM/01 and government has approved this transaction on 30.6.20X1. Government approval for the modification in PSC is essential for the given industry in which the joint-operators operate.

Balance Sheet of Company X and Company Z

Company X Company Z

Particulars

31.5.20X1 30.6.20X1 31.5.20X1 30.6.20X1

₹ ₹ ₹ ₹

Assets

Non-Current Assets

Property, Plant & Equipment	5,00,000	10,00,000	1,50,000	3,00,000
Right of Use Asset	1,00,000	2,00,000	10,000	20,000
Development CWIP	50,000	1,00,000	50,000	1,00,000
Financial Assets				
Loan receivable	25,000	50,000	25,000	50,000
Total Non-Current Assets	6,75,000	13,50,000	2,35,000	4,70,000
Current assets				
Inventories	1,00,000	2,00,000	15,000	30,000
Financial Assets				
Trade receivables	1,50,000	3,00,000	50,000	1,00,000
Cash and cash equivalents	2,00,000	4,00,000	1,00,000	2,00,000
Other Current Assets	2,25,000	50,000	25,000	50,000
Total Current Assets	6,75,000	9,50,000	1,90,000	3,80,000
Total Assets	13,50,000	23,00,000	4,25,000	8,50,000

Equity and Liabilities

Equity

Equity share capital	3,00,000	3,00,000	1,00,000	1,00,000
Other equity	2,00,000	3,00,000	75,000	2,50,000
Total Equity	5,00,000	6,00,000	1,75,000	3,50,000

Liabilities

Non-Current Liabilities

Provisions	4,00,000	8,00,000	1,00,000	2,00,000
Other Liabilities	1,50,000	3,00,000	50,000	1,00,000
Total Non-Current Liabilities	5,50,000	11,00,000	1,50,000	3,00,000

Current Liabilities

Financial Liabilities

Trade Payables	3,00,000	6,00,000	1,00,000	2,00,000
Total Current Liabilities	3,00,000	6,00,000	1,00,000	2,00,000
Total Liabilities	13,50,000	23,00,000	4,25,000	8,50,000

Additional Information:

1. Fair value of PPE & Development CWIP owned by Company Z as per market participant approach is ₹ 5,00,000 & ₹ 2,00,000 respectively.

2. Fair value of all the other assets and liabilities acquired are assumed to be at their carrying values (except cash & cash equivalent). Cash and cash equivalents of Company Z are not to be acquired by Company X as per the terms of agreement.

3. Tax rate is assumed to be 30%.

4. As per Ind AS 28, all the joint operators are joint venturers whereby each parties that have joint control of the arrangement have rights to the net assets of the arrangement and therefore every operator records their share of assets and liabilities in their books.

You need to determine the following:

1. Whether the above acquisition falls under business or asset acquisition as defined under business combination standard Ind AS 103?

2. Determine the acquisition date in the above transaction?

3. Prepare Journal entries for the above-mentioned transaction?

4. Draft the Balance Sheet for Company X based on your analysis in Part 1 above as at acquisition date.

5. Is this a case of step acquisition? Explain. (20 Marks)

Solution — ICAI

1. (1) Ind AS 103 defines business as an integrated set of activities and assets that is capable of being conducted and managed for the purpose of providing goods or services to customers, generating investment income (such as dividends or interest) or generating other income from ordinary activities.

For a transaction to meet the definition of a business combination (and for the acquisition method of accounting to apply), the entity must gain control of business that is more than a collection of assets or a combination of assets and liabilities.

To be capable of being conducted and managed for the purpose identified in the definition of a business, an integrated set of activities and assets requires two essential elements—inputs and processes applied to those inputs.

Therefore, an integrated set of activities and assets must include, at a minimum, an input and a substantive process that together significantly contribute to the ability to create output.

In the aforesaid transaction, Company X acquired share of participating rights owned by Company Z for the producing Block (AWM/01). The output exist in this transaction (Considering AWM/01) is a producing block. Also all the manpower and requisite facilities / machineries are owned by Joint venture and thereby all the Joint Operators. Hence, acquiring participating rights tantamount to acquire inputs (Expertise Manpower & Machinery) and it is critical to the ability to continue producing outputs. Thus, the said acquisition will fall under 'Business Acquisition' and hence standard Ind AS 103 is to be applied for the same.

(2) As per paragraph 8 of Ind AS 103, acquisition date is the date on which the acquirer obtains control of the acquiree. Further, paragraph 9 of Ind AS 103 clarifies that the date on which the acquirer obtains control of the acquiree is generally the date on which the acquirer legally transfers the consideration, acquires the assets and assumes the liabilities of the acquiree—the closing date. However, the acquirer might obtain control on a date that is either earlier or later than the closing date.

An acquirer shall consider all pertinent facts and circumstances in identifying the acquisition date.

Since Government of India (GOI) approval is a substantive approval for Company X to acquire control of Company Z's operations, the date of acquisition cannot be earlier than the date on which approval is obtained from GOI. This is pertinent given that the approval from GOI is considered to be a substantive process and accordingly, the acquisition is considered to be completed only on receipt of such approval. Hence, acquisition date in the above scenario is

30.6.20X1.

(3) Journal entry for acquisition

Amount Amount

Particulars (₹) (₹)

Property Plant & Equipment (W.N.1) Dr.	1,66,650
Right-of-use Asset Dr.	6,666
Development CWIP (W.N.2) Dr.	66,660
Financial Assets - Loan Receivables Dr.	16,665
Inventories Dr.	9,999
Trade Receivables Dr.	33,330
Other Current Assets Dr.	16,665
To Provisions	66,660
To Other Liabilities	33,330
To Trade Payables	66,660
To Deferred Tax Liability (W.N.4)	29,997
To Cash & Cash Equivalent (purchase	
consideration)	1,00,000
To Gain on bargain purchase (Other	
Comprehensive Income) (W.N.3) (Bal. fig.)	19,988

(Being assets acquired and liabilities assumed from Company Z recorded at fair value

along gain on bargain purchase)

(4) Balance Sheet of Company X as at 30.6.20X1

(Pre & Post Acquisition of PI rights pertaining to Company Z)

Pre-Acquisition Adjustments Post-Acquisition

Particulars

30.6.20X1 33.33% Share 30.6.20X1

Assets

Non-Current Assets

Property Plant & Equipment	10,00,000	1,66,650	11,66,650
Right of Use Asset	2,00,000	6,666	2,06,666
Development CWIP	1,00,000	66,660	1,66,660
Financial Assets			
Loan receivable	50,000	16,665	66,665
Total Non-Current Assets	13,50,000	2,56,641	16,06,641
Current assets			
Inventories	2,00,000	9,999	2,09,999
Financial Assets			
Trade receivables	3,00,000	33,330	3,33,330
Cash and cash equivalents	4,00,000	(1,00,000)	3,00,000
Other Current Assets	50,000	16,665	66,665
Total Current Assets	9,50,000	(40,006)	9,09,994
Total Assets	23,00,000	2,16,635	25,16,635

Equity and Liabilities

Equity

Equity share capital	3,00,000		3,00,000
Other equity	3,00,000		3,00,000
Capital Reserve (OCI)		19,988	19,988
Total Equity	6,00,000	19,988	6,19,988

Liabilities

Non-Current Liabilities

Provisions	8,00,000	66,660	8,66,660
Other Liabilities	3,00,000	33,330	3,33,330
Deferred Tax Liability		29,997	29,997
Total Non-Current Liabilities	11,00,000	1,29,987	12,29,987

Current Liabilities

Financial liabilities

Trade Payables	6,00,000	66,660	6,66,660
Total Current Liabilities	6,00,000	66,660	6,66,660
Total Equity and Liabilities	23,00,000	2,16,635	25,16,635

(5) As per Ind AS 103, in case an entity acquires another entity step by step through series of purchase then the acquisition date will be the date on which the acquirer obtains control. Till the time the control is obtained the investment will be accounted as per the requirements of other Ind AS 109, if the investments are covered under that standard or as per Ind AS 28, if the investments are in Associates or Joint Ventures.

If a business combination is achieved in stages, the acquirer shall remeasure its previously held equity interest in the acquiree at its acquisition-date fair value and recognise the resulting gain or loss, if any, in profit or loss or other comprehensive income, as appropriate.

Since in the above transaction, company X does not hold any prior interest in Company Z and company holds only 30% PI rights in Block AWM/01 through unincorporated joint venture, this is not a case of step acquisition.

Working Notes:

1. Fair Value of Property, plant and equipment

Fair Value of PPE in Company Z Books ₹ 5,00,000

33.33% Share acquired by Company X ₹ 1,66,650

2. Fair Value of Development CWIP:

Fair Value of PPE in Company Z Books ₹ 2,00,000

33.33% Share acquired by Company X ₹ 66,660

3. Computation Goodwill/Bargain Purchase Gain

Particulars As at 30.6.20X1 (₹)

Total Non - Current Assets	2,56,641
Total Current Assets (Except Cash & Cash Equivalent of	
	59,994
₹ 66,660) (1,26,654 – 66,660)	
Total Non-Current Liabilities	(99,990)
Total Current Liabilities	(66,660)
Total Deferred Tax Liability (Refer Working note 3)	(29,997)
Net Assets acquired	1,19,988
Less: Consideration Paid	(1,00,000)
Gain on Bargain Purchase* (To be transferred to OCI)	19,988

*In extremely rare circumstances, an acquirer will make a bargain purchase in a business combination in which the value of net assets acquired in a business combination exceeds the purchase consideration. The acquirer shall recognise the resulting gain in other comprehensive income on the acquisition date and accumulate the same in equity as capital reserve, if the reason for bargain purchase gain is clear and evidence exist. If there does not exist clear evidence of the underlying reasons for classifying the business combination as a bargain purchase, then the gain shall be recognised directly in equity as capital reserve. Since in above scenario it is clearly evident that due to liquidity issues, Company Z has to withdraw their participating right from AWM/01. The said bargain purchase gain should be transferred to other comprehensive income on the acquisition date.

4. Computation of Deferred Tax Liability arising on Business Combination

Acquisition

Particulars

Date Value (₹)

Total Non - Current Assets 2,56,641

Total Current Assets (Except Cash & Cash Equivalent of ₹ 66,660) 59,994

Total Non-Current Liabilities	(99,990)
Total Current Liabilities	(66,660)
Net Assets Acquired at Fair Value	1,49,985
Book value of Net Assets Acquired	49,995
Temporary Difference	99,990
DTL @ 30% on Temporary Difference	29,997

Ⓑ Acquirer, reverse acquisition and acquisition date

Q15 · Step 1 — identifying the acquirer

SM Ch 12 · Illustration 4: Potential voting rights · Theory

Illustration 4: Potential voting rights

Company P Ltd., a manufacturer of textile products, acquires 40,000 equity shares of Company X (a manufacturer of complementary products) out of 1,00,000 shares in issue. As part of the same agreement, the Company P purchases an option to acquire an additional 25,000 shares. The option is exercisable at any time in the next 12 months. The exercise price includes a small premium to the market price at the transaction date.

After the above transaction, the shareholdings of Company X's two other original shareholders are 35,000 and 25,000. Each of these shareholders also has currently exercisable options to acquire 2,000 additional shares.

Assess whether control is acquired by Company P.

Solution — ICAI

Solution

In assessing whether it has obtained control over Company X, Company P should consider not only the 40,000 shares it owns but also its option to acquire another 25,000 shares (a so-called potential voting right). In this assessment, the specific terms and conditions of the option agreement and other factors are considered as follows:

- the options are currently exercisable and there are no other required conditions before such options can be exercised
- if exercised, these options would increase Company P's ownership to a controlling interest of over 50% before considering other shareholders' potential voting rights (65,000 shares out of a total of 1,25,000 shares)
- although other shareholders also have potential voting rights, if all options are exercised Company P will still own a majority (65,000 shares out of 1,29,000 shares)
- the premium included in the exercise price makes the options out-of-the-money. However, the fact that the premium is small and the options could confer majority ownership indicates that the potential voting rights have economic substance.

By considering all the above factors, Company P concludes that with the acquisition of the 40,000 shares together with the potential voting rights, it has obtained control of Company X.

Q16 · Step 1 — identifying the acquirer

SM Ch 12 · Illustration 5 · Theory

Illustration 5

Veera Limited and Zeera Limited are both in the business of manufacturing and selling of Lubricant. Shareholders of Veera Limited and Zeera Limited agreed to join forces to benefit from lower delivery and distribution costs. The business combination is carried out by setting up a new entity called Meera Limited that issues 100 shares to Veera Limited shareholders and 50 shares to Zeera Limited shareholders in exchange for the transfer of the shares in those entities. The number of shares reflects the relative fair values of the entities before the combination. Also respective company's shareholders get the voting rights in Meera Limited based on their respective shareholdings.

Determine the acquirer by applying the principles of Ind AS 103 'Business Combinations'

Solution — ICAI

Solution

As per para B15 of Ind AS 103, in a business combination effected primarily by exchanging equity interests, the acquirer is usually the entity that issues its equity interests. However, in some business combinations, commonly called 'reverse acquisitions', the issuing entity is the acquiree. Other pertinent facts and circumstances shall also be considered in identifying the acquirer in a business combination effected by exchanging equity interests, including:

The relative voting rights in the combined entity after the business combination - The acquirer is usually the combining entity whose owners as a group retain or receive the largest portion of the voting rights in the combined entity.

Based on above mentioned para, acquirer shall be the either of the combining entities (i.e. Veera Limited or Zeera Limited) whose owners as a Group retain or receive the largest portion of the voting rights in the combined entity.

Hence in the above scenario Veera Limited shareholder gets 67% Share [(100/150) x100] and Zeera Limited shareholder gets 33.33% share in Meera Limited. Hence Veera Limited is acquirer as per the principles of Ind AS 103.

Q17 · Step 1 — identifying the acquirer

SM Ch 12 · Illustration 6 · Theory

Illustration 6

ABC Ltd. incorporated a company Super Ltd. to acquire 100% shares of another entity Focus Ltd. (and therefore to obtain control of the Focus Ltd.). To fund the purchase, Super Ltd. acquired a loan from XYZ Bank at commercial interest rates. The loan funds are used by Super Ltd. to acquire entire voting shares of Focus Ltd. at fair value in an orderly transaction. Post the acquisition, Super Ltd. has the ability to elect or appoint or to remove a majority of the members of the governing body of the Focus Ltd. and also Super Ltd.'s management is in a power where it will be able to dominate the management of the Focus Ltd.

State whether Super Ltd. be identified as the acquirer in this business combination.

Solution — ICAI

Solution

Paragraph 6 of Ind AS 103 states that for each business combination, one of the combining entities shall be identified as the acquirer.

While paragraph 7 states that the guidance in Ind AS 110 shall be used to identify the acquirer that is the entity that obtains control of another entity called the acquiree. If a business combination has occurred but applying the guidance in Ind AS 110 does not clearly indicate which of the combining entities is the acquirer, the factors in paragraphs B14–B18 of Ind AS 103 shall be considered in making that determination.

Further, paragraph B15 provides that, in a business combination effected primarily by exchanging equity interests, the acquirer is usually the entity that issues its equity interests. However, in some business combinations, commonly called 'reverse acquisitions', the issuing entity is the acquiree. Other pertinent facts and circumstances shall also be considered in identifying the acquirer in a business combination effected by exchanging equity interests, including:

(a) **The relative voting rights in the combined entity after the business combination:** The acquirer is usually the combining entity whose owners as a group retain or receive the largest portion of the voting rights in the combined entity. In determining which group of owners retains or receives the largest portion of the voting rights, an entity shall consider the existence of any unusual or special voting arrangements and options, warrants or convertible securities.

(b) **The existence of a large minority voting interest in the combined entity if no other owner or organised group of owners has a significant voting interest:** The acquirer is usually the combining entity whose single owner or organised group of owners holds the largest minority voting interest in the combined entity.

(c) **The composition of the governing body of the combined entity:** The acquirer is usually the combining entity whose owners have the ability to elect or appoint or to remove a majority of the members of the governing body of the combined entity.

(d) **The composition of the senior management of the combined entity:** The acquirer is usually the combining entity whose (former) management dominates the management of the combined entity.

(e) **The terms of the exchange of equity interests:** The acquirer is usually the combining entity that pays a premium over the pre-combination fair value of the equity interests of the other combining entity or entities.

The key drivers of the accounting are identifying the party on whose behalf the new entity has been formed and identifying the business acquired. In this scenario, as Super Ltd. has the ability to elect or appoint or to remove a majority of the members of the governing body of the Focus Ltd. and has the ability to dominate the management of the Focus Ltd. Accordingly, Super Ltd. will be identified as the acquirer unless there are conditions to conclude to the contrary.

Q18 · Reverse acquisitions

SM Ch 12 · Test Your Knowledge Q2 · Numerical

2. On 31st December, 20X1, Entity A issues 2.5 shares in exchange for each ordinary share of Entity B. All of Entity B's shareholders exchange their shares in Entity B. Therefore, Entity A issues 150 ordinary shares in exchange for all 60 ordinary shares of Entity B.

   The fair value of each ordinary share of Entity B at 31st December, 20X1 is ₹ 40. The quoted market price of Entity A's ordinary shares at that date is ₹ 16.

   The fair values of Entity A's identifiable assets and liabilities at 31st December, 20X1 are the same as their carrying amounts, except that the fair value of Entity A's non- current assets at 31st December, 20X1 is ₹ 1,500.

   The balance sheets of Entity A and Entity B immediately before the business combination are:

	Entity A (legal parent, accounting acquiree)	Entity B (legal subsidiary, accounting acquirer)
Current assets	500	700
Non-current assets	1,300	3,000
Total assets	1,800	3,700
Current liabilities	300	600
Non-current liabilities	400	1,100
Total liabilities	700	1,700
Shareholders' equity		
Retained earnings	800	1,400
Issued equity		
100 ordinary shares	300	
60 ordinary shares		600
Total shareholders' equity	1,100	2,000
Total liabilities and shareholders' equity	1,800	3,700

Assume that Entity B's earnings for the annual period ended 31st March, 20X1 were ₹ 600 and that the consolidated earnings for the annual period ended 31st March, 20X2 were ₹ 800. Assume also that there was no change in the number of ordinary shares issued by Entity B during the annual period ended 31st March, 20X1 and during the period from 1st January, 20X1 to the date of the reverse acquisition on 31st December, 20X1.

Calculate the fair value of the consideration transferred measure goodwill and prepare consolidated balance sheet as on 31st December, 20X1.

Solution — ICAI

2. Identifying the acquirer

As a result of Entity A issuing 150 ordinary shares, Entity B's shareholders own 60 per cent of the issued shares of the combined entity (i.e., 150 of the 250 total issued shares). The remaining 40 per cent are owned by Entity A's shareholders. Thus, the transaction is determined to be a reverse acquisition in which Entity B is identified as the accounting acquirer while Entity A is the legal acquirer.

Calculating the fair value of the consideration transferred

If the business combination had taken the form of Entity B issuing additional ordinary shares to Entity A's shareholders in exchange for their ordinary shares in Entity A, Entity B would have had to issue 40 shares for the ratio of ownership interest in the combined entity to be the same. Entity B's shareholders would then own 60 of the 100 issued shares of Entity B — 60 per cent of the combined entity. As a result, the fair value of the consideration effectively transferred by Entity B and the group's interest in Entity A is ₹ 1,600 (40 shares with a fair value per share of ₹ 40).

The fair value of the consideration effectively transferred should be based on the most reliable measure. Here, the quoted market price of Entity A's shares provides a more reliable basis for measuring the consideration effectively transferred than the estimated fair value of the shares in Entity B, and the consideration is measured using the market price of Entity A's 100 shares with a fair value per share of ₹ 16.

Measuring goodwill

Goodwill is measured as the excess of the fair value of the consideration effectively transferred (the group's interest in Entity A) over the net amount of Entity A's recognised identifiable assets and liabilities, as follows:

	₹	₹
Consideration effectively transferred		1,600
Net recognised values of Entity A's identifiable assets and liabilities		
Current assets	500	
Non-current assets	1,500	
Current liabilities	(300)	
Non-current liabilities	(400)	(1,300)
Goodwill		300

Consolidated balance sheet at 31st December, 20X1

The consolidated balance sheet immediately after the business combination is:

	₹
Non-current assets [3,000 + 1,500]	4,500
Goodwill	300
Current assets [700 + 500]	1,200
Total assets	6,000
Shareholders' equity	
Issued equity 250 ordinary shares [600 + 1,600]	2,200
Retained earnings	1,400
Total shareholders' equity	3,600
Non-current liabilities [1,100 + 400]	1,500
Current liabilities [600 + 300]	900
Total liabilities	2,400
Total liabilities and shareholders' equity	6,000

The amount recognised as issued equity interests in the consolidated financial statements (₹ 2,200) is determined by adding the issued equity of the legal subsidiary immediately before the business combination (600) and the fair value of the consideration effectively transferred (₹ 1,600). However, the equity structure appearing in the consolidated financial statements (i.e., the number and type of equity interests issued) must reflect the equity structure of the legal parent, including the equity interests issued by the legal parent to affect the combination.

Q19 · Step 2 — the acquisition date

SM Ch 12 · Illustration 7 · Theory

Illustration 7

Can an acquiring entity account for a business combination based on a signed non-binding letter of intent where the exchange of consideration and other conditions are expected to be completed with 2 months?

Solution — ICAI

Solution

No. as per the requirement of the standard a non- binding Letter of Intent (LOI) does not effectively transfer control and hence this cannot be considered as the basis for determining the acquisition date.

Q20 · Step 2 — the acquisition date

SM Ch 12 · Illustration 8 · Theory

Illustration 8

On 1st April, X Ltd. agrees to acquire the share of B Ltd. in an all equity deal. As per the binding agreement X Ltd. will get the effective control on 1st April. However, the consideration will be paid only when the shareholders' approval is received. The shareholder's meeting is scheduled to happen on 30th April. If the shareholders' approval is not received for issue of new shares, then the consideration will be settled in cash.

Determine the acquisition date.

Solution — ICAI

Solution

The acquisition date in the above case is 1st April. This is because, in the above scenario, even if the shareholders don't approve the shares, consideration will be settled through payment of cash.

Q21 · Step 2 — the acquisition date

SM Ch 12 · Illustration 9 : Business Combination without a Court approved scheme · Theory

Illustration 9 : Business Combination without a Court approved scheme

ABC Ltd. acquired all the shares of XYZ Ltd. The negotiations had commenced on 1st January, 20X1 and the agreement was finalised on 1st March, 20X1. While ABC Ltd. obtains the power to control XYZ Ltd.'s operations on 1st March, 20X1, the agreement states that the acquisition is effective from 1st January, 20X1 and that ABC Ltd. is entitled to all profits after that date. In addition, the purchase price is based on XYZ Ltd.'s net asset position as at 1st January, 20X1.

Determine the date of acquisition.

Solution — ICAI

Solution

Paragraph 8 of Ind AS 103 provides that acquisition date is the date on which the acquirer obtains control of the acquiree.

Further paragraphs 6 and 7 of Ind AS 110, Consolidated Financial Statements, inter alia, state that an investor controls an investee when it is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Thus, an investor controls an investee if and only if the investor has all the following:

(a) power over the investee;

(b) exposure, or rights, to variable returns from its involvement with the investee; and

(c) the ability to use its power over the investee to affect the amount of the investor's returns.

Further, paragraph 9 of Ind AS 103 clarifies that the date on which the acquirer obtains control of the acquiree is generally the date on which the acquirer legally transfers the consideration, acquires the assets and assumes the liabilities of the acquiree—the closing date. However, the acquirer might obtain control on a date that is either earlier or later than the closing date.

Therefore, in this case, notwithstanding that the price is based on the net assets as at 1st January, 20X1 and that XYZ Ltd.'s shareholders do not receive any dividends after that date, the date of acquisition for accounting purposes will be 1st March, 20X1. It is only on 1st March, 20X1 and not 1st January, 20X1, that ABC Ltd. has the power to direct the relevant activities of XYZ Ltd. so as to affect its returns from its involvement with XYZ Ltd. Accordingly, the date of acquisition is 1st March, 20X1.

Q22 · Step 2 — the acquisition date

SM Ch 12 · Illustration 10 : Acquisition date- Regulatory approval · Theory

Illustration 10 : Acquisition date- Regulatory approval

ABC Ltd. and XYZ Ltd. are manufacturers of rubber components for a particular type of equipment. ABC Ltd. makes a bid for XYZ Ltd.'s business and the Competition Commission of India (CCI) announces that the proposed transaction is to be scrutinised to ensure that competition laws are not breached. Even though the contracts are made subject to the approval of the CCI, ABC Ltd. and XYZ Ltd. mutually agree the terms of the acquisition and the purchase price before competition authority clearance is obtained.

Can the acquisition date in this situation be the date on which ABC Ltd. and XYZ Ltd. agree the terms even though the approval of CCI is awaited? Assume that the approval of CCI is substantive.

Solution — ICAI

Solution

Paragraph 8 of Ind AS 103 provides that acquisition date is the date on which the acquirer obtains control of the acquiree.

Further, paragraph 9 of Ind AS 103 clarifies that the date on which the acquirer obtains control of the acquiree is generally the date on which the acquirer legally transfers the consideration, acquires the assets and assumes the liabilities of the acquiree — the closing date. However, the acquirer might obtain control on a date that is either earlier or later than the closing date.

For example, the acquisition date precedes the closing date if a written agreement provides that the acquirer obtains control of the acquiree on a date before the closing date. An acquirer shall consider all pertinent facts and circumstances in identifying the acquisition date.

Since CCI approval is a substantive approval for ABC Ltd. to acquire control of XYZ Ltd.'s operations, the date of acquisition cannot be earlier than the date on which approval is obtained from CCI. This is pertinent given that the approval from CCI is considered to be a substantive process and accordingly, the acquisition is considered to be completed only on receipt of such approval.

© Consideration, step acquisition, contingent consideration

Q23 · Purchase consideration and acquisition-related costs

SM Ch 12 · Illustration 13 · Theory

Illustration 13

Should stamp duty paid on acquisition of land pursuant to a business combination be capitalised to the cost of the asset or should it be treated as an acquisition related cost and accordingly be expensed off?

Solution — ICAI

Solution

As per Ind AS 103, the acquisition-related costs incurred by an acquirer to affect a business combination are not part of the consideration transferred.

Paragraph 53 of Ind AS 103 states that, acquisition-related costs are costs the acquirer incurs to affect a business combination. Those costs include finder's fees; advisory, legal, accounting, valuation and other professional or consulting fees; general administrative costs, including the costs of maintaining an internal acquisitions department; and costs of registering and issuing debt and equity securities. The acquirer shall account for acquisition related costs as expenses in the periods in which the costs are incurred and the services are received, with one exception.

Note: The costs to issue debt or equity securities shall be recognised in accordance with Ind AS 32 and Ind AS 109.

The stamp duty payable for transfer of assets in connection with the business combination is an acquisition-related cost as described under paragraph 53 of Ind AS 103. Stamp duty is a cost incurred by the acquirer in order to affect the business combination and it is not part of the fair value exchange between the buyer and seller for the business. In such cases, the stamp duty is incurred to acquire the ownership rights in land in order to complete the process of transfer of assets as part of the overall business combination transaction, but it does not represent consideration paid to gain control over business from the sellers.

It may be noted that the accounting treatment of stamp duty incurred for separate acquisition of an item of property, plant and equipment (i.e. not as part of business combination) differs under Ind AS 16, Property, Plant and Equipment. Unlike Ind AS 16, the acquisition accounting as per Ind AS 103 requires assets and liabilities acquired in a business combination to be measured at fair value. While incurred in connection with a business combination, stamp duty does not increase the future economic benefits from the net assets comprising the business (which would be recognised at fair value) and hence cannot be capitalised. The examples of costs given in paragraph 53 is only an inclusive list; they are only indicative and do not preclude any other cost to be considered as acquisition-related cost. In the given case, the transfer of land and the related stamp duty is required to be accounted as part of the business combination transaction as per requirements of Ind AS 103 and not as a separate transaction under Ind AS.

Accordingly, stamp duty incurred in relation to land acquired as part of a business combination transaction are required to be recognised as an expense in the period in which the acquisition is completed and given effect to in the financial statements of the acquirer.

Q24 · Purchase consideration and acquisition-related costs

SM Ch 12 · Illustration 14 · Theory

Illustration 14

ABC Ltd. acquires PQR Ltd. on 30th June, 20X1. The assets acquired from PQR Ltd. include an intangible asset that comprises wireless spectrum license. For this intangible asset, ABC Ltd. is required to make an additional one-time payment to the regulator in PQR's jurisdiction in order for the rights to be transferred for its use.

Whether such additional payment to the regulator is an acquisition-related cost?

Solution — ICAI

Solution

As per Ind AS 103, the acquisition-related costs incurred by an acquirer to affect a business combination are not part of the consideration transferred.

Paragraph 53 of Ind AS 103 states that, acquisition-related costs are costs the acquirer incurs to affect a business combination. Those costs include finder's fees; advisory, legal, accounting, valuation and other professional or consulting fees; general administrative costs, including the costs of maintaining an internal acquisitions department; and costs of registering and issuing debt and equity securities. The acquirer shall account for acquisition-related costs as expenses in the periods in which the costs are incurred and the services are received, with one exception. The costs to issue debt or equity securities shall be recognised in accordance with Ind AS 32 and Ind AS 109.

The payment to the regulator represents a transaction cost and will be regarded as acquisition related cost incurred to affect the business combination. Applying the requirements of para 53 of Ind AS 103, it should be expensed as it is incurred. Transfer of rights in the instant case cannot be construed to be separate from the business combination because the transfer of the rights to ABC Ltd. is an integral part of the business combination itself.

It may be noted that had the right been acquired separately (i.e. not as part of business combination), the transaction cost is required to be capitalised as part of the intangible asset as per the requirements of Ind AS 38, Intangible Assets.

Q25 · Business combination achieved in stages (step acquisition)

SM Ch 12 · Illustration 11 · Numerical

Illustration 11

On 1st April, 20X1, PQR Ltd. acquired 30% of the voting ordinary shares of XYZ Ltd. for ₹ 8,000 crore. PQR Ltd. accounts its investment in XYZ Ltd. using equity method as prescribed under Ind AS 28. At 31st March, 20X2, PQR Ltd. recognised its share of the net asset changes of XYZ Ltd. using equity accounting as follows:

	(₹ in crore)
Share of profit or loss	*700*
Share of exchange difference in OCI	*100*
Share of revaluation reserve of PPE in OCI	*50*

The carrying amount of the investment in the associate on 31st March, 20X2 was therefore ₹ 8,850 crore (8,000 + 700 + 100 + 50).

On 1st April, 20X2, PQR Ltd. acquired the remaining 70% of XYZ Ltd. for cash ₹ 25,000 crore. The following additional information is relevant at that date:

	(₹ in crore)
Fair value of the 30% interest already owned	*9,000*
Fair value of XYZ's identifiable net assets	*30,000*

Determine the accounting such business combination.

Solution — ICAI

Solution

Paragraph 42 of Ind AS 103 provides that in a business combination achieved in stages, the acquirer shall remeasure its previously held equity interest in the acquiree at its acquisition-date fair value and recognise the resulting gain or loss, if any, in statement of profit and loss or other comprehensive income, as appropriate. In prior reporting periods, the acquirer may have recognized changes in the value of its equity interest in the acquiree in other comprehensive income. If so, the amount that was recognised in other comprehensive income shall be recognised on the same basis as would be required if the acquirer had disposed directly of the previously held equity interest.

Applying the above, PQR Ltd. records the following entry in its consolidated financial statements:

		(₹ in crore)	
		Debit	Credit
Identifiable net assets of XYZ Ltd.	Dr.	30,000	
Goodwill (W.N.1)	Dr.	4,000	
Foreign currency translation reserve	Dr.	100	
PPE revaluation reserve	Dr.	50	
To Cash			25,000
To Investment in associate -XYZ Ltd.			8,850
To Retained earnings (W.N.2)			50
To Gain on previously held interest in XYZ recognised in Profit or loss (W.N.3)			250
(To recognise acquisition of XYZ Ltd.)			

Working Notes:

1. **Calculation of Goodwill**

	₹ in crore
Cash consideration	25,000
Add: Fair value of previously held equity interest in XYZ Ltd.	9,000
Total consideration	34,000
Less: Fair value of identifiable net assets acquired	(30,000)
Goodwill	4,000

2. The credit to retained earnings represents the reversal of the unrealized gain of ₹ 50 crore in Other Comprehensive Income related to the revaluation of property, plant and equipment. In accordance with Ind AS 16, this amount is not reclassified to profit or loss.

3. The gain on the previously held equity interest in XYZ Ltd. is calculated as follows:

	₹ in crore
Fair Value of 30% interest in XYZ Ltd. at 1st April, 20X2	9,000
Carrying amount of interest in XYZ Ltd. at 1st April, 20X2	(8,850)
	150
Unrealised gain previously recognised in OCI	100
Gain on previously held interest in XYZ Ltd. recognised in profit or loss	250

Q26 · Business combination achieved in stages (step acquisition)

SM Ch 12 · Test Your Knowledge Q1 · Numerical

1. Company A and Company B are in power business. Company A holds 25% of equity shares of Company B. On 1st November, Company A obtains control of Company B when it acquires a further 65% of Company B's shares, thereby resulting in a total holding of 90%. The acquisition had the following features:

   - **Consideration:** Company A transfers cash of ₹ 59,00,000 and issues 1,00,000 shares on 1st November. The market price of Company A's shares on the date of issue is ₹ 10 per share.
   - **Contingent consideration:** Company A agrees to pay additional consideration of ₹ 7,00,0g12000 if the cumulative profits of Company B exceed ₹ 70,00,000 over the next two years. At the acquisition date, it is not considered probable that the extra consideration will be paid. The fair value of the contingent consideration is determined to be ₹ 3,00,000 at the acquisition date.
   - **Transaction costs:** Company A pays acquisition-related costs of ₹ 1,00,000.
   - **Non-controlling interests (NCI):** The fair value of the NCI is determined to be ₹ 7,50,000 at the acquisition date based on market prices. Company A elects to measure non-controlling interest at fair value for this transaction.
   - **Previously held non-controlling equity interest:** Company A has owned 25% of the shares in Company B for several years. At 1st November, the investment is included in Company A's consolidated balance sheets at ₹ 6,00,000, accounted for using the equity method; the fair value is ₹ 20,00,000.

   The fair value of Company B's net identifiable assets at 1st November is ₹ 60,00,000, determined in accordance with Ind AS 103.

   Determine the accounting under acquisition method for the business combination by Company A.

Solution — ICAI

1. ***Identify the acquirer***

   In this case, Company A has paid cash consideration to shareholders of Company B. Further, the shares issued to Company B pursuant to the acquisition do not transfer control of Company A to erstwhile shareholders of Company B. Therefore, Company A is the acquirer and Company B is the acquiree.

Determine acquisition date

As the control over the business of Company B is transferred to Company A on 1st November, that date is considered as the acquisition date.

Determine the purchase consideration

The purchase consideration in this case will comprise the following:

Cash consideration	₹ 59,00,000
Equity shares issued (1,00,000 x 10 i.e., at fair value)	₹ 10,00,000
Contingent consideration (at fair value)	₹ 3,00,000
Fair value of previously held interest	₹ 20,00,000

As such, the total purchase consideration is ₹ 92,00,000.

Acquisition cost incurred by and on behalf of the Company A for acquisition of Company B should be recognised in the Statement of profit and loss. As such, an amount of ₹ 1,00,000 should be recognised in Statement of profit and loss.

Determine fair value of identifiable assets and liabilities

The fair value of identifiable net assets is determined at ₹ 60,00,000.

Measure NCI

The management has decided to recognise the NCI at its fair value. As such, the NCI will be recognised at ₹ 7,50,000.

Re-measure previously held interests in case business combination is achieved in stages

In this case, the control has been acquired in stages i.e., before acquisition to control, the Company A exercised significant influence over Company B. As such, the previously held interest should be measured at fair value and the difference between the fair value and the carrying amount as at the acquisition date should be recognised in Statement of Profit and Loss. As such, an amount of ₹ 14,00,000 (i.e., 20,00,000 less 6,00,000) will be recognised in Statement of profit and loss.

Determination of goodwill or gain on bargain purchase

Goodwill should be calculated as follows:

	(₹)
Total consideration	92,00,000
Recognised amount of any non-controlling interest	7,50,000
Less: Fair value of Company B's net identifiable assets	(60,00,000)
Goodwill	**39,50,000**

Q27 · Business combination achieved in stages (step acquisition)

SM Ch 12 · Test Your Knowledge Q5 · Numerical

5. On 1st April, 20X1, Company A acquired 5% of the equity share capital of Company B for 1,00,000. A accounts for its investment in B at Fair Value through OCI (FVOCI) under Ind AS 109, *Financial Instruments: Recognition and Measurement*. At 31st March, 20X2, A carried its investment in B at fair value and reported an unrealised gain of ₹ 5,000 in other comprehensive income, which was presented as a separate component of equity. On 1st April, 20X2, A obtains control of B by acquiring the remaining 95 percent of B.

Comment on the treatment to be done based on the facts given in the question.

Solution — ICAI

5. At the acquisition date A recognises the gain of ₹ 5,000 in OCI as the gain or loss is not allowed to be recycled to income statement as per the requirement of Ind AS 109. A's investment in B would be at fair value and therefore does not require remeasurement as a result of the business combination. The fair value of the 5 percent investment (1,05,000) plus the fair value of the consideration for the 95 percent newly acquired interest is included in the acquisition accounting.

Q28 · Business combination achieved in stages (step acquisition)

ICAI Practice Questions · Ch 12 Q10

10. On 1st April 20X1, Pride Limited acquired 30% of the ordinary shares of Famous Limited for ₹ 4,000 crores. Pride Limited accounts for its investment in Famous Limited using the equity method as prescribed under Ind AS 28. On 31st March 20X2, Pride Limited recognized its share of the net asset changes of Famous Limited using equity method accounting as follows:

Share of profit	₹ 350 crore
Share of exchange difference in OCI	₹ 50 crore
Share of revaluation reserve of PPE in OCI	₹ 25 crore

The carrying amount of the investment in the associate on 31st March 20X2 is therefore ₹ 4,425 crore (4,000 + 350 + 50 + 25).

On 1st April 20X2, Pride Limited acquired the remaining 70% of Famous Limited for cash ₹ 12,500 crore.

The following additional information is relevant at that date:

Fair Value of 30% interest in Famous Limited as on 1st April 20X2	₹ 4,500 crore
Fair Value of Net Identifiable Assets of Famous Limited as on 1st April 20X2	₹ 15,000 crore

You are required to

(i) Determine the acquisition date for Pride Ltd.

(ii) Determine the gain on previously held interest in Pride Ltd. and suggest the accounting treatment on acquisition date as per Ind AS 103.

(iii) Compute the amount of goodwill arising on the acquisition of Famous Ltd.

(iv) Pass necessary journal entry on the acquisition date.

Solution — ICAI

10. (i) Acquisition date for accounting of business combination is

The date on which the acquirer obtains control of the acquiree is generally the date on which the acquirer legally transfers the consideration, acquires the assets and assumes the liabilities of the acquiree. In the given case, the acquisition date is 1st April, 20X2 i.e. when Pride Ltd. acquired 100% holding of Famous Ltd.

(ii) Computation of gain on previously held interest

An entity shall discontinue the use of the equity method from the date when its investment ceases to be an associate or a joint venture. If the investment in an associate becomes a investment in a subsidiary, the entity shall account for its investment in accordance with Ind AS 103 and Ind AS 110.

Ind AS 103 provides that in a business combination achieved in stages, the acquirer is required to remeasure the previously held equity interest at its acquisition date fair value and recognise any gain or loss in profit or loss or other comprehensive income, as appropriate. In prior reporting periods, the acquirer may have recognised changes in the value of its equity interest in the acquiree in other comprehensive income. If so, the amount that was recognised in the other comprehensive income shall be recognised on the same basis as would be required if the acquirer had disposed directly of the previously held equity interest.

The gain on previously held equity interest in Famous Ltd. is calculated as follows:

Fair value of 30% interest as on 1st April, 20X2	₹ 4,500 crore
Carrying value of 30% investment as on31st March, 20X2	(₹ 4,425 crore)
Gain on previously held interest	₹ 75 crore
Unrealised gain previously recognised in OCI	₹ 50 crore
Total gain recognised in Profit and loss	₹ 125 crore

(iii) Computation of goodwill

For 70% share	₹ 12,500 crore
For 30% share	₹ 4,500 crore
Total amount of purchase consideration	₹ 17,000 crore
Less: Fair value of net identifiable assets	(₹ 15,000 crore)
Goodwill	₹ 2,000 crore

(iv) **Journal Entry on 1st April, 20X2**

			₹ in crore
Net Identifiable Assets	Dr.	15,000	
Goodwill (W.N.1)	Dr.	2,000	
Foreign currency translation reserve	Dr.	50	
PPE revaluation reserve	Dr.	25	
To Cash			12,500
To Investment in Associate – Famous Ltd.			4,425
To Retained Earnings (W.N.)			25
To Gain on previously held interest recognised in profit and loss (Refer point (ii) above)			125

Working Note:

The credit to retained earnings represents the reversal of the unrealised gain of ₹ 25 crore in OCI related to the revaluation of PPE. In accordance with Ind AS 16, this amount is not reclassified to profit or loss.

Q29 · Business combination achieved in stages (step acquisition)

RTP May 2023 · Q1 · Numerical

1. 'High Speed Limited' manufactures and sells cars. The Company wants to foray into the two-wheeler business and therefore it acquires 30% interest in Quick Bikes Limited for ₹ 5,00,000 as at 1st November, 20X1 and an additional 25% stake as at 1st January, 20X2 for ₹ 5,00,000 at its fair value.

Following is the Balance Sheet of Quick Bikes Limited as at 1st January, 20X2:

Balance Sheet of Quick Bikes Limited as at 1st January, 20X2 (as laid out in the RTP: liabilities left, assets right):

Liabilities	Carrying value	Fair value	Assets	Carrying value	Fair value
Share capital	1,00,000		Plant and equipment	3,50,000	7,50,000
Reserves	5,50,000		Investment in bonds	4,00,000	5,00,000
Trade payables	1,50,000	1,50,000	Trade Receivables	50,000	50,000
Total	8,00,000		Total	8,00,000	

Quick Bikes Limited sells the motorcycles under the brand name 'Super Start' which has a fair value of ₹ 3,50,000 as at 1st January, 20X2. This is a self- generated brand therefore Quick Bikes Limited has not recognized the brand in its books of accounts.

Following is the separate balance sheet of High Speed Limited as at 1st January, 20X2:

Liabilities	Amount	Assets	Amount
Share capital	5,00,000	Plant and equipment	13,50,000
Reserves	15,00,000	Investment in Quick Bike	10,00,000
Short term loans	4,00,000	Trade Receivables	80,000
Trade payables	3,00,000	Cash and bank balances	5,20,000
Other liabilities	2,50,000		
Total	29,50,000	Total	29,50,000

Consideration, step acquisition, contingent consideration

In relation to the acquisition of Quick Bikes Limited, you are required to:

(i) Pass the necessary journal entries to give effect of business combination in accordance with Ind AS 103 as at acquisition date 1st January, 20X2. NCI is measured by the entity at fair value. Provide working notes, Ignore deferred tax implication; and

(ii) Prepare a consolidated balance sheet of High Speed Limited as at 1st January, 20X2.

Solution — ICAI

1. (i) Journal Entry

₹ ₹

Plant and Equipment Dr.	7,50,000
Investment in bonds Dr.	5,00,000
Trade Receivables Dr.	50,000
Brand Dr.	3,50,000
Goodwill (balancing figure) Dr.	5,00,000
To Investment in Quick Bikes	10,00,000
To Profit or loss A/c (W.N.1)	1,00,000
To Trade Payables	1,50,000
To NCI (W.N.3)	9,00,000

(Being assets and liabilities acquired at fair value and previous investment considered at fair value on the acquisition date)

Working Notes:

1. Calculation of fair value of shares on the acquisition date 1st January, 20X2

25% Shares purchase on 1st January, 20X2 (fair value) ₹ 5,00,000

30% Shares purchase on 1st November, 20X1 at ₹ 5,00,000

Fair value = [(5,00,000 / 25%) x 30%] ₹ 6,00,000

Total consideration at fair value on acquisition date ₹ 11,00,000

Less: Cost of investment (5,00,000 + 5,00,000) (₹ 10,00,000)

Gain recognised to Profit or Loss/OCI (as appropriate) ₹ 1,00,000

2. Computation of Net Identifiable Assets at fair value

₹

Plant and Equipment	7,50,000
Investment in bonds	5,00,000
Trade Receivables	50,000
Self-generated Brand	3,50,000
	16,50,000
Less: Trade Payables	(1,50,000)
Net Identifiable Assets at fair value	15,00,000

3. Measurement of Non-controlling Interest (on fair value basis)

Share of NCI (100- 30-25) 45%

Taking fair value of shares on 1st January, 20X2 as a base ₹ 9,00,000

[(11,00,000/ 55%) x 45%]

(ii) Consolidated Balance Sheet of High Speed Limited as at 1st January, 20X2

Note No.	₹
Assets	
Non-current assets	
(a) Property, plant and equipment	1	21,00,000
(b) Intangible asset	2	8,50,000
(c) Investment in bonds		5,00,000
Current Assets	
(a) Financial assets	
(i) Trade receivables	3	1,30,000
(ii) Cash and cash equivalents	4	5,20,000
		41,00,000
Equity and Liabilities	
Equity	
(a) Equity share capital		5,00,000
(b) Other Equity	5	16,00,000
Non-controlling Interest (W.N.3)		9,00,000
Current Liabilities	
(a) Financial liabilities	
(i) Borrowings	6	4,00,000
(ii) Trade Payables	7	4,50,000
(b) Other Current Liabilities	8	2,50,000
		41,00,000

Notes to Accounts

S. No.	₹	₹
1. Property, plant and equipment		
High Speed Ltd.	13,50,000	
Quick Bikes Ltd.	7,50,000	21,00,000
2. Intangible asset		
Goodwill	5,00,000	
Brand value of Quick Bikes Ltd.	3,50,000	8,50,000
3. Trade Receivables		
High Speed Ltd.	80,000	
Quick Bikes Ltd.	50,000	1,30,000

4. Cash and cash equivalents

Quick Bikes Ltd. 5,20,000

5. Other Equity - Reserves

High Speed Ltd.	15,00,000	
Add: Gain on investment in Quick Bikes Ltd.	1,00,000	16,00,000

6. Borrowings

Short term loans of High Speed Ltd. 4,00,000

7. Trade Payables

High Speed Ltd.	3,00,000	
Quick Bikes Ltd.	1,50,000	4,50,000

8. Other Current Liabilities

High Speed Ltd. 2,50,000

Q30 · Business combination achieved in stages (step acquisition)

RTP May 2024 · Q11 · Numerical

11. On 1st April 20X1, Pride Limited acquired 30% of the ordinary shares of Famous Limited for ₹ 4,000 crores. Pride Limited accounts for its investment in Famous Limited using the equity method as prescribed under Ind AS 28. On 31st March 20X2, Pride Limited recognized its share of the net asset changes of Famous Limited using equity method accounting as follows:

Share of profit ₹ 350 crore

Share of exchange difference in OCI ₹ 50 crore

Share of revaluation reserve of PPE in OCI ₹ 25 crore

The carrying amount of the investment in the associate on 31st March 20X2 is therefore ₹ 4,425 crore (4,000 + 350 + 50 + 25).

On 1st April 20X2, Pride Limited acquired the remaining 70% of Famous Limited for cash ₹ 12,500 crore.

The following additional information is relevant at that date:

Fair Value of 30% interest in Famous Limited as on ₹ 4,500 crore
1st April 20X2

Fair Value of Net Identifiable Assets of ₹ 15,000 crore
Famous Limited as on 1st April 20X2

You are required to

(i) Determine the acquisition date for Pride Ltd.

(ii) Determine the gain on previously held interest in Pride Ltd. and suggest the accounting treatment on acquisition date as per Ind AS 103.

(iii) Compute the amount of goodwill arising on the acquisition of Famous Ltd.

(iv) Pass necessary journal entry on the acquisition date.

Solution — ICAI

11. (i) Acquisition date for accounting of business combination is

The date on which the acquirer obtains control of the acquiree is generally the date on which the acquirer legally transfers the consideration, acquires the assets and assumes the liabilities of the acquiree. In the given case, the acquisition date is 1st April, 20X2 i.e. when Pride Ltd. acquired 100% holding of Famous Ltd.

(ii) Computation of gain on previously held interest

An entity shall discontinue the use of the equity method from the date when its investment ceases to be an associate or a joint venture. If the investment in an associate becomes a investment in a subsidiary, the entity shall account for its investment in accordance with Ind AS 103 and Ind AS 110.

Ind AS 103 provides that in a business combination achieved in stages, the acquirer is required to remeasure the previously held equity interest at its acquisition date fair value and recognise any gain or loss in profit or loss or other comprehensive income, as appropriate. In prior reporting periods, the acquirer may have recognised changes in the value of its equity interest in the acquiree in other comprehensive income. If so, the amount that was recognised in the other comprehensive income shall be recognised on the same basis as would be required if the acquirer had disposed directly of the previously held equity interest.

The gain on previously held equity interest in Famous Ltd. is calculated as follows:

Fair value of 30% interest as on 1st April, 20X2 ₹ 4,500 crore

Carrying value of 30% investment as on (₹ 4,425 crore)

31st March, 20X2

Gain on previously held interest ₹ 75 crore

Unrealised gain previously recognised in OCI ₹ 50 crore

Total gain recognised in Profit and loss ₹ 125 crore

(iii) Computation of goodwill

For 70% share ₹ 12,500 crore

For 30% share ₹ 4,500 crore

Total amount of purchase consideration ₹ 17,000 crore

Less: Fair value of net identifiable assets (₹ 15,000 crore)

Goodwill ₹ 2,000 crore

(iv) Journal Entry on 1st April, 20X2

₹ in crore

Net Identifiable Assets Dr.	15,000
Goodwill (W.N.1) Dr.	2,000
Foreign currency translation reserve Dr.	50
PPE revaluation reserve Dr.	25
To Cash	12,500
To Investment in Associate – Famous	4,425
Ltd.	
To Retained Earnings (W.N.)	25
To Gain on previously held interest	125

recognised in profit and loss (Refer

point (ii) above)

Working Note:

The credit to retained earnings represents the reversal of the

unrealised gain of ₹ 25 crore in OCI related to the revaluation of PPE.

In accordance with Ind AS 16, this amount is not reclassified to profit

or loss.

Study-material link: variant of SM Illustration 11 (Ch 12, PQR Ltd / XYZ Ltd) with halved figures

Q31 · Business combination achieved in stages (step acquisition)

RTP May 2025 · Q14 · Numerical

14. On 1st April, 20X1, PQR Ltd. acquired 30% of the shares of XYZ Ltd. for

₹ 8,000 crores. At 31st March, 20X2, PQR Ltd. recognised its share of

the net asset changes of XYZ Ltd. using equity accounting as follows:

(Amounts ₹ in crores)

Share of profit or loss	700
Share of exchange difference in OCI	100
Share of revaluation reserve of PPE in OCI	50

On 1st April, 20X2, PQR Ltd. acquired the remaining 70% of XYZ Ltd. for

cash of ₹ 25,000 crores. The following additional information is

relevant at that date. (Amount ₹ in crores)

Fair value of the 30% interest already owned 9,000

Fair value of XYZ Ltd's identifiable net assets 30,000

Required

How should such business combination be accounted for?

Solution — ICAI

14. Paragraph 42 of Ind AS 103 provides that in a business combination achieved in stages, the acquirer shall remeasure its previously held equity interest in the acquiree at its acquisition-date fair value and recognise the resulting gain or loss, if any, in profit or loss or other comprehensive income, as appropriate. In prior reporting periods, the acquirer may have recognised changes in the value of its equity interest in the acquiree in other comprehensive income. If so, the amount that was recognised in other comprehensive income shall be recognised on the same basis as would be required if the acquirer had disposed directly of the previously held equity interest.

Applying the above, PQR Ltd. records the following entry in its consolidated financial statements: (Amounts ₹ in crores)

Dr. Cr.

Identifiable net assets of XYZ Ltd. Dr.	30,000
Goodwill (W.N.1) Dr.	4,000
Foreign currency translation reserve Dr.	1,00
PPE revaluation reserve Dr.	50
To Cash	25,000
To Investment in associate- XYZ Ltd.	
(W.N.3)	8,850
To Retained earnings (W.N.2)	50
To Gain on previously held interest in	
XYZ recognized in Profit or loss	250

(W.N.4)

(To recognize acquisition of XYZ Ltd.)

Working Notes :

1. Goodwill calculated as follows: (₹ in crores)

Cash consideration	25,000
Fair value of previously held equity interest in XYZ	9,000
Total consideration	34,000
Fair value of identifiable net assets acquired	(30,000)
Goodwill	4,000

2. The credit to retained earnings represents the reversal of the unrealized gain of ₹ 50 crores in Other Comprehensive Income related to the revaluation of property, plant and equipment. In accordance with Ind AS 16, this amount is not reclassified to profit or loss.

3. The carrying amount of the investment in the associate on 31st March, 20X2 would be as follows: (₹ in crores)

Investment in Associate	8,000
Share of profit or loss	700
Share of exchange difference in OCI	100
Share of revaluation reserve of PPE in OCI	50
	8,850

4. The gain on the previously held equity interest in XYZ Ltd. is

calculated as follows: (₹ in crores)

Fair Value of 30% interest in XYZ Ltd. at 1st April, 20X2 9,000

Carrying amount of interest in XYZ Ltd. at 1st April,

20X2 (W.N.3)	(8,850)
Unrealised gain previously recognized in OCI	100
Gain on previously held interest in XYZ Ltd.	
recognized in profit or loss	250

Study-material link: variant of SM Illustration 11 (Ch 12), same facts

Q32 · Business combination achieved in stages (step acquisition)

MTP Jan 2026 S-II · Part II Q1 · Numerical

1. Bulldozer Ltd. is engaged in the business of manufacturing of heavy bulldozers, which are mainly used to dismantle the buildings and concrete structures. The company is willing to enter into the business of manufacturing of excavators for the purpose of digging the plain land. For this purpose, the company acquires 25% stake in HD Excavators Ltd. for ₹ 8,00,000 on 1st October, 20X1 and further 35% stake on 1st February, 20X2 for ₹ 12,25,000.

Following is the summarized Balance Sheet of HD Excavators Ltd. as at 1st February, 20X2:

Carrying Value Fair Value

(₹) (₹)

ASSETS

Property, Plant and Equipment	15,50,000	22,50,000
Investment in Bonds	12,00,000	15,00,000
Trade Receivables	1,50,000	1,50,000
	29,00,000	
EQUITY AND LIABILITIES		
Share Capital	3,00,000	
Reserves	16,50,000	
Trade Payables	9,50,000	
	29,00,000	

HD Excavators Ltd. sells the small excavators under the brand name 'Mini Shaktiman' which has a fair value of ₹ 4,50,000 as at 1st February, 20X2. This is a self-generated brand, therefore, HD Excavators Ltd. has not recognised the brand in its books of accounts.

Following is the summarized separate Balance Sheet of Bulldozer Ltd. as at

1st February, 20X2:

₹

ASSETS

Property, Plant and Equipment	40,50,000
Investment in HD Excavators Ltd.	20,25,000
Trade Receivables	2,40,000
Cash and Bank balances	15,60,000
	78,75,000
EQUITY AND LIABILITIES	
Share Capital	15,00,000
Reserves	35,25,000
Short-term Loan	12,00,000
Trade Payables	9,00,000
Other Current Liabilities	7,50,000
	78,75,000

In relation to the acquisition of HD Excavators Ltd., you are required to:

(i) Pass the necessary journal entries in the books of Bulldozer Ltd. to give effect

of business combination in accordance with Ind AS 103 as at acquisition date

of 1st February, 20X2. NCI is measured by the entity at fair value. Provide

working notes and ignore tax implications; and

(ii) Prepare a Consolidated Balance Sheet of Bulldozer Ltd. as at

1st February, 20X2. (14 Marks)

Solution — ICAI

1. (i) Journal Entries

₹ ₹

Property Plant and Equipment Dr.	22,50,000
Investment in bonds Dr.	15,00,000
Trade receivables Dr.	1,50,000
Brand value Dr.	4,50,000
Goodwill (balancing figure) Dr.	1,00,000
To Investment in HD excavators Limited	20,25,000
To Profit and loss account	75,000
To Trade payables	9,50,000
To Non-controlling interest	14,00,000

Being assets and liabilities acquired at fair value

and previous investment considered at fair value

on the acquisition date

Consolidated Balance Sheet of Bulldozer Limited and its subsidiary

HD Excavators Limited as at 1st February 20X2

Notes Amount ₹

ASSETS

Non-current assets

(a) Property Plant and Equipment	1	63,00,000
(b) Goodwill		1,00,000
(c) Other Intangible Assets	2	4,50,000

(d) Financial Assets

(i) Investment in bonds 15,00,000

Current assets

(a) Financial assets

(i) Trade receivables	3	3,90,000
(ii) Cash and cash equivalents	4	15,60,000
Total		1,03,00,000

EQUITY AND LIABILITIES

Equity

Equity share capital		15,00,000
Other equity	5	36,00,000
Non-controlling interest		14,00,000

Current liabilities

(a) Financial liabilities

(i) Borrowings	6	12,00,000
(ii) Trade payables	7	18,50,000
(b) Other current liabilities	8	7,50,000
Total		1,03,00,000

Notes to Accounts

S.N. ₹ ₹

1 Property Plant and Equipment

Bulldozer Limited	40,50,000	
HD Excavators Limited	22,50,000	63,00,000
2 Other Intangible Assets		
Brand value of HD excavators limited	4,50,000	
3 Trade receivables		
Bulldozer Limited	2,40,000	
HD Excavators Limited	1,50,000	3,90,000
4 Cash and cash equivalents		
Bulldozer Limited	15,60,000	
5 Other equity - Reserves		
Bulldozer Limited	35,25,000	
Add: Gain on Investment in HD Excavators Limited	75,000	36,00,000
6 Borrowings		
Short term loans of Bulldozer Limited	12,00,000	
7 Trade payables		
Bulldozer Limited	9,00,000	
HD Excavators Limited	9,50,000	18,50,000
8 Other current liabilities		
Bulldozer Limited	7,50,000	

Working Notes

1. Calculation of gain or loss on fair value of shares on the acquisition date

1st February 20X2

₹

35% shares purchased on 1st February 20X2 fair value 12,25,000

25% shares purchased on 1st October 20X1 at ₹ 8,00,000

Fair value is equal to [(12,25,000 / 35%) x 25%] 8,75,000

Total consideration at fair value on acquisition date 21,00,000

Less: Cost of investment (8,00,000 + 12,25,000) (20,25,000)

Gain recognised to profit or loss / OCI as appropriate 75,000

2. Measurement of non-controlling interest on fair value basis

Share of NCI (100 - 25 – 35) 40%

Taking fair value of shares on 1st February 20X2 as a base

[(21,00,000/60%) x 40%] or [(12,25,000 x 40%) / 35%] 14,00,000

Q33 · Business combination achieved in stages (step acquisition)

PYQ May 2025 · Q1 · 14 marks · Numerical

A Limited and B Limited are engaged in the manufacture of pharmaceuticals. On 1st June, 2024, A Limited acquired 15% of equity shares of B Limited. On 1st October, 2024, A Limited obtains control of B Limited when it acquires a further 55% of B Limited's shares, thereby resulting into a total holding of 70%. The fair value of the shares of B Limited was ₹ 40 per share as on that date.

Prior to the acquisition of additional 55% stake by A Limited on 1st October, 2024, the Balance Sheets of the two companies stood as under: (₹ in lakhs)

Particulars	A Ltd.	B Ltd.
Assets		
Non-Current Assets		
Property, Plant and Equipment	600	400
Investments (6,00,000 Shares of B Ltd. acquired on 1st June, 2024)	210	-
Current Assets		
Inventories	500	150
Financial Assets - Trade receivables	450	300
Cash and cash equivalents	400	100
Other Current Assets	200	230
Non-current assets held for sale	-	250
Total	2,360	1,430
Equity and Liabilities		
Equity: Share Capital – Equity Shares of ₹ 100 each	500	-
Share Capital – Equity Shares of ₹ 10 each	-	400
Other Equity	810	225
Non-Current Liabilities - Financial Liabilities: Long-term Borrowings	250	200
Long-term Provisions	50	70
Deferred Tax Liability	40	-
Current Liabilities - Financial Liabilities: Short-term Borrowings	400	285
Trade Payables	310	250
Total	2,360	1,430

In consideration of the additional stake acquired by A Limited on 1st October, 2024, it agreed to pay to each selling shareholder of B Limited a sum of ₹ 15 per share in cash and issue 1 Equity Share of ₹ 100 each of A Limited in lieu of 8 Equity Shares of ₹ 10 each held by the selling shareholder in B Limited. The fair value of the shares of A Limited as on 1st October, 2024 is ₹ 160 per share.

In addition to the above:

(a) A Limited agreed to pay an additional payment as consideration that is higher of ₹ 35 lakhs and 25% of any excess profit in the first year, after acquisition over its profits in the preceding one year made by B Limited. This additional amount would be due after 2 years. B Limited has earned ₹ 10 lakhs profit in the preceding year and expects to earn another ₹ 20 lakhs.

(b) A Limited also agreed to pay one of the promoter shareholders of B Limited a payment of ₹ 15 lakhs provided he stays with the company for two years after acquisition.

(c) A Limited* had a certain equity settled share-based payment award (Original award) which was replaced by the new award issued by B Limited**. As per the original terms, the vesting period was 4 years and as of the acquisition date, the employees of B Limited have already served 2 years of service. As per the replaced award, the vesting period is reduced to one year (one year from the acquisition date). The fair value of the award on the acquisition date was as under:

(i) Original Award: ₹ 5 lakhs

(ii) Replacement Award: ₹ 8 lakhs

[* PS: Read 'A Limited' as 'B Limited'. ** PS: Read 'B Limited' as 'A Limited'. (ICAI's printed corrections.)]

(d) The fair value exercise resulted in the following:

(i) The fair value of Property, Plant and Equipment and Inventory of B Limited as on 1st October, 2024 was ₹ 480 lakhs and ₹ 170 lakhs respectively.

(ii) The carrying value of Non-Current Asset held for sale of ₹ 250 lakhs of B Limited represents its fair value less cost to sell in accordance with the relevant Ind AS.

(iii) B Limited has developed and patented a new drug for Parkinson disease which has been approved for clinical use. The cost of developing the drug was ₹ 140 lakhs. Based on early assessment of its sales success, the valuer has estimated its market value at ₹ 200 lakhs.

(iv) B Limited had a lawsuit for infringement of Trademark pending with a competitor who had made a claim of ₹ 50 lakhs. B Limited has disclosed the same as a contingent liability as it is not probable that the amount would be payable. Management reliably estimated the fair value of the liability to be 10 lakhs. Any sum which would be paid in respect of the lawsuit would be tax deductible.

(e) The cost of capital of A Limited is 10%. The appropriate discount factor for ₹ 1 @ 10% payable at the end of 1st year is 0.91 and 2nd year is 0.83.

(f) The applicable tax rate for both the entities is 30%.

Unless stated otherwise, all items have a fair value and tax base equal to their carrying amounts at the acquisition date. A Limited chooses to measure the Non-Controlling Interest in B Limited as per Proportionate Share of identifiable net assets method.

You are required to prepare the opening Consolidated Balance Sheet of A Limited as on 1st October, 2024 as per the applicable Ind AS. Working Notes should form part of your answer. (14 Marks)

Solution — ICAI

Consolidated Balance Sheet of A Ltd. and its subsidiary B Ltd. as at 1st October, 2024

	Notes No.	₹ in Lakhs
Assets		
Non-current assets		
Property, plant and equipment	1	1,080.00
Goodwill	2	461.95
Intangible assets (patents)		200.00
Current assets		
Inventories	3	670.00
Financial assets - Cash and cash equivalents	4	170.00
Trade receivables	5	750.00
Other current assets	6	430.00
Assets held for sale		250.00
Total		4,011.95
Equity and Liabilities		
Equity	7	775.00
Other equity	8	1007.50
Non-controlling interest (W.N.4)		248.40
Non-current liabilities - Financial liabilities - Long-term borrowings	9	450.00
Long-term provisions	10	149.05
Deferred tax liabilities	11	127.00
Current Liabilities - Financial liabilities - Short-term borrowings	12	685.00
Trade payables	13	560.00
Provision for lawsuit damages		10.00
Total		4,011.95

Notes to Accounts (₹ in lakhs)

Particulars		
1. Property, Plant and Equipment		
A Ltd.		600.00
B Ltd. 400.00; Add: Fair value gain 80.00	480.00	1,080.00
2. Goodwill		
Goodwill on acquisition of B Ltd. (Refer W.N.5)		461.95
3. Inventories		
A Ltd.		500.00
B Ltd. 150.00; Add: Fair value given 20.00	170.00	670.00
4. Cash and cash equivalents		
A Ltd. 400.00; Less: Paid to B Ltd.'s Shareholders (330.00)	70.00	
B Ltd.	100.00	170.00

Note: The additional consideration paid to promoter shareholder is contingent to him/her continuing in employment and hence this will be considered as employee compensation and will be recorded as post combination expense in the income statement by A Ltd.

Particulars		
5. Trade receivables		
A Ltd.	450.00	
B Ltd.	300.00	750.00
6. Other current assets		
A Ltd.	200.00	
B Ltd.	230.00	430.00
7. Equity		
Equity Share Capital: 7,75,000 Equity shares of ₹ 100 each (Out of the above, 2,75,000 Equity shares of ₹ 100 each allotted to shareholders of B Ltd for consideration other than cash)		775.00
8. Other equity		
A. Retained earnings of A Ltd. 810.00; Add: Gain on previously acquired shares of A Ltd. 30.00	840.00	
B. Replacement award	2.50	
C. Security premium (2,75,000 shares x ₹ 60)	165.00	1007.50
9. Long-term borrowings		
A Ltd.	250.00	
B Ltd.	200.00	450.00
10. Long term provisions		
A Ltd. 50.00; Add: Deferred consideration 29.05	79.05	
B Ltd.	70.00	149.05
11. Deferred tax liabilities		
Deferred tax liability of A Ltd	40.00	
Deferred tax liability (W.N. 2)	87.00	127.00
12. Short term borrowings		
A Ltd.	400.00	
B Ltd.	285.00	685.00
13. Trade payables		
A Ltd.	310.00	

Particulars		
B Ltd.	250.00	560.00

Working Notes:

1. Calculation of purchase consideration (₹ in lakhs)

Investment in B Ltd. - Shares acquired		
On 1st June, 2024 15%	[(400/10) x 15% x ₹ 40]	240.00
On 1st October, 2024 55%: Own equity given	(40 x 55%) x 1/8 x ₹160	440.00
Cash	(40 x 55%) x ₹ 15	330.00
Contingent consideration	(35 x 0.83)	29.05
Replacement award	(5 x 2/4)	2.50
		1041.55

2. Calculation of deferred tax on assets and liabilities acquired as part of the business combination (₹ in lakhs)

Item	Book value	Fair value	Tax base	Taxable (deductible) temporary difference	Deferred tax assets (liability) @ 30%
Property, plant and equipment	400.00	480.00	400.00	80.00	(24.00)
Intangible assets		200.00	0.00	200.00	(60.00)
Inventories	150.00	170.00	150.00	20.00	(6.00)
Trade receivables	300.00	300.00	300.00	-	-
Cash and cash equivalents	100.00	100.00	100.00	-	-
Other current assets	230.00	230.00	230.00	-	-
Non-current asset held for sale	250.00	250.00	250.00	-	-
(A)	1,430.00	1,730.00	1,430.00	300.00	(90.00)
Trade payables	250.00	250.00	250.00	-	-
Long-term provisions	70.00	70.00	70.00	-	-
Short-term borrowings	285.00	285.00	285.00	-	-
Contingent liability	-	10.00	-	(10.00)	3.00
(B)	605.00	615.00	605.00	(10.00)	3.00
Deferred tax liabilities (A-B)					(87.00)

3. Calculation of fair value of identifiable net assets acquired

	₹ in lakhs	₹ in lakhs
Property, plant and equipment	480.00	
Intangible assets	200.00	
Inventories	170.00	
Trade receivables	300.00	
Cash and cash equivalents	100.00	
Non-current asset held for sale	250.00	
Other current assets	230.00	
Total assets		1,730.00
Less: Long-term borrowings	200.00	
Trade payables	250.00	
Long-term provisions	70.00	
Short-term borrowings	285.00	
Contingent liabilities	10.00	
Deferred tax liabilities	87.00	
Total liabilities		(902.00)
Net identifiable assets		828.00

4. Calculation of NCI by proportionate share of identifiable net assets

Identifiable net assets of S Ltd. on 1st October, 2024 (Refer W.N.3) = ₹ 828.00 lakhs

NCI on 1st October, 2024 = 828.00 lakhs x 30% = 248.40 lakhs

5. Calculation of Goodwill

Particulars	₹ in Lakhs
Fair Value of Net Identifiable Assets	828.00
Less: NCI	(248.40)
	579.60
Less: Purchase Consideration	(1041.55)
Goodwill on 1st October, 2024	461.95

Study-material link: variant of SM Illustration 40 (Ch 12, Professional Ltd. / Dynamic Ltd.: same ₹35 lakh / 25% / ₹10 and ₹20 lakh / 4-year award ₹5 and ₹8 lakh features), with a step-acquisition element as in Ch 12 TYK Q1

Q34 · Business combination achieved in stages (step acquisition)

PYQ May 2026 · Q1 · 14 marks · Numerical

Panama Pharma Ltd. is a leading company engaged in the manufacturing of generic medicines. The company decided to acquire Bio Gen Research Ltd., a biotech firm specializing in viral vector technology to diversify its portfolio and enter the high-growth vaccine segment.

To achieve this, Panama Pharma Ltd. initially acquired a 30% stake in Bio Gen Research Ltd. for ₹ 15,00,000 on 1st July, 2025.

Subsequently, to gain control, Panama Pharma Ltd. acquired a further 40% stake on 1st January, 2026 for ₹ 24,00,000. On the date of acquiring control (1st January, 2026), the fair value of the previously held 30% equity interest was determined to be ₹ 17,50,000.

The summarized Balance Sheets of both the companies as at 1st January, 2026 were as follows :

	Note No.	Bio Gen Research Ltd. ₹	Panama Pharma Ltd. ₹
ASSETS :			
Non-current Assets			
Property, Plant and Equipment (Labs)		18,00,000	60,00,000
Investments in Bio Gen Research Limited		–	39,00,000
Investments in bonds		10,00,000	–
Current Assets			
Inventories		5,00,000	15,00,000
Financial Assets			
Trade Receivables		4,00,000	8,50,000
Cash and cash equivalent		2,00,000	12,50,000
Total		39,00,000	1,35,00,000
EQUITY AND LIABILITIES :			
Equity & Liabilities			
5,000 Equity share capital (of face value of ₹ 100 each)		5,00,000	50,00,000
Other Equity			
Other reserves		24,00,000	60,00,000
Non-current Liabilities			
Long term Borrowings		–	15,00,000
Current Liabilities			
Trade payables		10,00,000	10,00,000
Total		39,00,000	1,35,00,000

Additional Information :

(i) Bio Gen Research Ltd. has developed a proprietary vaccine formula known as 'Vax-Shield'. This is a self-generated intangible asset and has not been recognized in the books of Bio Gen Research Ltd. The fair value of 'Vax-Shield' as at 1st January, 2026, is assessed at ₹ 8,50,000.

(ii) The Trade Receivables of Panama Pharma Ltd. include ₹ 1,00,000 due from Bio Gen Research Ltd. for consultancy services provided in December 2025. Bio Gen Research Ltd. has recorded this amount in its Trade Payables.

(iii) During the year, Panama Pharma Ltd. sold goods to Bio Gen Research Ltd. for ₹ 2,00,000. The cost of these goods to Panama Pharma Ltd. was ₹ 1,50,000. As on 1st January, 2026, 40% of these goods remain in the Inventory of Bio Gen Research Ltd.

(iv) The fair value of the assets of Bio Gen Research Ltd. as on 1st January, 2026 was as follows :

Assets	Fair Value (₹)
Property, Plant and Equipment (Labs)	26,00,000
Investment in Bonds	11,50,000

(v) The NCI is to be measured at Fair Value. The Fair Value of NCI on the acquisition date 1st January, 2026 is ₹ 16,00,000.

You are required to :

(i) Pass necessary journal entries in the books of Panama Pharma Ltd. to account for the business combination in accordance with Ind AS 103 as at 1st January, 2026.

(ii) Prepare the Consolidated Balance Sheet of Panama Pharma Ltd. and its subsidiary as at 1st January, 2026, incorporating all necessary adjustments for inter-company balances and unrealized profits. Also provide necessary working notes. Ignore tax implications.

(Marks printed: 14. The row "5,000 Equity share capital (of face value of ₹ 100 each)" is printed as one label against both companies' figures, ₹ 5,00,000 and ₹ 50,00,000.)

Solution — app-written (ICAI suggested answer not in the repo; figures match ICAI's published key/answer)

Key figures in ICAI's answer: gain on the earlier 30% stake ₹ 2,50,000 · consideration ₹ 41,50,000 · NCI ₹ 16,00,000 · goodwill ₹ 10,50,000 · unrealised profit ₹ 20,000. The working below reproduces those figures.

W.N. 1 — Fair value of Bio Gen's identifiable net assets at 1 Jan 2026

Particulars	₹
Property, plant and equipment (Labs) at fair value	26,00,000
Investment in bonds at fair value	11,50,000
'Vax-Shield' — identifiable intangible, recognised by the acquirer even though not in Bio Gen's books	8,50,000
Inventories	5,00,000
Trade receivables	4,00,000
Cash and cash equivalents	2,00,000
Less: Trade payables	(10,00,000)
Net identifiable assets	**47,00,000**

Check: book net assets (5,00,000 + 24,00,000) 29,00,000 + PPE uplift 8,00,000 + bonds uplift 1,50,000 + Vax-Shield 8,50,000 = 47,00,000.

W.N. 2 — Goodwill (NCI at fair value)

Particulars	₹
Consideration for the further 40%	24,00,000
Fair value of previously held 30% (re-measured, Ind AS 103.42)	17,50,000
Purchase consideration	41,50,000
Add: NCI at fair value (30%)	16,00,000
	57,50,000
Less: net identifiable assets (W.N. 1)	(47,00,000)
Goodwill	**10,50,000**

W.N. 3 — Gain on previously held interest: fair value 17,50,000 − carrying amount 15,00,000 = **₹ 2,50,000** to profit or loss.

(i) Journal entries in the books of Panama Pharma Ltd. (consolidation) at 1 Jan 2026

Particulars	Dr ₹	Cr ₹
Investment in Bio Gen Research Ltd. Dr.	2,50,000	
To Gain on re-measurement of previously held interest (P&L)		2,50,000
(Earlier 30% stake re-measured to fair value on the date control is obtained)		
Property, plant and equipment Dr.	26,00,000	
Investment in bonds Dr.	11,50,000	
Intangible asset — Vax-Shield Dr.	8,50,000	
Inventories Dr.	5,00,000	
Trade receivables Dr.	4,00,000	
Cash and cash equivalents Dr.	2,00,000	
Goodwill Dr.	10,50,000	
To Trade payables		10,00,000
To Non-controlling interest		16,00,000
To Investment in Bio Gen Research Ltd. (15,00,000 + 2,50,000 + 24,00,000)		41,50,000
(Assets and liabilities of Bio Gen recognised at fair value; goodwill and NCI recognised)		
Trade payables Dr.	1,00,000	
To Trade receivables		1,00,000
(Inter-company balance for consultancy eliminated)		
Other equity (Panama) Dr.	20,000	
To Inventories		20,000
(Unrealised profit: (2,00,000 − 1,50,000) × 40% = 20,000, eliminated as in ICAI's answer)		

(ii) Consolidated Balance Sheet of Panama Pharma Ltd. as at 1 Jan 2026

Particulars	Working	₹
Assets		
Property, plant and equipment	60,00,000 + 26,00,000	86,00,000
Goodwill	W.N. 2	10,50,000
Other intangible asset — Vax-Shield		8,50,000
Financial assets — Investment in bonds		11,50,000
Inventories	15,00,000 + 5,00,000 − 20,000	19,80,000
Trade receivables	8,50,000 + 4,00,000 − 1,00,000	11,50,000
Cash and cash equivalents	12,50,000 + 2,00,000	14,50,000
Total assets		**1,62,30,000**
Equity and liabilities		
Equity share capital		50,00,000
Other equity	60,00,000 + 2,50,000 − 20,000	62,30,000
Non-controlling interest		16,00,000
Long-term borrowings		15,00,000
Trade payables	10,00,000 + 10,00,000 − 1,00,000	19,00,000
Total equity and liabilities		**1,62,30,000**

Note: Bio Gen's own reserves (24,00,000) are all pre-acquisition — they are absorbed in goodwill and NCI, not added to group other equity.

Q35 · Combination without transfer of consideration (incl. by contract alone)

SM Ch 12 · Illustration 12: Business Combination Achieved by Contract Alone · Numerical

Illustration 12: Business Combination Achieved by Contract Alone

Sita Ltd and Beta Ltd decides to combine together for forming a Dual Listed Corporation (DLC). As per their shareholder's agreement, both the parties will retain original listing and Board of DLC will be comprised of 10 members out of which 6 members will be of Sita Ltd and remaining 4 board members will be of Beta Ltd.

The fair value of Sita Ltd is ₹ 100 crores and fair value of Beta Ltd is ₹ 80 crores. The fair value of net identifiable assets of Beta Limited is ₹ 70 crores. Assume non-controlling Interest (NCI) to be measured at fair value.

Determine the goodwill to be recognised on acquisition.

Solution — ICAI

Solution

Sita Ltd has more Board members and thereby have majority control in DLC. Therefore, Sita Ltd is identified as acquirer and Beta Ltd as acquiree.

Since no consideration has been transferred, the goodwill needs to be calculated as the difference of Part A and Part B:

Part A:

1) Consideration paid by Acquirer. – Nil

2) Controlling Interest in Acquiree – ₹ 80 crores

3) Acquirer's previously held interest – Nil

Part B:

Fair value of net identifiable asset – ₹ 70 crores

Goodwill is recognised as ₹ 10 crores (80 crores – 70 crores) in business combination achieved through contract alone when NCI is measured at fair value.

Q36 · Contingent consideration

SM Ch 12 · Test Your Knowledge Q10 · Numerical

10. How should contingent consideration payable in relation to a business combination be accounted for on initial recognition and at the subsequent measurement as per Ind AS in the following cases:

    On 1st April 20X1, A Ltd. acquires 100% interest in B Ltd. As per the terms of agreement the purchase consideration is payable in the following 2 tranches:

    a. an immediate issuance of 10 lakhs shares of A Ltd. having face value of ₹ 10 per share;

    b. a further issuance of 2 lakhs shares after one year if the profit before interest and tax of B Ltd. for the first year following acquisition exceeds ₹ 1 crore.

        i. The fair value of the shares of A Ltd. on the date of acquisition is ₹ 20 per share. Further, the management has estimated that on the date of acquisition, the fair value of contingent consideration is ₹ 25 lakhs.

        ii. During the year ended 31st March 20X2, the profit before interest and tax of B Ltd. exceeded ₹ 1 crore. As on 31st March 20X2, the fair value of shares of A Ltd. is ₹ 25 per share.

        iii. Continuing with the fact pattern in (a) above except for:

    c. The number of shares to be issued after one year is not fixed.

    d. Rather, A Ltd. agreed to issue variable number of shares having a fair value equal to ₹ 40 lakhs after one year, if the profit before interest and tax for the first year following acquisition exceeds ₹ 1 crore. A Ltd. issued shares with ₹ 40 lakhs after a year.

Solution — ICAI

10. Paragraph 37 of Ind AS 103, inter alia, provides that the consideration transferred in a business combination should be measured at fair value, which should be calculated as the sum of (a) the acquisition-date fair values of the assets transferred by the acquirer, (b) the liabilities incurred by the acquirer to former owners of the acquiree and (c) the equity interests issued by the acquirer.

Further, paragraph 39 of Ind AS 103 provides that the consideration the acquirer transfers in exchange for the acquiree includes any asset or liability resulting from a contingent consideration arrangement. The acquirer shall recognize the acquisition-date fair value of contingent consideration as part of the consideration transferred in exchange for the acquiree.

With respect to contingent consideration, obligations of an acquirer under contingent consideration arrangements are classified as equity or a liability in accordance with Ind AS 32 or other applicable Ind AS, i.e., for the rare case of non-financial contingent consideration. Paragraph 40 provides that the acquirer shall classify an obligation to pay contingent consideration that meets the definition of a financial instrument as a financial liability or as equity on the basis of the definitions of an equity instrument and a financial liability in paragraph 11 of Ind AS 32, Financial Instruments: Presentation. The acquirer shall classify as an asset a right to the return of previously transferred consideration if specified conditions are met. Paragraph 58 of Ind AS 103 provides guidance on the subsequent accounting for contingent consideration.

(i) In the given case the amount of purchase consideration to be recognized **on initial recognition** shall be as follows:

	₹
Fair value of shares issued (10,00,000 x ₹20)	2,00,00,000
Fair value of contingent consideration	25,00,000
Total purchase consideration	2,25,00,000

Subsequent measurement of contingent consideration payable for business combination

In general, an equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Ind AS 32 describes an equity instrument as one that meets both of the following conditions:

(a) There is no contractual obligation to deliver cash or another financial asset to another party, or to exchange financial assets or financial liabilities with another party under potentially unfavorable conditions (for the issuer of the instrument).

(b) If the instrument will or may be settled in the issuer's own equity instruments, then it is:

(i) a non-derivative that comprises an obligation for the issuer to deliver a fixed number of its own equity instruments; or

(ii) a derivative that will be settled only by the issuer exchanging a fixed amount of cash or other financial assets for a fixed number of its own equity instruments.

In the given case, given that the acquirer has an obligation to issue fixed number of shares on fulfilment of the contingency, the contingent consideration will be classified as equity as per the requirements of Ind AS 32.

As per paragraph 58 of Ind AS 103, contingent consideration classified as equity should not be re-measured and its subsequent settlement should be accounted for within equity.

Here, the obligation to pay contingent consideration amounting to ₹ 25,00,000 is recognized as a part of equity and therefore not re-measured subsequently or on issuance of shares.

(ii) The amount of purchase consideration to be recognized **on initial recognition** shall be as follows:

	₹
Fair value of shares issued (10,00,000 x ₹20)	2,00,00,000
Fair value of contingent consideration	25,00,000
Total purchase consideration	2,25,00,000

Subsequent measurement of contingent consideration payable for business combination

The contingent consideration will be classified as liability as per Ind AS 32.

As per paragraph 58 of Ind AS 103, contingent consideration not classified as equity should be measured at fair value at each reporting date and changes in fair value should be recognized in profit or loss.

As at 31 March 20X2, (being the date of settlement of contingent consideration), the liability would be measured at its fair value and the resulting loss of ₹ 15,00,000 (₹ 40,00,000 – ₹ 25,00,000) should be recognized in the profit or loss for the period. A Ltd. would recognize issuance of 160,000 (`40,00,000/25) shares at a premium of ₹ 15 per share.

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Q37 · Contingent consideration

RTP May 2022 · Q9 · Numerical

9. Entity A acquires entity B. Entity A agrees with the former shareholders of entity B to pay ₹ 900, with an additional payment of ₹ 500 if the subsequent earnings of entity B reach a specified target in three years. The former shareholders also become employees. On the acquisition date, the fair value of the net assets of entity B amount to ₹ 850, and the fair value of additional payment is estimated at ₹ 200. At the acquisition date, the outflow

of additional payment is not probable.

Over the next three years, the cumulative earnings of entity B (before considering the effects of the additional payments) amount to ₹ 1,050. At the end of year three, entity A pays ₹ 500 as the conditions were met.

State the impact on the financial position and results of classifying the payments as remuneration and contingent consideration.

Solution — ICAI

9. The impact on the financial position and results of classifying the payments as remuneration and contingent consideration is tabulated as follows:

	Additional Payment is classified as Remuneration	Contingent consideration
Consideration	900	900
Fair value of additional payment	0	200
Total consideration	900	1,100
Fair value of net assets	(850)	(850)
Goodwill at acquisition date	50	250
Subsequent changes in additional payment	0	0
Total Goodwill	50	250
Cumulative earnings (before considering additional payment)	1,050	1,050
Impact of additional payment	(500)	(300)
Reported results across three years	550	750

Q38 · Contingent consideration

RTP Nov 2022 · Q9 · Numerical

9. How should contingent consideration payable in relation to a business combination be accounted for on initial recognition and at the subsequent measurement in the following cases:

(a) On 1st April 20X1, A Ltd. acquires 100% interest in B Ltd. As per the terms of agreement the purchase consideration is payable in the following 2 tranches:

• an immediate issuance of 10 lakhs shares of A Ltd. having face value of ₹ 10 per share;

• a further issuance of 2 lakhs shares after one year if the profit before interest and tax of B Ltd. for the first year following acquisition exceeds ₹ 1 crore.

The fair value of the shares of A Ltd. on the date of acquisition is ₹ 20 per share. Further, the management has estimated that on the date of acquisition, the fair value of contingent consideration is ₹ 25 lakhs.

During the year ended 31st March, 20X2, the profit before interest and tax of B Ltd.

exceeded ₹ 1 crore. As on 31st March, 20X2, the fair value of shares of A Ltd. is ₹ 25 per share.

(b) Continuing with the fact pattern in (a) above except for:

• The number of shares to be issued after one year is not fixed.

• Rather, A Ltd. agreed to issue variable number of shares having a fair value equal to ₹ 40 lakhs after one year, if the profit before interest and tax for the first year following acquisition exceeds ₹ 1 crore.

Solution — ICAI

9. Paragraph 39 of Ind AS 103 provides that the consideration the acquirer transfers in exchange for the acquiree includes any asset or liability resulting from a contingent consideration arrangement. The acquirer shall recognise the acquisition-date fair value of contingent consideration as part of the consideration transferred in exchange for the acquiree.

With respect to contingent consideration, obligations of an acquirer under contingent consideration arrangements are classified as equity or a liability in accordance with Ind AS 32

Paragraph 58 of Ind AS 103 provides guidance on the subsequent accounting for contingent consideration.

(a) (i) In the given case, the amount of purchase consideration to be recognized on initial recognition shall as follows:

Fair value shares issued (10,00,000 x ₹ 20) ₹ 2,00,00,000

Fair value of contingent consideration ₹ 25,00,000

Total purchase consideration ₹ 2,25,00,000

(ii) Subsequent measurement of contingent consideration payable for business combination

In the given case, given that the acquirer has an obligation to issue fixed number of shares on fulfillment of the contingency, the contingent consideration will be classified as equity as per the requirements of Ind AS 32.

As per paragraph 58 of Ind AS 103, contingent consideration classified as equity should not be re-measured and its subsequent settlement should be accounted for within equity.

In the given case, the obligation to pay contingent consideration amounting to ₹ 25,00,000 is recognised as a part of equity and therefore not be re-measured subsequently or on issuance of shares.

(b) (i) In the given case, the amount of purchase consideration to be recognized on initial recognition is as follows:

Fair value shares issued (10,00,000 x ₹ 20) ₹ 2,00,00,000

Fair value of contingent consideration ₹ 25,00,000

Total purchase consideration ₹ 2,25,00,000

(ii) Subsequent measurement of contingent consideration payable for business combination

In the given case, the contingent consideration will be classified as liability as per Ind AS 32.

As per paragraph 58 of Ind AS 103, contingent consideration not classified as equity should be measured at fair value at each reporting date and changes in fair value should be recognised in profit or loss.

As at 31st March, 20X2 (being the date of settlement of contingent consideration), the liability would be measured at its fair value and the resulting loss of ₹ 15,00,000 (₹ 40,00,000 – ₹ 25,00,000) should be recognised in the profit or loss for the period. A Ltd. would recognize issuance of 1,60,000 (₹ 40,00,000 / 25) shares at a premium of ₹ 15 per share.

Study-material link: variant of SM Test Your Knowledge Q10 (Ch 12), same facts

Q39 · Contingent consideration

MTP Nov 2023 S-I · Q2(a) · Theory

2. (a) On 1st April, 20X1, Johansen Ltd. acquired a new subsidiary, Bosman Ltd., purchasing all 150 million shares of Bosman Ltd. The terms of the sale agreement included the exchange of four shares in Johansen Ltd. for every three shares acquired in Bosman Ltd. On 1st April, 20X1, the market value of a share in Johansen Ltd. was ₹ 10 and the market value of a share in Bosman Ltd. ₹ 12.

The terms of the share purchase included the issue of one additional share in Johansen Ltd. for every five acquired in Bosman Ltd., if the profits of Bosman Ltd. for the two years ending 31st March, 20X3 exceeded a target figure. Current estimates are that it is 80% probable that the management of Bosman Ltd. will achieve this target.

Legal and professional fees associated with the acquisition of Bosman Ltd. shares were ₹ 12,00,000, including ₹ 2,00,000 relating to the cost of issuing shares. The senior management of Johansen Ltd. estimates that the cost of their time that can be fairly allocated to the acquisition is ₹ 2,00,000. This figure of ₹ 2,00,000 is not included in the legal and professional fees of ₹ 12,00,000 mentioned above.

The individual Balance Sheet of Bosman Ltd. at 1st April, 20X1 comprised net assets that had a fair value at that date of ₹ 1,200 million. Additionally, Johansen Ltd. considered Bosman Ltd. possessed certain intangible assets that were not recognized in its individual Balance Sheet:

• Customer relationships – reliable estimate of value ₹ 100 million. This value has been derived from the sale of customer databases in the past.

• An in-process research and development project that had not been recognised by Bosman Ltd. since the necessary conditions laid down in Indian Accounting Standards for capitalisation were only just satisfied at 31st March, 20X2. However, the fair value of the whole project (including the research phase) is estimated at ₹ 50 million.

• Employee expertise – estimated value of Director employees of Bosman Ltd. is ₹ 80 million.

• The market value of a share in Johansen Ltd. on 31st March, 20X2 was ₹ 11.

Compute the goodwill on consolidation of Bosman Ltd. that will appear in the consolidated Balance Sheet of Johansen Ltd. at 31st March, 20X2 with necessary explanation of adjustments therein. Also state the treatment of contingent consideration as on 31st March, 20X2 (12 Marks)

Solution — ICAI

2. (a) Calculation of purchase consideration:

Particulars ₹ in million

Market value of shares issued (150 million x 4/3 x ₹ 10) 2,000

Initial estimate of market value of shares to be issued (150 million x 1/5 x ₹ 10) 300

Total consideration 2,300

Contingent consideration is recognized in full if payment is probable.

As per para 53 of Ind AS 103, acquisition-related costs are costs the acquirer incurs to effect a business combination. Those costs include finder's fees; advisory, legal, accounting, valuation and other professional or consulting fees; general administrative costs, including the costs of maintaining an internal acquisitions department; and costs of registering and issuing debt and equity securities. The acquirer shall account for acquisition-related costs as expenses in the periods in which the costs are incurred and the services are received, with one exception. The costs to issue debt or equity securities shall be recognised in accordance with Ind AS 32 and Ind AS 109.

Statement of fair value of identifiable net assets at the date of acquisition

Particulars ₹ in million

As per Bosman Ltd.'s Balance Sheet	1,200
Fair value of customer relationships	100
Fair value of research and development project	50
Total net assets acquired	1,350

As per Ind AS 38 'Intangible assets', intangible assets can be recognized separately from goodwill provided they are identifiable, are under the control of the acquiring entity, and their fair value can be measured reliably.

Customer relationships that are similar in nature to those previously traded, pass these tests but

employee expertise fail the 'control' test. Both the research and development phases of in process project can be capitalised provided their fair value can be measured reliably.

Statement of computation of goodwill

Particulars ₹ in million

Fair value of consideration given	2,300
Fair value of net assets acquired	(1,350)
Goodwill on acquisition	950

Paragraph 58 of Ind AS 103 provides guidance on the subsequent accounting for contingent consideration. In general, an equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Ind AS 32 describes an equity instrument as one that meets both of the following conditions:

➢ There is no contractual obligation to deliver cash or another financial asset to another party, or to exchange financial assets or financial liabilities with another party under potentially unfavourable conditions (for the issuer of the instrument).

➢ If the instrument will or may be settled in the issuer's own equity instruments, then it is:

• a non-derivative that comprises an obligation for the issuer to deliver a fixed number of its own equity instruments; or

• a derivative that will be settled only by the issuer exchanging a fixed amount of cash or other financial assets for a fixed number of its own equity instruments.

In the given case, given that the acquirer has an obligation to issue fixed number of shares on fulfillment of the contingency, the contingent consideration will be classified as equity as per the requirements of Ind AS 32.

As per paragraph 58 of Ind AS 103, contingent consideration classified as equity should not be re-measured and its subsequent settlement should be accounted for within equity.

Q40 · Contingent consideration

MTP Jan 2026 S-I · Part II Q1 · Numerical

1. P Limited and S Limited are in business of manufacturing garments. P Limited holds 30% of equity shares of S Limited for last several years. P Limited obtains control of S Limited when it acquires further 65% stake of S Limited's shares, thereby resulting in a total holding of 95% on 31st March, 20X1. The acquisition had the following features:

(i) P Limited transfers cash of ₹ 50,00,000 and issues 90,000 shares on 31st March, 20X1. The market price of P Limited's shares on the date of issue was ₹ 10 per share. The equity shares issued as per this transaction will comprise 5% of the post-acquisition capital of P Limited.

(ii) P Limited agrees to pay additional consideration of ₹ 4,00,000, if the cumulative profits of S Limited exceeds ₹ 40,00,000 over the next two years. At the

acquisition date, it is not considered probable that extra consideration will be paid.

The fair value of contingent consideration is determined to be ₹ 2,00,000 at the acquisition date.

(iii) P Limited spent acquisition-related costs of ₹ 2,00,000.

(iv) The fair value of the NCI is determined to be ₹ 5,00,000 at the acquisition date based on market price. P Limited decided to measure non-controlling interest at fair value for this transaction.

(v) P Limited has owned 30% of the shares in S Limited for several years. At 31st March, 20X1, the investment is included in P Limited's consolidated balance sheet at ₹ 8,00,000. The fair value of previous holdings accounted for using the equity method is arrived at ₹ 18,00,000.

The fair value of S Limited's net identifiable assets at 31st March, 20X1 is ₹ 45,00,000, determined in accordance with Ind AS 103.

Analyze the transaction and determine the accounting under acquisition method for the business combination by P Limited. (14 Marks)

Solution — ICAI

1. Identify the acquirer

In this case, P Limited has paid cash consideration to shareholders of S Limited.

Further, the shares issued to S Limited pursuant to the acquisition do not transfer control of P Limited to erstwhile shareholders of S Limited. Therefore, P Limited is the acquirer and S Limited is the acquiree.

Determine acquisition date

As the control over the business of S Limited is transferred to P Limited on 31st March 20X1, that date is considered as the acquisition date.

Determine the purchase consideration

The purchase consideration in this case will comprise of the following:

Cash consideration ₹ 50,00,000

Equity shares issued (90,000 x 10 i.e., at fair value) ₹ 9,00,000

Contingent consideration (at fair value) ₹ 2,00,000

Fair value of previously held interest ₹ 18,00,000

Total purchase consideration ₹ 79,00,000

Acquisition cost incurred by and on behalf of P Limited for acquisition of S Limited should be recognised in the Statement of Profit and Loss. As such, an amount of ₹ 2,00,000 should be recognised in the Statement of Profit and Loss.

Fair value of identifiable assets and liabilities

The fair value of identifiable net assets (as given in the question) ₹ 45,00,000.

Non-Controlling Interest

The management has decided to recognise NCI at its fair value, which is given in the question as ₹ 5,00,000.

Re-measure previously held interests in case business combination is achieved in stages

In this case, the control has been acquired in stages i.e., before acquisition to control, P Limited exercised significant influence over S Limited. As such, the previously held interest should be measured at fair value and the difference between the fair value and the carrying amount as at the acquisition date should be recognised in the Statement of Profit and Loss. As such, an amount of ₹ 10,00,000 (i.e. 18,00,000 – 8,00,000) will be recognised in the Statement of Profit and Loss.

Determination of goodwill or gain on bargain purchase

Goodwill should be calculated as follows: (₹)

Total consideration 79,00,000

Recognised amount of any non-controlling interest 5,00,000

Less: Fair value of net identifiable assets (45,00,000)

Goodwill 39,00,000

Study-material link: variant of SM Test Your Knowledge Q1 (Ch 12, Company A / Company B, 25% + 65%)

Q41 · Contingent consideration

MTP Nov 2026 S-1 · Part II Q1 · Theory

1. On 1st April, 20X1, Johansen Ltd. acquired a new subsidiary, Bosman Ltd., purchasing all 150 million shares of Bosman Ltd. The terms of the sale agreement included the exchange of four shares in Johansen Ltd. for every three shares acquired in Bosman Ltd. On 1st April, 20X1, the market value of a share in Johansen Ltd. was ₹ 10 and the market value of a share in Bosman Ltd. ₹ 12.

The terms of the share purchase included the issue of one additional share in Johansen Ltd. for every five acquired in Bosman Ltd., if the profits of Bosman Ltd. for the two years ending 31st March, 20X3 exceeded a target figure. Current estimates are that it is 80% probable that the management of Bosman Ltd. will achieve this target.

Legal and professional fees associated with the acquisition of Bosman Ltd. shares were ₹ 12,00,000, including ₹ 2,00,000 relating to the cost of issuing shares. The senior management of Johansen Ltd. estimates that the cost of their time that can be fairly allocated to the acquisition is ₹ 2,00,000. This figure of ₹ 2,00,000 is not included in the legal and professional fees of ₹ 12,00,000 mentioned above.

The individual Balance Sheet of Bosman Ltd. at 1st April, 20X1 comprised net assets that had a fair value at that date of ₹ 1,200 million. Additionally, Johansen Ltd. considered

Bosman Ltd. possessed certain intangible assets that were not recognized in its individual Balance Sheet:

• Customer relationships – reliable estimate of value ₹ 100 million. This value has been derived from the sale of customer databases in the past.

• An in-process research and development project that had not been recognised by Bosman Ltd. since the necessary conditions laid down in Indian Accounting Standards for capitalisation were only just satisfied at 31st March, 20X2. However, the fair value of the whole project (including the research phase) is estimated at ₹ 50 million.

• Employee expertise – estimated value of Director employees of Bosman Ltd. is ₹ 80 million.

• The market value of a share in Johansen Ltd. on 31st March, 20X2 was ₹ 11.

Required

Compute the goodwill on consolidation of Bosman Ltd. that will appear in the consolidated Balance Sheet of Johansen Ltd. at 31st March, 20X2 with necessary explanation of adjustments therein. Also state the treatment of contingent consideration as on 31st March, 20X2. (14 Marks)

Solution — ICAI

1. Calculation of purchase consideration:

Particulars ₹ in million

Market value of shares issued (150 million x 4/3 x ₹ 10) 2,000

Initial estimate of market value of shares to be issued

(150 million x 1/5 x ₹ 10)	300
Total consideration	2,300

Contingent consideration is recognized in full if payment is probable.

As per para 53 of Ind AS 103, acquisition related costs are costs the acquirer incurs to effect a business combination. Those costs include finder's fees; advisory, legal,

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accounting, valuation and other professional or consulting fees; general administrative costs, including the costs of maintaining an internal acquisitions department; and costs of registering and issuing debt and equity securities. The acquirer shall account for acquisition-related costs as expenses in the periods in which the costs are incurred and the services are received, with one exception. The costs to issue debt or equity securities shall be recognised in accordance with Ind AS 32 and Ind AS 109.

Statement of fair value of identifiable net assets at the date of acquisition

Particulars ₹ in million

As per Bosman Ltd.'s Balance Sheet	1,200
Fair value of customer relationships	100
Fair value of research and development project	50
Total net assets acquired	1,350

As per Ind AS 38 'Intangible assets', intangible assets can be recognized separately from goodwill provided they are identifiable, are under the control of the acquiring entity, and their fair value can be measured reliably.

Customer relationships that are similar in nature to those previously traded, pass these tests but employee expertise fail the 'control' test. Both the research and development phases of in process project can be capitalised provided their fair value can be measured reliably.

Statement of computation of goodwill

Particulars ₹ in million

Fair value of consideration given	2,300
Fair value of net assets acquired	(1,350)
Goodwill on acquisition	950

Paragraph 58 of Ind AS 103 provides guidance on the subsequent accounting for contingent consideration. In general, an equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Ind AS 32 describes an equity instrument as one that meets both of the following conditions:

 There is no contractual obligation to deliver cash or another financial asset to another party, or to exchange financial assets or financial liabilities with another party under potentially unfavourable conditions (for the issuer of the instrument).

 If the instrument will or may be settled in the issuer's own equity instruments, then it is:

• a non-derivative that comprises an obligation for the issuer to deliver a fixed number of its own equity instruments; or

• a derivative that will be settled only by the issuer exchanging a fixed amount of cash or other financial assets for a fixed number of its own equity instruments.

In the given case, given that the acquirer has an obligation to issue fixed number of shares on fulfillment of the contingency, the contingent consideration will be classified as equity as per the requirements of Ind AS 32.

As per paragraph 58 of Ind AS 103, contingent consideration classified as equity should not be re-measured and its subsequent settlement should be accounted for within equity.

Ⓓ Recognising and measuring what is acquired

Q42 · Measurement at fair value and the exceptions

SM Ch 12 · Illustration 15 · Theory

Illustration 15

ABC Ltd. acquired a beverage company PQR Ltd. from XYZ Ltd. At the time of the acquisition, PQR Ltd. is the defendant in a court case whereby certain customers of PQR Ltd. have alleged that its products contain pesticides in excess of the permissible levels that have caused them health damage.

PQR Ltd. is being sued for damages of ₹ 2 crore. XYZ Ltd. has indemnified ABC Ltd. for the losses, if any, due to the case for amount up to ₹ 1 crore. The fair value of the contingent liability for the court case is ₹ 70 lakh.

How should ABC Ltd. account for the contingent liability and the indemnification asset? What if the fair value of the liability is ₹ 1.2 crore instead of ₹ 70 lakh.

Solution — ICAI

Solution

In the current scenario, ABC Ltd. measures the identifiable liability of entity PQR Ltd. at ₹ 70 lakh and also recognises a corresponding indemnification asset of ₹ 70 lakhs on its consolidated balance sheet. The net impact on goodwill from the recognition of the contingent liability and associated indemnification asset is nil.

However, in the case where the liability's fair value is more than ₹ 1 crore ie. ₹ 1.2 crore, the indemnification asset will be limited to ₹ 1 crore only.

Q43 · Measurement at fair value and the exceptions

SM Ch 12 · Illustration 16 · Theory

Illustration 16

ABC Ltd. pays ₹ 50 crore to acquire PQR Ltd. from XYZ Ltd. PQR Ltd. manufactured products containing fiber glass and has been named in 10 class actions concerning the effects of these fiber glass. XYZ Ltd. agrees to indemnify ABC Ltd. for the adverse results of any court cases up to an amount of ₹ 10 crore. The class actions have not specified amounts of damages and past experience suggests that claims may be up to ₹ 1 crore each, but that they are often settled for small amounts.

ABC Ltd. makes an assessment of the court cases and decides that due to the potential variance in outcomes, the contingent liability cannot be measured reliably and accordingly no amount is recognised in respect of the court cases.

How should indemnification asset be accounted for?

Solution — ICAI

Solution

Since no liability is recognised in the given case, ABC Ltd. will also not recognise an indemnification asset as part of the business combination accounting.

Q44 · Measurement at fair value and the exceptions

ICAI Practice Questions · Ch 12 Q2

2. H Ltd. acquired equity shares of S Ltd., a listed company, in two tranches as mentioned in the below table:

Date	Equity stake purchased	Remarks
1st November, 20X6	15%	The shares were purchased based on the quoted price on the stock exchange on the relevant dates.
1st January, 20X7	45%	

Both the above-mentioned companies have Rupees as their functional currency. Consequently, H Ltd. acquired control over S Ltd. on 1st January, 20X7. Following is the Balance Sheet of S Ltd. as on that date:

Particulars	Carrying value (₹ in crore)	Fair value (₹ in crore)
ASSETS:		
Non-current assets		
(a) Property, plant and equipment	40.0	90.0
(b) Intangible assets	20.0	30.0
(c) Financial assets		
- Investments	100.0	350.0
Current assets		
(a) Inventories	20.0	20.0
(b) Financial assets		
- Trade receivables	20.0	20.0
- Cash held in functional currency	4.0	4.0
(c) Other current assets		
Non-current asset held for sale	4.0	4.5
TOTAL ASSETS	208	
EQUITY AND LIABILITIES:		
Equity		
(a) Share capital (face value ₹ 100)	12.0	50.4
(b) Other equity	141.0	Not applicable
Non-current liabilities		
(a) Financial liabilities		
- Borrowings	20.0	20.0
Current liabilities		
(a) Financial liabilities		
- Trade payables	28.0	28.0
(b) Provision for warranties	3.0	3.0
(c) Current tax liabilities	4.0	4.0
TOTAL EQUITY AND LIABILITIES	208.0	

Other information:

Following is the statement of contingent liabilities of S Ltd. as on 1st January, 20X7:

Particulars	Fair value (₹ in crore)	Remarks
Lawsuit filed by a customer for a claim of ₹ 2 crore	0.5	It is not probable that an outflow of resources embodying economic benefits will be required to settle the claim. Any amount which would be paid in respect of lawsuit will be tax deductible.
Income tax demand of ₹ 7 crore raised by tax authorities; S Ltd. has challenged the demand in the court.	2.0	It is not probable that an outflow of resources embodying economic benefits will be required to settle the claim.

In relation to the above-mentioned contingent liabilities, S Ltd. has given an indemnification undertaking to H Ltd. up to a maximum of ₹ 1 crore.

₹ 1 crore represents the acquisition date fair value of the indemnification undertaking.

Any amount which would be received in respect of the above undertaking shall not be taxable.

The tax bases of the assets and liabilities of S Ltd. is equal to their respective carrying values being recognised in its Balance Sheet.

Carrying value of non-current asset held for sale of ₹ 4 crore represents its fair value less cost to sell in accordance with the relevant Ind AS.

In consideration of the additional stake purchased by H Ltd. on 1st January, 20X7, it has issued to the selling shareholders of S Ltd. 1 equity share of H Ltd. for every 2 shares held in S Ltd. Fair value of equity shares of H Ltd. as on 1st January, 20X7 is ₹ 10,000 per share.

On 1st January, 20X7, H Ltd. has paid ₹ 50 crore in cash to the selling shareholders of S Ltd. Additionally, on 31st March, 20X9, H Ltd. will pay ₹ 30 crore to the selling shareholders of S Ltd. if return on equity of S Ltd. for the year ended 31st March, 20X9 is more than 25% per annum. H Ltd. has estimated the fair value of this obligation as on 1st January, 20X7 and 31st March, 20X7 as ₹ 22 crore and ₹ 23 crore respectively. The change in fair value of the obligation is attributable to the change in facts and circumstances after the acquisition date.

Quoted price of equity shares of S Ltd. as on various dates is as follows:

As on November, 20X6	₹ 350 per share
As on 1st January, 20X7	₹ 395 per share
As on 31st March, 20X7	₹ 420 per share

On 31st May, 20X7, H Ltd. learned that certain customer relationships existing as on 1st January, 20X7, which met the recognition criteria of an intangible asset as on that date, were not considered during the accounting of business combination for the year ended 31st March, 20X7. The fair value of such customer relationships as on 1st January, 20X7 was ₹ 3.5 crore (assume that there are no temporary differences associated with customer relations; consequently, there is no impact of income taxes on customer relations).

On 31st May, 20X7 itself, H Ltd. further learned that due to additional customer relationships being developed during the period 1st January, 20X7 to 31st March, 20X7, the fair value of such customer relationships has increased to ₹ 4 crore as on 31st March, 20X7.

On 31st December, 20X7, H Ltd. has established that it has obtained all the information necessary for the accounting of the business combination and that more information is not obtainable.

H Ltd. and S Ltd. are not related parties and follow Ind AS for financial reporting. Income tax rate applicable is 30%.

You are required to provide your detailed responses to the following, along with reasoning and computation notes:

(a) What should be the goodwill or bargain purchase gain to be recognised by H Ltd. in its financial statements for the year ended 31st March, 20X7. For this purpose, measure non-controlling interest using proportionate share of the fair value of the identifiable net assets of S Ltd.

(b) Will the amount of non-controlling interest, goodwill, or bargain purchase gain so recognised in (a) above change subsequent to 31st March, 20X7? If yes, provide relevant journal entries.

(c) What should be the accounting treatment of the contingent consideration as on 31st March, 20X7?

Solution — ICAI

2. **(i)** As an only exception to the principle of classification or designation of assets as they exist at the acquisition date is that for lease contract which will be based on the basis of the conditions existing at inception and not on acquisition date.

Therefore, H Ltd. would be required to retain the original lease classification of the lease arrangements and thereby recognise the lease arrangements as finance lease.

(ii) The requirements in Ind AS 37 'Provisions, Contingent Liabilities and Contingent Assets', do not apply in determining which contingent liabilities to recognise as of the acquisition date as per Ind AS 103 'Business Combination'. Instead, the acquirer shall recognise as of the acquisition date a contingent liability assumed in a business combination if it is a present obligation that arises from past events and its fair value can be measured reliably. Therefore, contrary to Ind AS 37, the acquirer recognises a contingent liability assumed in a business combination at the acquisition date even if it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation. Hence H Ltd. will recognize contingent liability of ₹ 2.5 cr.

Since S Ltd. has indemnified for ₹ 1 cr., H Ltd. shall recognise an indemnification asset at the same time for ₹ 1 cr.

As per the information given in the question, this indemnified asset is not taxable. Hence, its tax base will be equal to its carrying amount. No deferred tax will arise on it.

(iii) As per Ind AS 103, non-current assets held for sale should be measured at fair value less cost to sell in accordance with Ind AS 105 'Non-current Assets Held for Sale and Discontinued Operations'. Therefore, its carrying value as per balance sheet has been considered in the calculation of net assets.

(iv) Any equity interest in S Ltd. held by H Ltd. immediately before obtaining control over S Ltd. is adjusted to acquisition-date fair value. Any resulting gain or loss is recognised in the profit or loss of H Ltd.

Calculation of purchase consideration as per Ind AS 103 ₹ in crore

Investment in S Ltd.			
On 1st Nov. 20X6	15%	[(12/100) x ₹ 395 x 15%]	7.11
On 1st Jan. 20X7	45%		
Own equity given		12 x 100 x ₹ 10,000 x 45% x 1/2	270.00
Cash			50.00
Contingent consideration			22.00
			349.11

(v) Calculation of deferred tax on assets and liabilities acquired as part of the business combination, including current tax and goodwill.

Item	₹ in crore				
	Book value	Fair value	Tax base	Taxable (deductible) temporary difference	Deferred tax assets (liability) @ 30%
Property, plant and equipment	40	90	40	50	(15)
Intangible assets	20	30	20	10	(3)
Investments	100	350	100	250	(75)
Inventories	20	20	20	-	-
Trade receivables	20	20	20	-	-
Cash held in functional currency	4	4	4	-	-
Non-current asset held for sale	4	4	4	-	-
Indemnified asset	-	1	-	-	-
Borrowings	20	20	20	-	-
Trade payables	28	28	28	-	-
Provision for warranties	3	3	3	-	-
Current tax liabilities	4	4	4	-	-
Contingent liability		0.5	-	(0.5)	0.15
Deferred tax Liability					(92.85)

(vi) Calculation of identifiable net assets acquired

	₹ in crore	₹ in crore
Property, plant and equipment	90	
Intangible assets	30	
Investments	350	
Inventories	20	
Trade receivables	20	
Cash held in functional currency	4	
Non-current asset held for sale	4	
Indemnified asset	1	
Total asset		519
Less: Borrowings	20	
Trade payables	28	
Provision for warranties	3	
Current tax liabilities	4	
Contingent liability (2 + 0.5)	2.50	
Deferred tax liability (W.N.2)	92.85	(150.35)
Net identifiable assets		368.65

(a) Calculation of NCI by proportionate share of net assets

Net identifiable assets of S Ltd. on 1.1.20X7 (Refer W.N.(vi)) = 368.65 crore

NCI on 1.1.20X7 = 368.65 crore x 40% = 147.46 crore

Calculation of Goodwill as per Ind AS 103

Goodwill on 1.1.20X7 = Purchase consideration + NCI – Net assets

= 349.11 + 147.46 – 368.65 = 127.92 crore

(b) As per para 45 of Ind AS 103 'Business Combination', if the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the acquirer shall report in its financial statements provisional amounts for the items for which the accounting is incomplete.

During the measurement period, the acquirer shall retrospectively adjust the provisional amounts recognised at the acquisition date to reflect new

information obtained about facts and circumstances that existed as of the acquisition date and, if known, would have affected the measurement of the amounts recognised as of that date.

During the measurement period, the acquirer shall also recognise additional assets or liabilities if new information is obtained about facts and circumstances that existed as of the acquisition date and, if known, would have resulted in the recognition of those assets and liabilities as of that date.

The measurement period ends as soon as the acquirer receives the information it was seeking about facts and circumstances that existed as of the acquisition date or learns that more information is not obtainable. However, the measurement period shall not exceed one year from the acquisition date.

Further, as per para 46 of Ind AS 103, the measurement period is the period after the acquisition date during which the acquirer may adjust the provisional amounts recognised for a business combination. The measurement period provides the acquirer with a reasonable time to obtain the information necessary to identify and measure the following as of the acquisition date in accordance with the requirements of this Ind AS:

(a) the identifiable assets acquired, liabilities assumed and any non-controlling interest in the acquiree;

(b) .....

(c) ……; and

(d) the resulting goodwill or gain on a bargain purchase.

Para 48 states that the acquirer recognises an increase (decrease) in the provisional amount recognised for an identifiable asset (liability) by means of a decrease (increase) in goodwill.

Para 49 states that during the measurement period, the acquirer shall recognise adjustments to the provisional amounts as if the accounting for the business combination had been completed at the acquisition date.

Para 50 states that after the measurement period ends, the acquirer shall revise the accounting for a business combination only to correct an error in accordance with Ind AS 8 'Accounting Policies, Changes in Accounting Estimates and Errors'.

On 31st December, 20X7, H Ltd. has established that it has obtained all the information necessary for the accounting of the business combination and the more information is not obtainable. Therefore, the measurement period for acquisition of S Ltd. ends on 31st December, 20X7.

On 31st May, 20X7 (ie within the measurement period), H Ltd. learned that certain customer relationships existing as on 1st January, 20X7 which met the recognition criteria of an intangible asset as on that date were not considered during the accounting of business combination for the year ended 31st March, 20X7. Therefore, H Ltd. shall account for the acquisition date fair value of customer relations existing on 1st January, 20X7 as an identifiable intangible asset. The corresponding adjustment shall be made in the amount of goodwill.

Accordingly, the amount of goodwill will be changed due to identification of new asset from retrospective date for changes in fair value of assets and liabilities earlier recognised on provisional amount (subject to meeting the condition above for measurement period). NCI changes would impact the consolidated retained earnings (parent's share). Also NCI will be increased or decreased based on the profit during the post-acquisition period.

Journal Entry

Customer relationship	Dr.	3.5 crore	
To NCI			1.4 crore
To Goodwill			2.1 crore

However, the increase in the value of customer relations after the acquisition date shall not be accounted by H Ltd., as the customer relations developed after 1st January, 20X7 represents internally generated intangible assets which are not eligible for recognition on the balance sheet.

(c) Since the contingent considerations payable by H Ltd is not classified as equity and is within the scope of Ind AS 109 'Financial Instruments', the changes in the fair value shall be recognised in profit or loss. Change in Fair value of contingent consideration (23-22) ₹ 1 crore will be recognized in the Statement of Profit and Loss.

Q45 · Identifiable intangible assets, assembled workforce

SM Ch 12 · Illustration 17 · Theory

Illustration 17

Company A, FMCG company acquires an online e-commerce company E, with the intention to start its retail business. The e-commerce company has over the period have 10 million registered users. However, the e-commerce company E does not have any intention to sell the customer list.

Should this customer list be recorded as an intangible in a business combination?

Solution — ICAI

Solution

In this situation the customer database does not give rise to legal or contractual right. Accordingly, the assessment of its separability will be assessed. The database can be useful to other players and Company E has the ability to transfer this to them. Accordingly, the intention not to transfer will not affect the assessment whether to record this as an intangible or not. Hence customer list should be recorded as an intangible in a business combination.

Q46 · Identifiable intangible assets, assembled workforce

SM Ch 12 · Illustration 18 · Theory

Illustration 18

ABC Ltd. a pharmaceutical group acquires XYZ Ltd. another pharmaceutical business. XYZ Ltd. has incurred significant research costs in connection with two new drugs that have been undergoing clinical trials. Out of the two drugs, one drug has not been granted necessary regulatory approvals. However, ABC Ltd. expects that approval will be given within two years. The other drug has recently received regulatory approval. The drugs' revenue-earning potential was one of the principal reasons why entity ABC Ltd. decided to acquire entity XYZ Ltd.

Whether the research and development on either of the drugs be recognised as an intangible asset in the books of ABC Ltd.?

Solution — ICAI

Solution

Ind AS 38, Intangible Assets provides explicit guidance on recognition of acquired in-process research and development.

Paragraph 21 of Ind AS 38 provides guidance regarding general recognition conditions which require it to be probable that expected future economic benefits will flow to the entity before an intangible asset can be recognised and for the cost to be measured reliably.

As per paragraph 33 of Ind AS 38, both of the standard's general recognition criteria, i.e. probability of benefits and reliable measurement, are always considered to be satisfied for intangible assets acquired in a business combination.

The fair value of an intangible asset reflects expectations about the probability of these benefits, despite uncertainty about the timing or the amount of the inflow. There will be sufficient information to measure the fair value of the asset reliably if it is separable or arises from contractual or other legal rights. If there is a range of possible outcomes with different probabilities, this uncertainty is taken into account in the measurement of the asset's fair value.

Paragraph 34 of Ind AS 38, provides that in accordance with this Standard and Ind AS 103, an acquirer recognises at the acquisition date, separately from goodwill, an intangible asset of the acquiree, irrespective of whether the asset had been recognised by the acquiree before the business combination.

This means that the acquirer recognises as an asset separately from goodwill an in-process research and development project of the acquiree if the project meets the definition of an intangible asset. An acquiree's in-process research and development project meets the definition of an intangible asset when it:

(a) meets the definition of an asset; and

(b) is identifiable, i.e. is separable or arises from contractual or other legal rights.

In accordance with above,

(i) The fair value of the first drug reflects the probability and the timing of the regulatory approval being obtained. As per the standard, the recognition criterion of probable future economic benefits is considered to be satisfied in respect of the asset acquired accordingly an asset is recognised. Subsequent expenditure on an in-process research or development project acquired separately is to be dealt with in accordance with paragraph 43 of Ind AS 38.

(ii) The rights to the second drug also meet the recognition criteria in Ind AS 8 and are recognised. The approval means it is probable that future economic benefits will flow to ABC Ltd. This will be reflected in the fair value assigned to the intangible asset.

Thus, recognising in-process research and development as an asset on acquisition applies different criteria to those that are required for internal projects. The research costs of internal R&D projects may under no circumstances be capitalised as an intangible asset. It may be pertinent to note that entities will be required to recognise on acquisition some research and development expenditure that they would not have been able to recognise if it had been an internal project. Although the amount attributed to the project is accounted for as an asset, Ind AS 38 requires that any subsequent expenditure incurred after the acquisition of the project is to be accounted for in accordance with paragraphs 54 to 62 of Ind AS 38.

Q47 · Identifiable intangible assets, assembled workforce

ICAI Practice Questions · Ch 12 Q1

1. As part of its business expansion strategy, KK Ltd. is in process of setting up a pharma intermediates business which is at very initial stage. For this purpose, KK Ltd. has acquired on 1st April, 20X1, 100% shares of ABR Ltd. that manufactures pharma intermediates. The purchase consideration for the same was by way of a share exchange valued at ₹ 35 crores. The fair value of ABR Ltd.' s net assets was ₹ 15 crores, but does not include:

   (i) A patent owned by ABR Ltd. for an established successful intermediate drug that has a remaining life of 8 years. A consultant has estimated the value of this patent to be ₹ 10 crores. However, the outcome of clinical trials for the same are awaited. If the trials are successful, the value of the drug would fetch the estimated ₹ 15 crores.

   (ii) ABR Ltd. has developed and patented a new drug which has been approved for clinical use. The cost of developing the drug was ₹ 12 crores. Based on early assessment of its sales success, the valuer has estimated its market value at ₹ 20 crores.

   (iii) ABR Ltd.'s manufacturing facilities have received a favourable inspection by a government department. As a result of this, the Company has been granted an exclusive five-year license to manufacture and distribute a new vaccine. Although the license has no direct cost to the Company, its directors believe that obtaining the license is a valuable asset which assures guaranteed sales and the value for the same is estimated at ₹ 10 crores.

   KK Ltd. has requested you to suggest the accounting treatment of the above transaction under applicable Ind AS.

Solution — ICAI

1. As per para 13 of Ind AS 103 'Business Combination', the acquirer's application of the recognition principle and conditions may result in recognising some assets and liabilities that the acquiree had not previously recognised as assets and liabilities in its financial statements. This may be the case when the asset is developed by the entity internally and charged the related costs to expense.

Based on the above, the company can recognise following Intangible assets while determining Goodwill / Bargain Purchase for the transaction:

(i) **Patent owned by ABR Ltd.:** The patent owned will be recognised at fair value by KK Ltd. even though it was not recognised by ABR Ltd. in its financial statements. The patent will be amortised over the remaining useful life of the asset i.e. 8 years. Since the company is awaiting the outcome of the trials, the value of the patent cannot be estimated at ₹ 15 crore and the extra ₹ 5 crore should only be disclosed as a Contingent Asset and not recognised.

(ii) **Patent internally developed by ABR Ltd.:** As per para 18 of Ind AS 103 'Business Combination', the acquirer shall measure the identifiable assets acquired and the liabilities assumed at their acquisition date fair values. Since the patent developed has been approved for clinical use, it is an identifiable asset, hence the same will be measured at fair value ie ₹ 20 crore on the acquisition date.

(iii) **Grant of Licence to ABR Ltd. by the Government:** As regards to the five-year license, applying para 18 of Ind AS 103, grant asset will be recognised at fair value on the acquisition date by KK Ltd. On acquisition date, the fair value of the license is ₹ 10 crore. However, since the question does not mention about the fair value of the identifiable liability with respect to grant of license for the acquirer, it is assumed that no conditions with respect to compliance of grant (if any) have been passed to the acquirer. Hence, the fair value of the liability with respect to grant, for acquirer would be nil. Only, the grant asset (license) would be recognised at ₹ 10 crore in the books of acquirer KK Ltd.

Hence the revised working would be as follows:

	₹
Fair value of net assets of ABR Ltd.	15 crore
Add: Patent (10 + 20)	30 crore
Add: License	10 crore
Less: Grant for License	(Nil)
	55 crores
Purchase Consideration	(35 crores)
Bargain purchase	20 crore

Q48 · Identifiable intangible assets, assembled workforce

ICAI Practice Questions · Ch 12 Q8

8. An entity acquired two trade secrets (secret recipes) in a business combination. Recipe A is patented. Recipe B is not legally protected.

How the acquisition of Recipe A and Recipe B would be accounted for by the entity as per relevant Ind AS.

Solution — ICAI

8. Para 11 and 12 of Ind AS 38 states that the definition of an intangible asset requires an intangible asset to be identifiable to distinguish it from goodwill. Goodwill recognised in a business combination is an asset representing the future economic benefits arising from other assets acquired in a business combination that are not individually identified and separately recognised. The future economic benefits may result from synergy between the identifiable assets acquired or from assets that, individually, do not qualify for recognition in financial statements.

Further, an asset is identifiable if it either:

(a) is separable, ie is capable of being separated or divided from the entity and sold, transferred, licensed, rented or exchanged, either individually or together with a related contract, identifiable asset or liability, regardless of whether the entity intends to do so; or

(b) arises from contractual or other legal rights, regardless of whether those rights are transferable or separable from the entity or from other rights and obligations.

In the given case, Recipe A meets the contractual-legal criterion for identification as an intangible asset because it is protected by a patent. This recipe is identified as recognised separately from goodwill while accounting the business combination.

Since Recipe B is not protected by a patent, it does not meet the contractual-legal criterion for identification as an intangible asset. However, Recipe B is identified as a separate intangible asset because it meets the separability criterion. Such recipes can be, and often are, exchanged, licensed or leased to others. Therefore, the unpatented Recipe B should be accounted for as a separate intangible asset acquired in the business combination.

Q49 · Identifiable intangible assets, assembled workforce

RTP May 2023 · Q18 · Theory

18. An entity acquired two trade secrets (secret recipes) in a business combination.

Recipe A is patented. Recipe B is not legally protected.

How the acquisition of Recipe A and Recipe B would be accounted for by the entity as per relevant Ind AS.

Solution — ICAI

18. Para 11 and 12 of Ind AS 38 states that the definition of an intangible asset requires an intangible asset to be identifiable to distinguish it from goodwill. Goodwill recognised in a business combination is an asset representing the future economic benefits arising from other assets acquired in a business combination that are not individually identified and separately recognised. The future economic benefits may result from synergy between the identifiable assets acquired or from assets that, individually, do not qualify for recognition in the financial statements.

Further, an asset is identifiable if it either:

(a) is separable, ie is capable of being separated or divided from the entity and sold,

transferred, licensed, rented or exchanged, either individually or together with a related contract, identifiable asset or liability, regardless of whether the entity intends to do so; or

(b) arises from contractual or other legal rights, regardless of whether those rights are transferable or separable from the entity or from other rights and obligations.

In the given case, Recipe A meets the contractual-legal criterion for identification as an intangible asset because it is protected by a patent. This recipe is identified an recognised separately from goodwill while accounting the business combination.

Since Recipe B is not protected by a patent, it does not meet the contractual-legal criterion for identification as an intangible asset. However, Recipe B is identified as a separate intangible asset because it meets the separability criterion. Such recipes can be, and often are, exchanged, licensed or leased to others. Therefore, the unpatented Recipe B should be accounted for as a separate intangible asset acquired in the business combination.

Q50 · Identifiable intangible assets, assembled workforce

RTP Nov 2024 · Q16 · Numerical

16. SS Limited had the following transactions during the Financial Year 20X1-20X2.

(i) On 1st April 20X1, SS Limited purchased the net assets of M Limited for ₹ 13,20,000. The fair value of M Limited's identifiable net assets was ₹ 10,00,000. SS Limited is of the view that due to popularity of M Limited's product, the life of goodwill is 10 years.

(ii) On 4th May 20X1, SS Limited purchased a Franchisee to organize musical shows from A TV for ₹80,00,000 and at an annual fee of 2% of musical shows revenue. The Franchisee expires after 5 years. Musical shows revenue were ₹ 10,00,000 for financial year 20X1-20X2. The projected future revenues for financial year 20X2-20X3 is ₹ 25,00,000 and ₹ 30,00,000 p.a. for remaining 3 years thereafter.

(iii) On 4th July 20X1, SS Limited was granted a Copyright that had been applied for by M Limited. During the financial year 20X1-20X2, SS Limited incurred ₹2,50,000 on legal cost to register the Patent and ₹ 7,00,000 additional cost to successfully prosecute a copyright infringement suit against a competitor. The life of the

Copyright is for 10 years.

SS Limited follows an accounting policy to amortize all intangible on SLM (Straight Line Method) basis or any appropriate basis over a maximum period permitted by relevant Ind AS, taking a full year amortization in the year of acquisition.

You are required to prepare:

(i) A Schedule showing the intangible section in SS Limited Balance Sheet as on 31st March 20X2, and

(ii) A Schedule showing the related expenses that would appear in the Statement of Profit and Loss of SS Limited for the year ended 20X1-20X2.

Solution — ICAI

16. (i) SS Limited

Balance Sheet (Extract relating to intangible asset)

as at 31st March 20X2

Note No. ₹

Assets

(1) Non- current asset

Intangible assets 1 69,45,000

(ii) SS Limited

Statement of Profit and Loss (Extract)

for the year ended 31st March 20X2

Note No. ₹

Revenue from Operations 10,00,000

Total Revenue

Expenses:

Amortization expenses	2	16,25,000
Other expenses	3	7,20,000

Total Expenses

Notes to Accounts (Extract)

1. Intangible Assets

Gross Block (Cost) Accumulated amortisation Net block

Opening Additions Closing Opening Additions Closing Opening Closing

balance Balance balance Balance balance Balance

₹ ₹ ₹ ₹ ₹ ₹ ₹ ₹

1. Goodwill* - 3,20,000 3,20,000 - - - - 3,20,000

(W.N.1)

2. Franchise** - 80,00,000 80,00,000 - 16,00,000 16,00,000 - 64,00,000

(W.N.2)

3. Copyright

(W.N.3) - 2,50,000 2,50,000 - 25,000 25,000 - 2,25,000

- 85,70,000 85,70,000 - 16,25,000 16,25,000 - 69,45,000

*As per Ind AS 36, irrespective of whether there is any indication of impairment, an entity shall test goodwill acquired in a business combination for impairment annually. This implies that goodwill is not amortised annually but is subject to annual impairment, if any.

**As per the information in the question, the limiting factor in the contract for the use is time i.e., 5 years and not the fixed total amount of revenue to be generated. Therefore, an amortisation method that is based on the revenue generated by an activity that includes the use of an intangible asset is inappropriate and amortisation based on time can only be applied.

2. Amortization expenses

Franchise (W.N.2)	16,00,000	
Copyright (W.N.3)	25,000	16,25,000

3. Other expenses

Legal cost on copyright	7,00,000	
Fee for Franchise (10,00,000 x 2%)	20,000	7,20,000

Working Notes:

₹

(1) Goodwill on acquisition of business

Cash paid for acquiring the business	13,20,000
Less: Fair value of net assets acquired	(10,00,000)
Goodwill	3,20,000
(2) Franchise	80,00,000
Less: Amortisation (over 5 years)	(16,00,000)
Balance to be shown in the balance sheet	64,00,000
(3) Copyright	2,50,000
Less: Amortisation (over 10 years as per SLM)	(25,000)
Balance to be shown in the balance sheet	2,25,000

QS1 · Identifiable intangible assets, assembled workforce

MTP Nov 2022 S-I · Q6(a) · Numerical

6. (a) Super Sounds Limited had the following transactions during the Financial Year 20X1-20X2.

(i) On 1st April 20X1, Super Sounds Limited purchased the net assets of Music Limited for ₹ 13,20,000. The fair value of Music Limited's identifiable net assets was ₹ 10,00,000.

Super Sounds Limited is of the view that due to popularity of Music Limited's product, the life of goodwill is 10 years.

(ii) On 4th May 20X1, Super Sounds Limited purchased a Franchisee to organize musical shows from Armaan TV for ₹ 80,00,000 and at an annual fee of 2% of musical shows revenue. The Franchisee expires after 5 years. Musical shows revenue were ₹ 10,00,000 for financial year 20X1-20X2. The projected future revenues for financial year 20X2-20X3 is ₹ 25,00,000 and ₹ 30,00,000 p.a. for remaining 3 years thereafter.

(iii) On 4th July 20X1, Super Sounds Limited was granted a Copyright that had been applied for by Music Limited. During financial year 20X1-20X2, Super Sound Limited incurred ₹ 2,50,000 on legal cost to register the Patent and ₹ 7,00,000 additional cost to successfully prosecute a copyright infringement suit against a competitor.

The life of the Copyright is for 10 years.

Super Sound Limited follows an accounting policy to amortize all intangible on SLM (Straight Line Method) basis or any appropriate basis over a maximum period permitted by relevant Ind AS, taking a full year amortization in the year of acquisition.

You are required to prepare:

(i) A Schedule showing the intangible section in Super Sound Limited Balance Sheet as on 31st March 20X2, and

(ii) A Schedule showing the related expenses that would appear in the Statement of Profit and Loss of Super Sound Limited for the year ended 20X1-20X2. (10 Marks)

Solution — ICAI

6. (a) (i) Super Sounds Limited

Balance Sheet (Extract relating to intangible asset) as at 31st March 20X2

Note No. ₹

Assets

(1) Non- current asset

Intangible assets 1 69,45,000

(ii) Super Sounds Limited

Statement of Profit and Loss (Extract)

for the year ended 31st March 20X2

Note No. ₹

Revenue from Operations 10,00,000

Total Revenue

Expenses:

Amortization expenses	2	16,25,000
Other expenses	3	7,20,000

Total Expenses

Notes to Accounts (Extract)

1. Intangible Assets

Gross Block (Cost) Accumulated amortisation Net block

Opening Additions Closing Opening Additions Closing Opening Closing

balance Balance balance Balance balance Balance

₹ ₹ ₹ ₹ ₹ ₹ ₹ ₹

1. Goodwill* - 3,20,000 3,20,000 - - - - 3,20,000

(W.N.1)

2. Franchise** - 80,00,000 80,00,000 - 16,00,000 16,00,000 - 64,00,000

(W.N.2)

3. Copyright

(W.N.3) - 2,50,000 2,50,000 - 25,000 25,000 - 2,25,000

- 85,70,000 85,70,000 - 16,25,000 16,25,000 - 69,45,000

*As per Ind AS 36, irrespective of whether there is any indication of impairment, an entity shall test goodwill acquired in a business combination for impairment annually. This implies that goodwill is not amortised annually but is subject to annual impairment, if any.

**As per the information in the question, the limiting factor in the contract for the use is time i.e., 5 years and not the fixed total amount of revenue to be generated. Therefore, an amortisation method that is based on the revenue generated by an activity that includes the use of an intangible asset is inappropriate and amortisation based on time can only be applied.

2. Amortization expenses

Franchise (W.N.2)	16,00,000	
Copyright (W.N.3)	25,000	16,25,000

3. Other expenses

Legal cost on copyright	7,00,000	
Fee for Franchise (10,00,000 x 2%)	20,000	7,20,000

Working Notes:

₹

(1) Goodwill on acquisition of business

Cash paid for acquiring the business	13,20,000
Less: Fair value of net assets acquired	(10,00,000)
Goodwill	3,20,000
(2) Franchise	80,00,000
Less: Amortisation (over 5 years)	(16,00,000)
Balance to be shown in the balance sheet	64,00,000
(3) Copyright	2,50,000
Less: Amortisation (over 10 years as per SLM)	(25,000)
Balance to be shown in the balance sheet	2,25,000

QS2 · Reacquired rights

SM Ch 12 · Illustration 19 · Theory

Illustration 19

Vadapav Ltd. is a successful company has number of own stores across India and also offers franchisee to other companies. Efficient Ltd. is one of the franchisee of Vadapav Ltd. and it operates number of store in south India. Vadapav Ltd. decided to acquire Efficient Ltd. due to its huge distribution network and accordingly purchased the outstanding shares on 1st April, 20X2. On the acquisition date, Vadapav Ltd. determines that the license agreement reflects current market terms.

Determine the accounting for franchisee right by Vadapav Ltd. at the time of acquisition of business.

Solution — ICAI

Solution

Vadapav will record the franchisee right as an intangible asset (reacquired right) while doing purchase price allocation and since it is at market terms no gain or loss will be recorded on settlement.

QS3 · Reacquired rights

SM Ch 12 · Illustration 20 · Numerical

Illustration 20

ABC Ltd. acquires PQR Ltd. for a consideration of ₹ 1 crore. Four years ago, ABC Ltd. had granted a ten-year license allowing PQR Ltd. to operate in Europe. The cost of the license was ₹ 2,50,000. The contract allows either party to terminate the franchise at a cost of the unexpired initial fee plus 20%. At the date of acquisition, the settlement amount is ₹ 1,80,000 [(₹ 2,50,000 x 6/10) + 20%].

ABC Ltd. has acquired PQR Ltd., because it sees high potential in the European market and wishes to exploit it. ABC Ltd. calculates that under current economic conditions and at current prices it could grant a six-year franchise for a price of ₹ 4,50,000.

How is the license accounted for as part of the business combination?

Solution — ICAI

Solution

Paragraph B51 of Ind AS 103 provides that "the acquirer and acquiree may have a relationship that existed before they contemplated the business combination, referred to here as a 'pre-existing relationship'. A pre-existing relationship between the acquirer and acquiree may be contractual (for example, vendor and customer or licensor and licensee) or non-contractual (for example, plaintiff and defendant)."

Further, paragraph B52 of Ind AS 103 provides that "if the business combination in effect settles a pre-existing relationship, the acquirer recognises a gain or loss, measured as follows:

(a) for a pre-existing non-contractual relationship (such as a lawsuit), fair value.

(b) for a pre-existing contractual relationship, the lesser of (i) and (ii):

(i) the amount by which the contract is favourable or unfavourable from the perspective of the acquirer when compared with terms for current market transactions for the same or similar items. (An unfavourable contract is a contract that is unfavourable in terms of current market terms. It is not necessarily an onerous contract in which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received under it.)

(ii) the amount of any stated settlement provisions in the contract available to the counterparty to whom the contract is unfavourable.

If (ii) is less than (i), the difference is included as part of the business combination accounting.

The amount of gain or loss recognised may depend in part on whether the acquirer had previously recognised a related asset or liability, and the reported gain or loss therefore may differ from the amount calculated by applying the above requirements."

Based on the above in the instant case, the license is recognised at ₹ 4,50,000, the fair value at market rates of a license based on the remaining contractual life.

The gain or loss on settlement of the contract is the lower of:

- ₹ 3,00,000, which is the amount by which the right is unfavorable to ABC Ltd. compared to market terms. This is the difference between the amount that ABC Ltd. could receive for granting a similar right, ₹ 4,50,000, compared to the carrying value (or the unamortised value) that it was granted for, ₹ 1,50,000 (2,50,000 X 6/10).
- ₹ 1,80,000, which is the amount that ABC Ltd. would have to pay to terminate the right at the date of acquisition.

The loss on settlement of the contract is ₹ 1,80,000. Therefore, out of the ₹ 1 crore paid, ₹ 98.2 lakh is accounted for as consideration for the business combination and ₹ 1,80,000 is accounted for separately as a settlement loss on the re-acquired right.

Ⓔ Goodwill, NCI, bargain purchase, measurement period

QS4 · Non-controlling interest at acquisition

SM Ch 12 · Illustration 29 · Numerical

Illustration 29

Classic Ltd. acquires 60% of the ordinary shares of Natural Ltd. a private entity, for ₹ 97.5 crore. The fair value of its identifiable net assets is ₹ 150 crore. The fair value of the 40% of the ordinary shares owned by non-controlling shareholders is ₹ 65 crore. Carrying amount of Natural Ltd.'s net assets is ₹ 120 crore.

Measure the non-controlling interest.

Solution — ICAI

Solution

Paragraph 19 of Ind AS 103 states that for each business combination, the acquirer shall measure at the acquisition date components of non-controlling interest in the acquiree that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation at either:

(a) fair value; or

(b) the present ownership instruments' proportionate share in the recognised amounts of the acquiree's identifiable net assets.

All other components of non-controlling interests shall be measured at their acquisition-date fair values, unless another measurement basis is required by Ind AS.

In accordance with above, non-controlling interests will be measured in either of the following manner:

(a) Non-controlling interests are measured at fair value

Under this method, goodwill represents the difference between the fair value of Natural Ltd. and the fair value of its identifiable net assets.

Thus, Classic Ltd. will recognise the business combination as follows: (₹ in crores)

Identifiable net assets at fair value	Dr.	150	
Goodwill*	Dr.	12.5	
To Non-controlling interest			65
To Investment in Natural Ltd.			97.5

*Note: Goodwill is calculated as 97.5 + 65 - 150 = 12.5 or 162.5 - 150 = 12.5

(b) Non-controlling interests are measured at proportionate share of identifiable net assets

Under this method, goodwill represents the difference between the total of the consideration transferred less the fair value of the acquirer's share of net assets acquired

and liabilities assumed. The non-controlling interests that are present ownership interests and entitle their holders to a proportionate share of the Natural Ltd 's net assets in the event of liquidation (i.e. the ordinary shares) are measured at the non-controlling interest's proportionate share of the identifiable net assets of Natural Ltd.

Thus, Classic will recognise the business combination as follows:

(₹ in Crores)

Identifiable net assets at fair value	Dr.	150	
Goodwill*	Dr.	7.5	
To Non-controlling interest (40% x 150)			60
To Investment in Natural Ltd.			97.5

***Note:** Goodwill is calculated as 97.5+60-150 = 7.5 or 97.5-(150 x 60%) = 7.5

QS5 · Non-controlling interest at acquisition

SM Ch 12 · Test Your Knowledge Q4 · Numerical

4. Company A acquired 90% equity interest in Company B on 1st April, 20X1 for a consideration of ₹ 85 crores in a distress sale. Company B did not have any instrument recognised in equity. The Company appointed a registered valuer with whose assistance, the Company valued the fair value of NCI and the fair value identifiable net assets at ₹ 15 crores and ₹ 100 crores respectively.

   Find the value at which NCI has to be shown in the financial statements.

Solution — ICAI

4. In this case, Company A has the option to measure NCI as follows:

- Option 1: Measure NCI at fair value i.e., ₹ 15 crores as derived by the valuer;
- Option 2: Measure NCI as proportion of fair value of identifiable net assets i.e., ₹ 10 crores (100 crores x 10%)

QS6 · Non-controlling interest at acquisition

ICAI Practice Questions · Ch 12 Q7

7. In October 20X1, IHL acquired 75% of Very Relevant Limited by paying cash consideration of ₹ 0.80 million. The fair value of non-controlling interest on the date of acquisition is ₹ 0.20 million. The value of Very Relevant Limited's identifiable net assets as per Ind AS 103 is ₹ 1.10 million.

   With respect to acquisition of Very Relevant Limited, determine the value of gain on bargain purchases, when NCI is measured as per:

   (a) Fair value method

   (b) Proportionate share of net identifiable assets method.

Solution — ICAI

7. (a) **When NCI is measured as per fair value method**

	₹ in million
Fair value of consideration transferred	0.80
Fair value of non-controlling interest	0.20
	1.00
Value of Very Relevant Limited's identifiable net assets as per Ind AS 103	(1.10)
Gain on bargain purchase	0.10

(b) **When NCI is measured as per proportionate share method**

	₹ in million
Fair value of consideration transferred	0.80
Proportional share of non-controlling interest in the net identifiable assets of acquiree (1.10 x 25%)	0.275
	1.075
Value of Very Relevant Limited's identifiable net assets as per Ind AS 103	(1.10)
Gain on bargain purchase	0.025

Q57 · Non-controlling interest at acquisition

RTP May 2023 · Q5 · Theory

5. ABC Ltd., a public limited company, is in the business of exploration and production of oil and gas and other hydrocarbon related activities outside India. It operates overseas projects directly and/or through subsidiaries, by participation in various joint arrangements and investment in associates. The company was following Accounting Standards as notified under the Companies (Accounting Standards) Rules until 31st March, 20X1. However, it has adopted Indian Accounting Standards (Ind AS) with effect from 1st April, 20X1.

The goodwill recognised in accordance with AS 21 and AS 27 was due to corporate structure and the line-by-line consolidation of subsidiaries'/proportionate consolidation of jointly controlled entities' financial statements which was prepared on historical costs convention. ABC Ltd. has not taken into consideration the valuation of underlying oil and gas reserves for which excess amount (i.e. goodwill calculated as per the relevant AS requirements) has been paid by the company at the time of acquisition. The company further considered that in oil and gas companies, the goodwill generated on acquisition of mineral rights either through jointly controlled entities or subsidiaries, inherently derives its value from the underlying mineral rights and, accordingly, value of such goodwill depletes as the underlying mineral resources are extracted.

Therefore, taking a prudent approach and considering the above substance, the company amortised the goodwill in respect of its subsidiaries / jointly controlled assets over the life of the underlying mineral rights using Unit of Production method. This allowed the company to utilise the value of goodwill over the life of mineral rights and completely charging off the goodwill over the life of the reserves.

For financial year 20X0-20X1, the company has availed transition exemption under Ind AS 101 and has not applied the principles of Ind AS 103.

ABC Ltd. considering the substance over form of the goodwill to be in the nature of 'acquisition costs' intends to continue amortisation of the goodwill recognised under AS in respect of its subsidiaries / joint ventures (jointly controlled entities under AS) over the life of the underlying mineral rights using Unit of Production method, under Ind AS also post transition date.

Comment on appropriateness of the accounting treatment, under Ind AS, for amortisation of the goodwill by the company and state whether the accounting treatment in respect of amortisation of goodwill is correct or not.

Solution — ICAI

5. Point (g) of para C4 of Ind AS 101 states that the carrying amount of goodwill or capital reserve in the opening Ind AS Balance Sheet shall be its carrying amount in accordance with previous GAAP at the date of transition to Ind AS after the two adjustments. One of the adjustment states that the standard requires the first-time adopter to recognise an intangible asset that was subsumed in recognised goodwill or capital reserve in accordance with previous GAAP, the first-time adopter shall decrease the carrying amount of goodwill or increase the carrying amount of capital reserve accordingly (and, if applicable, adjust deferred tax and non-controlling interests)

As per the facts given, the entity paid excess amount to avail the rights to use the underlying oil and gas reserves. However, since the rights was not recorded in the books at that time, the value of goodwill subsumed the value of that intangible asset which should be separately identified in the books. Hence, value of goodwill will be reduced accordingly and intangible asset for rights for using mine should be recognised.

Further, regardless of whether there is any indication that the goodwill may be impaired, the first-time adopter shall apply Ind AS 36 in testing the goodwill for impairment at the date of transition to Ind AS and in recognising any resulting impairment loss in retained earnings (or, if so required by Ind AS 36, in revaluation surplus). The impairment test shall be based on conditions at the date of transition to

Ind AS. No other adjustments (eg- previous amortisation of goodwill) shall be made to the carrying amount of goodwill / capital reserve at the date of transition to Ind AS. However, once goodwill is recognised in the opening transition date balance sheet, the entity has to follow the provisions of Ind AS, which states that goodwill is not amortised but rather tested for impairment annually. Accordingly, the amortization of goodwill based on 'Unit of Production' method is not correct after implementation of Ind AS.

Q58 · Non-controlling interest at acquisition

MTP Sep 2025 S-1 · Q5(b) · Theory

(b) ABC Ltd., a public limited company, is in the business of exploration and production of oil and gas and other hydrocarbon related activities outside India. It operates overseas projects directly and/or through subsidiaries, by participation in various joint arrangements and investment in associates. The company was following Accounting Standards as notified under the Companies (Accounting Standards) Rules until 31st March, 20X1. However, it has adopted Indian Accounting Standards (Ind AS) with effect from 1st April, 20X1.

The goodwill recognised in accordance with AS 21 and AS 27 was due to corporate structure and the line-by-line consolidation of subsidiaries' / proportionate consolidation of jointly controlled entities' financial statements which was prepared on historical costs convention. ABC Ltd. has not taken into consideration the valuation of underlying oil and gas reserves for which excess amount (i.e. goodwill calculated as per the relevant AS requirements) has been paid by the company at the time of acquisition. The company further considered that in oil and gas companies, the goodwill generated on acquisition of mineral rights either through jointly controlled entities or subsidiaries, inherently derives its value from the underlying mineral rights and, accordingly, value of such goodwill depletes as the underlying mineral resources are extracted.

Therefore, taking a prudent approach and considering the above substance, the company amortised the goodwill in respect of its subsidiaries / jointly controlled assets over the life of the underlying mineral rights using Unit of Production method. This allowed the company to utilise the value of goodwill over the life of mineral rights and completely charging off the goodwill over the life of the reserves.

For financial year 20X0-20X1, the company has availed transition exemption under Ind AS 101 and has not applied the principles of Ind AS 103.

ABC Ltd. considering the substance over form of the goodwill to be in the nature

of 'acquisition costs' intends to continue amortisation of the goodwill recognised under AS in respect of its subsidiaries / joint ventures (jointly controlled entities under AS) over the life of the underlying mineral rights using Unit of Production method, under Ind AS also post transition date.

Comment on appropriateness of the accounting treatment, under Ind AS, for amortisation of the goodwill by the company and state whether the accounting treatment in respect of amortisation of goodwill is correct or not. (6 Marks)

Solution — ICAI

(b) Point (g) of para C4 of Ind AS 101 states that the carrying amount of goodwill or capital reserve in the opening Ind AS Balance Sheet shall be its carrying amount in accordance with previous GAAP at the date of transition to Ind AS after the two adjustments. One of the adjustment states that the standard requires the first-time adopter to recognise an intangible asset that was subsumed in recognised goodwill or capital reserve in accordance with previous GAAP, the first-time adopter shall decrease the carrying amount of goodwill or increase the carrying amount of capital reserve accordingly (and, if applicable, adjust deferred tax and non-controlling interests)

As per the facts given, the entity paid excess amount to avail the rights to use the underlying oil and gas reserves. However, since the rights was not recorded in the books at that time, the value of goodwill subsumed the value of that intangible asset which should be separately identified in the books.

Hence, value of goodwill will be reduced accordingly and intangible asset for rights for using mine should be recognised.

Further, regardless of whether there is any indication that the goodwill may be impaired, the first-time adopter shall apply Ind AS 36 in testing the goodwill for impairment at the date of transition to Ind AS and in recognising any resulting impairment loss in retained earnings (or, if so required by Ind AS 36, in revaluation surplus). The impairment test shall be based on conditions at the date of transition to Ind AS. No other adjustments (eg- previous amortisation of goodwill) shall be made to the carrying amount of goodwill / capital reserve at the date of transition to Ind AS.

However, once goodwill is recognised in the opening transition date balance sheet, the entity has to follow the provisions of Ind AS, which states that goodwill is not amortised but rather tested for impairment annually.

Accordingly, the amortization of goodwill based on ‘Unit of Production’ method is not correct after implementation of Ind AS.

Q59 · Non-controlling interest at acquisition

MTP Jan 2026 S-I · Q3(b) · Numerical

(b) On 1st April 20X1, A Ltd. acquired 12 Cr shares (representing 80% stake) in B Ltd. by means of a cash payment of ₹ 25 Cr. It is the group policy to value the non-controlling interest in subsidiaries at the date of acquisition at fair value. The market value of an equity share in B Ltd. at 1st April 20X1 can be used for this purpose. On 1st April 20X1, the market value of a B Ltd. share was ₹ 2.00.

On 1st April 20X1, the individual financial statements of B Ltd. showed the net assets at ₹ 23 Cr.

The directors of A Ltd. carried out a fair value exercise to measure the identifiable assets and liabilities of B Ltd. at 1st April 20X1. The following matters emerged:

– Property having a carrying value of ₹ 15 Cr at 1st April 20X1 had an estimated market value of ₹ 18 Cr at that date.

– Plant and equipment having a carrying value of ₹ 11 Cr at 1st April 20X1 had an estimated market value of ₹ 13 Cr at that date.

– Inventory in the books of B Ltd. is shown at a cost of ₹ 2.50 Cr. The fair value of the inventory on the acquisition date is ₹ 3 Cr.

The fair value adjustments have not been reflected in the individual financial statements of B Ltd. In the consolidated financial statements, the fair value adjustments will be regarded as temporary differences for the purposes of computing deferred tax. The rate of deferred tax to apply to temporary differences is 20%.

Assume that the current book value (prior to fair valuation exercise under Ind AS 103) equals the tax base.

Calculate the deferred tax impact on above and calculate the goodwill arising on acquisition of B Ltd. (6 Marks)

Solution — ICAI

(b) Computation of Net Assets of B Ltd.

As per books ₹ 23.00 Cr

Add: Fair value differences not recognized in books of B Ltd.:

Property (18 Cr – 15 Cr) ₹ 3.00 Cr

Plant and Equipment (13 Cr – 11 Cr) ₹ 2.00 Cr

Inventory (3 Cr – 2.5 Cr) ₹ 0.50 Cr

₹ 28.5 Cr

Less: Deferred tax liability on fair value difference @ 20%

[(3 Cr + 2 Cr + 0.50 Cr) x 20%] (₹ 1.10 Cr)

Total Net Assets at Fair Value ₹ 27.40 Cr

Computation of Goodwill:

Purchase Consideration ₹ 25.00 Cr

Add: Non-Controlling Interest

[{(12 Cr x (20% / 80%)} x ₹ 2 per share] ₹ 6.00 Cr

₹ 31.00 Cr

Less: Net Assets at Fair Value (₹ 27.40 Cr)

Goodwill on acquisition date ₹ 3.60 Cr

Q60 · Non-controlling interest at acquisition

PYQ May 2022 · Q1(a) · 15 marks · Numerical

The draft Balance Sheet of JAY Ltd. and KAY Ltd. as at 31st March 2021 is given below:

PARTICULARS	JAY Limited (₹ in lakh)	KAY Limited (₹ in lakh)
ASSETS		
NON-CURRENT ASSETS		
Property, Plant & Equipment	400	500
Investments	450	120
CURRENT ASSETS		
Inventories	180	130
Financial Assets		
- Trade Receivables	520	270
- Cash & Cash Equivalents	260	145
- Others	350	175
TOTAL	2,160	1,340
EQUITY AND LIABILITIES		
EQUITY		
Share Capital - JAY Limited: Equity Shares of ₹ 10 each; KAY Limited: Equity Shares of ₹ 100 each	600	450
OTHER EQUITY	725	210
NON-CURRENT LIABILITIES		
Financial Liabilities - Long Term Borrowings	350	250
Long Term Provisions	70	80
Deferred Tax	40	20
CURRENT LIABILITIES		
Financial Liabilities - Short Term Borrowings	125	145
- Trade Payables	250	185
TOTAL	2,160	1,340

Other information:

a. JAY Ltd. acquired 75% shares of KAY Ltd. on 1st April, 2021 by issuing its own shares in the ratio of 2 shares of JAY Ltd. for every 3 shares of KAY Ltd. The fair value of the shares of JAY Ltd. was ₹ 50 per share.

b. The fair value exercise resulted in the following:

i. Fair value of Property, Plant & Equipment of KAY Ltd. on 1st April, 2021 was ₹ 425 lakh;

ii. JAY Ltd. also agreed to pay an additional payment as consideration that is higher of ₹ 45 lakh and 30% of any excess profits in the first year, after acquisition, over its profits in the preceding 12 months made by KAY Ltd. This additional amount will be due after 3 years. KAY Ltd. has earned ₹ 15 lakh profit in the preceding year and expects to earn another ₹ 20 lakh;

iii. In addition to the above, JAY Ltd. also had agreed to pay one of the founder shareholder a payment of ₹ 22 lakh provided he stays with the Company for 3 years after acquisition;

iv. KAY Ltd. had certain equity settled share based payment award (original award) which got replaced by the new awards issued by JAY Ltd. As per the original terms, the vesting period was 5 years and as of the acquisition date the employees of KAY Ltd. have already served 2 years of service. As per the replaced awards, the vesting period has been reduced to 1 year (1 year from the acquisition date). The fair value of the award on the acquisition date was as follows:

• Original award - ₹ 6 lakh

• Replacement award - ₹ 9 lakh

v. KAY Ltd. had a lawsuit pending with a customer who made a claim of ₹ 70 lakh. Management reliably estimated the fair value of the liability to be ₹ 7.5 lakh;

vi. The applicable tax rate for both entities is 30%.

You are required to prepare consolidated balance sheet of JAY Ltd. as on 1st April, 2021. Assume 10% per annum discount rate. Management notes and working notes should form part of your answer. (15 Marks)

Solution — ICAI

(a) Consolidated Balance Sheet of JAY Ltd. as on 1st April, 2021 (₹ in lakh)

	Amount
Assets	
Non-Current Assets:	
Property, plant and equipment	825.00
Financial assets - Investment	570.00
Current assets:	
Inventories	310.00
Financial assets - Trade receivables	790.00
Cash and cash equivalents	405.00
Others	525.00
Total	3,425.00
Equity and Liabilities	
Equity	
Share capital - Equity shares of ₹ 10 each	622.50
Other Equity	1,120.38
Non-controlling Interest	150.56
Non-Current liabilities:	
Financial Liabilities - Long term borrowings	600.00
Long term provisions	183.81
Deferred tax	35.25
Current Liabilities:	
Financial Liabilities - Short term borrowings	270.00
Trade payables	435.00
Provision for Lawsuit damages	7.50
Total	3,425.00

Management Notes:

a. As per Ind AS 103, the acquirer is required to record the assets and liabilities acquired at their respective fair value. Accordingly, the PPE of KAY Ltd. will be recorded at ₹ 425 lakh.

b. The value of replacement award is allocated between consideration transferred and post combination expense. The portion attributable to purchase consideration is determined based on the fair value of the replacement award for the service rendered till the date of the acquisition. Accordingly, ₹ 2.4 lakh (6 x 2/5) is considered as a part of purchase consideration and is credited to JAY Ltd. equity as this will be settled in its own equity. The balance of ₹ 6.60 lakh (₹ 9 lakh – ₹ 2.4 lakh) will be recorded as compensation expense in the post combination financial statements over the remaining life, which is 1 year in this scenario.

c. There is a difference between contingent consideration and deferred consideration. In the given case ₹ 45 lakh is the minimum payment to be paid after 3 years and accordingly will be considered as deferred consideration. The other element is if company meet certain target, then they will get 30% of that or ₹ 45 lakh whichever is higher. In the given case, the minimum what is expected to be paid has been considered and the fair value of the contingent consideration has been considered as zero. The impact of time value on deferred consideration has been given @ 10%.

d. The additional consideration of ₹ 22 lakh to be paid to the founder shareholder is contingent to him/her continuing in employment and hence this will be considered as employee compensation and will be recorded as post combination expenses in the income statement of JAY Ltd.

Working Notes:

1. Computation for Purchase consideration

Particulars	Amount (₹)
Share capital of KAY Ltd.	4,50,00,000
Number of shares	4,50,000
Shares to be issued 3:2	3,00,000
Fair value ₹ per share	50

	₹ in lakh
PC (3,00,000 x 75% x ₹ 50 per share) (A)	112.50
Deferred consideration after discounting ₹ 45 lakh for 3 years @ 10% (P.V. Factor 0.7513) (B)	33.81
Replacement award market-based measure of the acquiree award (6) x ratio of the portion of the vesting period completed (2) / greater of the total vesting period (3) or the original vesting period (5) of the acquiree award ie (6 x 2/5) (C)	2.40
PC in lakh (A+B+C)	148.71

2. Allocation of Purchase price

Particulars	Book value (A)	Fair value (B)	FV adjustment (A-B)
Property, plant and equipment	500.00	425.00	(75.00)
Investment	120.00	120.00	
Inventories	130.00	130.00	
Financial assets: Trade receivables	270.00	270.00	
Cash and cash equivalents	145.00	145.00	
Others	175.00	175.00	
	1,340.00	1,265.00	(75.00)
Less: Long term borrowings	(250.00)	(250.00)	
Long term provisions	(80.00)	(80.00)	
Deferred tax	(20.00)	(20.00)	
Short term borrowings	(145.00)	(145.00)	
Trade payables	(185.00)	(185.00)	
Contingent liability	-	(7.50)	(7.50)
Net assets (X)	660.00	577.50	(82.50)
Deferred tax asset on FV adjustment (82.50 x 30%) (Y)		24.75	
Net assets (X+Y)		602.25	
Non-controlling interest (602.50 x 25%) rounded off		150.56	
Purchase consideration (PC)		148.71	
Capital Reserve (Net assets – NCI – PC)		302.98	

3. Computation of consolidated amounts of consolidated financial statements (₹ in lakh)

	JAY Ltd.	KAY Ltd. (pre-acquisition)	PPA Allocation	Total
Assets				
Non-current assets: Property, plant and equipment	400.00	500.00	(75.00)	825.00
Investment	450.00	120.00		570.00
Current assets: Inventories	180.00	130.00		310.00
Financial assets: Trade receivables	520.00	270.00		790.00
Cash and cash equivalents	260.00	145.00		405.00
Others	350.00	175.00	-	525.00
Total	2,160.00	1,340.00	(75.00)	3,425.00
Equity and Liabilities				
Share capital - Equity shares of ₹ 10 each	600.00			
Shares allotted to KAY Ltd. (W.N.1) (3,00,000 x 75% x ₹ 10 per share)			22.50	622.50
Other Equity	725.00			1,120.38
Replacement award (W.N.1)			2.40	
Security Premium (W.N.1) (3,00,000 shares x 75% x ₹ 40)			90.00	
Capital Reserve (W.N.2)			302.98	
Non-controlling interest (W.N.2)	-		150.56	150.56
Non-current liabilities: Financial liabilities - Long term borrowings	350.00	250.00		600.00
Long term provisions (W.N.1)	70.00	80.00	33.81	183.81
Deferred tax (W.N.2)	40.00	20.00	(24.75)	35.25
Current liabilities: Financial liabilities - Short term borrowings	125.00	145.00		270.00
Trade payable	250.00	185.00		435.00
Liability for lawsuit damages	-	-	7.50	7.50
Total	2,160.00	680.00	585.00	3,425.00

Study-material link: variant of SM Illustration 40 (Ch 12, Professional Ltd. / Dynamic Ltd.)

Q61 · Non-controlling interest at acquisition

PYQ May 2022 · Q6(d) · 5 marks · Numerical

RST Ltd. prepares consolidated financial statements as at 31st March each year. On 1st July, 2021, RST Ltd. acquired 75% of the equity shares of DHF Ltd. and gained control of DHF Ltd. The issued shares of DHF Ltd. are 1,20,00,000 equity shares. Details of the purchase consideration are as follows:

On 1st July 2021, RST Ltd. issued two shares for every three shares acquired in DHF Ltd. On 1st July 2021, the market value of an equity share in RST Ltd. was ₹ 6.50 and the market value of an equity share in DHF Ltd. was ₹ 5.50.

On 30th June 2022, RST Ltd. will make cash payment of ₹ 71,50,000 to the former shareholders of DHF Ltd. who sold their shares to RST Ltd. on 1st July 2021. On 1st July, 2021, RST Ltd. would have to pay interest at an annual rate of 10% on borrowings.

On 30th June 2023, RST Ltd. may make a cash payment of ₹ 3,00,00,000 to the former shareholders of DHF Ltd. who sold their shares to RST Ltd. on 1st July 2021. This payment is contingent upon the revenues of RST Ltd. growing by 15% over the two-year period from 1st July, 2021 to 30th June, 2023. On 1st July 2021, the fair value of this contingent consideration was ₹ 2,50,00,000. On 31st March 2022, the fair value of the contingent consideration was ₹ 2,20,00,000.

On 1st July 2021, the carrying values of the identifiable net assets of DHF Ltd. in the books of that company was ₹ 6,00,00,000. On 1st July 2021, the fair values of these net assets was ₹ 7,00,00,000. The rate of deferred tax to apply to temporary differences is 20%.

During the nine months ended on 31st March 2022, DHF Ltd. had a poorer than expected operating performance. Therefore, on 31st March, 2022 it was necessary for RST Ltd. to recognize an impairment of the goodwill arising on acquisition of DHF Ltd. amounting to 12.50% of its total computed value.

Compute the impairment of goodwill in the consolidated financial statements of RST Ltd. under the methods permitted by Ind AS 103 for the initial computation of the non-controlling interest in DHF Ltd. at the acquisition date. (5 Marks)

Solution — ICAI

(d) Computation of goodwill impairment

	NCI at fair value (₹ in 000)	NCI at proportionate share of net assets (₹ in 000)
Cost of investment		
Share exchange (12,000 x 75% x 2/3 x ₹ 6.50)	39,000	39,000
Deferred consideration (7,150 / 1.10)	6,500	6,500
Contingent consideration	25,000	25,000
Total Purchase Consideration (a)	70,500	70,500
Non-controlling interest on the date of acquisition: (b)		
Fair value – 3,000 x ₹ 5.50	16,500	
% of net assets – 68,000 (Refer W.N.) x 25%		17,000
Net assets on the acquisition date (Refer W.N.) (c)	(68,000)	(68,000)
Goodwill on acquisition (a+b-c)	19,000	19,500
Impairment @ 12.50%	2,375.00	2,437.50

Working Note: Net assets on the acquisition date

	₹ in 000
Fair value at the acquisition date	70,000
Deferred tax on fair value adjustments [20% x (70,000 – 60,000)]	(2,000)
	68,000

Study-material link: variant of SM TYK Question 9 (Ch 12; ABC Ltd. / JKL Ltd., same structure and the same ₹71,50,000 deferred payment)

Q62 · Non-controlling interest at acquisition

PYQ May 2023 · Q1(a) · 15 marks · Numerical

The draft balance sheets of Swan Limited and Duck Limited as at 31st March 2023 is as under: Amount ₹ in lakhs

Particulars	Swan Limited	Duck Limited
Assets		
Non-Current Assets		
Property, Plant and Equipment	800	1,000
Investments	900	240
Current Assets		
Inventories	360	260
Financial Assets - Trade Receivables	1,040	540
- Cash & Cash Equivalents	520	290
Other Current Assets	700	350
Total	4,320	2,680
Equity and Liabilities		
Equity: Share Capital - Swan Limited: Equity Shares of ₹ 10 each	1,200	-
- Duck Limited: Equity Shares of ₹ 100 each	-	900
Other Equity	1,450	420
Non-Current Liabilities: Financial Liabilities - Long-Term Borrowings	700	500
Long-Term Provisions	140	200
Deferred Tax	80	-
Current Liabilities: Financial Liabilities - Short-Term Borrowings	250	290
- Trade Payables	500	370
Total	4,320	2,680

On 1st April 2023, Swan Limited acquired 80% equity shares of Duck Limited.

Swan Limited agreed to pay to each shareholder of Duck Limited, ₹ 20 per equity share in cash and to issue five equity shares of ₹ 10 each of Swan Limited in lieu of every six shares held by the shareholders of Duck Limited. The fair value of the shares of Swan Limited was ₹ 100 per share as on the date of acquisition.

Swan Limited also agreed to pay an additional consideration being higher of ₹ 90 lakhs and 30% of any excess profits in the first year, after acquisition, over Duck Limited's profits in the preceding 12 months (financial year 2022-2023) made by Duck Limited. The additional amount will be due in 3 years post the date of acquisition. Duck Limited earned ₹ 30 lakhs profit in the preceding year and expects to earn ₹ 40 lakhs in financial year 2023-2024.

The fair value exercise resulted in the following:

i. Fair value of Property, Plant and Equipment and Investments of Duck Limited on 1st April, 2023 was ₹ 1,200 lakhs and ₹ 300 lakhs respectively.

ii. Duck Limited owns a popular brand name that meets the recognition criteria for Intangible Assets under Ind AS 103 'Business Combinations'. Independent valuers have attributed a fair value of ₹ 250 lakhs for the brand. However, the brand does not have any cost for tax purposes and no tax deductions are available for the same.

iii. Following is the statement of contingent liabilities of Duck Limited as on 1st April, 2023:

Particulars	Fair Value (₹ in lakhs)	Remarks
Lawsuit filed by a customer for a claim of ₹ 20 lakhs	5	It is not probable that an outflow of resources embodying economic benefits will be required to settle the claim. Any amount which would be paid in respect of lawsuit will be tax deductible.
Income tax demand of ₹ 70 lakhs raised by tax authorities. Duck Limited has challenged the demand in the High Court	20	It is not probable that an outflow of resources embodying economic benefits will be required to settle the claim.

iv. Duck Limited had certain equity settled share-based payment awards (original award) which were replaced by the new awards issued by Swan Limited. As per the terms of original awards, the vesting period was 5 years and as of the acquisition date the employees of Duck Limited had already served 2 years of service. As per the new awards, the vesting period has been reduced to 1 year (1 year from the acquisition date). The fair value of the award on acquisition date was as follows:

Original Awards: ₹ 12 lakhs

New Awards: ₹ 18 lakhs.

v. Further, Swan Limited has also agreed to pay one of the founder shareholder of Duck Limited a sum of ₹ 15 lakhs provided he stays with the Company for two years after the acquisition.

vi. The acquisition cost of Swan Limited for Duck Limited was ₹ 26 lakhs.

vii. The applicable tax rate for both the companies is 30%.

viii. Assume 10% per annum discount rate.

ix. Also, assume, unless stated otherwise, all items have a fair value and tax base equal to their carrying amounts at the acquisition date.

You are required to prepare opening Consolidated Balance Sheet of Swan Limited as on 1st April 2023. Working Notes should form part of your answer. (15 Marks)

Solution — ICAI

(a) Consolidated Balance Sheet of Swan Ltd as on 1st April, 2023

	Notes No.	₹ in lakhs
Assets		
Non-current assets		
Property, plant and equipment	9	2,000.00
Intangible assets	10	250.00
Financial assets - Investment	11	1,200.00
Current assets		
Inventories	12	620.00
Financial assets: Trade receivables	13	1,580.00
Cash and cash equivalents	14	640.00
Other current assets	15	1,050.00
Total		7,340.00
Equity and Liabilities		
Equity		
Share capital - Equity shares of ₹ 10 each	1	1,260.00
Other equity	2	2,475.18
Non-controlling interest (W.N.4)		330.70
Non-current liabilities		
Financial liabilities - Long-term borrowings	3	1,200.00
Long-term provisions	4	407.62
Deferred tax liability	5	231.50
Current Liabilities		
Financial liabilities - Short-term borrowings	6	540.00
Trade payables	7	870.00
Short-term provision	8	25.00
Total		7,340.00

Notes to Accounts (All figures are ₹ in lakhs)

1. Equity Share capital		
Equity shares of ₹ 10 each as per the balance sheet before acquisition of Duck Ltd.	1,200	
Shares allotted to Duck Ltd. (7,50,000 x 80% x ₹ 10)	60	1,260
2. Other Equity		
As per the balance sheet before acquisition of Duck Ltd.	1,450	
Less: Acquisition cost	(26)	1,424
Replacement award		4.80
Security Premium (7,50,000 shares x 80% x ₹ 90)		540
Capital Reserve (W.N.5)		506.38
Total		2,475.18
3. Long-term borrowings		
As per the balance sheet before acquisition of Duck Ltd.	700	
Duck Ltd.	500	1,200
4. Long-term provisions		
As per the balance sheet before acquisition of Duck Ltd.	140	
Deferred consideration	67.62	
Duck Ltd.	200	407.62
5. Deferred tax liability		
As per the balance sheet before acquisition of Duck Ltd.	80	
Deferred tax impact due to acquisition of Duck Ltd. (W.N.2)	151.50	231.50
6. Short term borrowings		
As per the balance sheet before acquisition of Duck Ltd.	250	
Duck Ltd.	290	540
7. Trade payables		
As per the balance sheet before acquisition of Duck Ltd.	500	
Duck Ltd.	370	870

8. Short-term provisions		
Lawsuit damages	5	
Income-tax demand	20	25
9. Property, plant and equipment		
As per the balance sheet before acquisition of Duck Ltd.	800	
Duck Ltd.	1,200	2000
10. Intangible assets		
Brand of Duck Ltd. acquired		250
11. Investment		
As per the balance sheet before acquisition of Duck Ltd.	900	
Duck Ltd.	300	1,200
12. Inventories		
As per the balance sheet before acquisition of Duck Ltd.	360	
Duck Ltd.	260	620
13. Trade receivables		
As per the balance sheet before acquisition of Duck Ltd.	1,040	
Duck Ltd.	540	1,580
14. Cash and cash equivalents		
As per the balance sheet before acquisition of Duck Ltd.	520	
Less: Acquisition cost paid	(26)	
Less: Paid to Duck Ltd.	(144)	350
Duck Ltd.		290
Total		640
15. Other current assets		
As per the balance sheet before acquisition of Duck Ltd.	700	
Duck Ltd.	350	1,050

Working Notes:

1. Computation of Purchase Consideration

Particulars	No. of shares	₹ in lakhs
Share capital of Duck Ltd.		900
Number of shares	9,00,000	
Shares to be issued (5 shares against 6 shares of Duck Ltd.)	7,50,000	
Fair value of Swan Ltd.'s share is ₹ 100 per share		
Purchase consideration		
Shares issued (7,50,000 x 80% x ₹ 100 per share) (A)		600
Cash payment (₹ 20 x 9,00,000 x 80%) (B)		144
Deferred consideration (discounting ₹ 90 lakhs for 3 years @10%) (C)		67.62
Replacement award [Market based measure of the acquiree award (12) x ratio of the portion of the vesting period completed (2) / greater of the total vesting period (3) or the original vesting period (5) of the acquiree award (ie 12 x 2/5)] (D)		4.80
Purchase consideration for 70% shares (A + B + C + D)		816.42

2. Computation of deferred tax impact due to change in fair value of asset and liabilities acquired

Particulars	Book value (A)	Fair value (B)	FV adjustment (A-B)
Property, plant and equipment	1,000	1,200	200
Intangible assets (Brand)	-	250	250
Investment	240	300	60
		1,750	510
Less: Contingent liability acquired - Provision for lawsuit damages			(5)
Net difference in fair value			505
Deferred tax liability @ 30%			151.5

(The FV adjustment column again shows B − A values under an "(A-B)" header.)

3. Computation of fair value of net identifiable assets acquired from Duck Ltd.

Particulars	Book value
Total assets as per the balance sheet	2,680
Add: Fair value adjustment in PPE and Investment (200+60)	260
Add: Intangible assets (Brand)	250
Fair value of total identifiable assets	3,190
Less: Total liabilities as per the balance sheet (500+200+290+370)	(1,360)
Less: Contingent liability acquired: Lawsuit damages 5; Income tax demand 20	(25)
Less: Defer tax liability (W.N.2)	(151.50)
Fair value of net identifiable assets (100%)	1,653.50

4. Computation of non-controlling interest in Duck Ltd. (Proportionate share basis)

Non-controlling interest (1,653.50 x 20%) = 330.70

5. Computation of capital reserve on acquisition of Duck Ltd.

Particulars	Book value
Fair value of net identifiable assets	1,653.50
Less: Purchase consideration	(816.42)
Less: NCI (W.N.4)	(330.70)
Capital reserve	506.38

Notes:

(a) The value of replacement award is allocated between consideration transferred and post combination expense. The portion attributable to purchase consideration is determined based on the fair value of the replacement award for the service rendered till the date of the acquisition. Accordingly, ₹ 4.8 lakh (12 x 2/5) is considered as a part of purchase consideration and is credited to Swan Ltd.'s equity as this will be settled in its own equity. Since the fair value of the award on the acquisition date is ₹ 18 lakh the balance of (18 - 4.8) ₹ 13.2 lakh will be recorded as employee expense in the books of Duck Ltd. over the remaining life, which is 1 year in this scenario.

(b) With respect to deferred consideration, ₹ 90 lakh is the minimum payment to be paid after 3 years. The other element is if company meet certain target then they will get 30% of that or ₹ 90 lakh whichever is higher. In the given case, since the minimum what is expected to be paid the fair value of the contingent consideration has been considered as zero. The impact of time value on deferred consideration has been given @ 10%.

(c) The additional consideration of ₹ 15 lakhs to be paid to the founder shareholder is contingent to him/her continuing in employment and hence this will be considered as employee compensation and will be recorded as post combination expenses in the statement of profit and loss of Duck Ltd.

Study-material link: variant of SM Illustration 40 (Ch 12, Professional Ltd. / Dynamic Ltd.)

Q63 · Step 4 — goodwill

SM Ch 12 · Test Your Knowledge Q8 · Numerical

8. On 1 April 20X1, Alpha Ltd. acquires 80 percent of the equity interest of Beta Pvt. Ltd. in exchange for cash of ₹ 300. Due to legal compulsion, Beta Pvt. Ltd. had to dispose of their investments by a specified date. Therefore, they did not have sufficient time to market Beta Pvt. Ltd. to multiple potential buyers. The management of Alpha Ltd. initially measures the separately recognizable identifiable assets acquired and the liabilities assumed as of the acquisition date in accordance with the requirement of Ind AS 103. The identifiable assets are measured at ₹ 500 and the liabilities assumed are measured at ₹ 100. Alpha Ltd. engages on independent consultant, who determined that the fair value of 20 per cent non-controlling interest in Beta Pvt. Ltd. is ₹ 84.

Alpha Ltd. reviewed the procedures it used to identify and measure the assets acquired and liabilities assumed and to measure the fair value of both the non controlling interest

in Beta Pvt. Ltd. and the consideration transferred. After the review, it decided that the procedures and resulting measures were appropriate.

Calculate the gain or loss on acquisition of Beta Pvt. Ltd. and also show the journal entries for accounting of its acquisition. Also calculate the value of the non-controlling interest in Beta Pvt. Ltd. on the basis of proportionate interest method, if alternatively applied?

Solution — ICAI

8. The amount of Beta Pvt. Ltd. identifiable net assets [₹ 400, calculated as ₹ 500 - ₹ 100) exceeds the fair value of the consideration transferred plus the fair value of the non controlling interest in Beta Pvt. Ltd. [₹ 384 calculated as 300 + 84]. Alpha Ltd. measures the gain on its purchase of the 80 per cent interest as follows:

		₹ in lakh
Amount of the identifiable net assets acquired (₹ 500 - ₹ 100)		400
Less: Fair value of the consideration transferred for Alpha Ltd.		
80 per cent interest in Beta Pvt. Ltd.	300	
Add: Fair value of non-controlling interest in Beta Pvt. Ltd.	84	(384)
Gain on bargain purchase of 80 per cent interest		16

Journal Entry

		₹ in lakh	₹ in lakh
Identifiable assets acquired	Dr.	500	
To Cash			300
To Liabilities assumed			100
To OCI/Equity-Gain on the bargain purchase			16
To Equity-non controlling interest in Beta Pvt Ltd.			84

If the acquirer chose to measure the non controlling interest in Beta Pvt. Ltd. on the basis of its proportionate interest in the identifiable net assets of the acquire, the recognized amount of the non controlling interest would be ₹ 80 (₹ 400 x 0.20). The gain on the bargain purchase then would be ₹ 20 (₹ 400- (₹ 300 + ₹ 80)

Q64 · Step 4 — goodwill

SM Ch 12 · Test Your Knowledge Q9 · Numerical

9. ABC Ltd. prepares consolidated financial statements upto 31st March each year. On 1st July 20X1, ABC Ltd. acquired 75% of the equity shares of JKL Ltd. and gained control of JKL Ltd. the issued shares of JKL Ltd. is 1,20,00,000 equity shares. Details of the purchase consideration are as follows:

   - On 1st July, 20X1, ABC Ltd. issued two shares for every three shares acquired in JKL Ltd. On 1st July, 20X1, the market value of an equity share in ABC Ltd. was ₹ 6.50 and the market value of an equity share in JKL Ltd. was ₹ 6.
   - On 30th June, 20X2, ABC Ltd. will make a cash payment of ₹ 71,50,000 to the former shareholders of JKL Ltd. who sold their shares to ABC Ltd. on 1st July, 20X1. On 1st July, 20X1, ABC Ltd. would have to pay interest at an annual rate of 10% on borrowings.
   - On 30th June, 20X3, ABC Ltd. may make a cash payment of ₹ 3,00,00,000 to the former shareholders of JKL Ltd. who sold their shares to ABC Ltd. on 1st July, 20X1. This payment is contingent upon the revenues of ABC Ltd. growing by 15% over the two-year period from 1st July, 20X1 to 30th June, 20X3. On 1st July, 20X1, the fair value of this contingent consideration was ₹ 2,50,00,000. On 31st March, 20X2, the fair value of the contingent consideration was ₹ 2,20,00,000.

   On 1st July, 20X1, the carrying values of the identifiable net assets of JKL Ltd. in the books of that company was ₹ 6,00,00,000. On 1st July, 20X1, the fair values of these net assets was ₹ 7,00,00,000. The rate of deferred tax to apply to temporary differences is 20%.

   During the nine months ended on 31st March, 20X2, JKL Ltd. had a poorer than expected operating performance. Therefore, on 31st March, 20X2 it was necessary for ABC Ltd. to recognise an impairment of the goodwill arising on acquisition of JKL Ltd., amounting to 10% of its total computed value.

Compute the impairment of goodwill in the consolidated financial statements of ABC Ltd. under both the methods permitted by Ind AS 103 for the initial computation of the non-controlling interest in JKL Ltd. at the acquisition date.

Solution — ICAI

9. Computation of goodwill impairment

	NCI at fair value	NCI at of net assets
	₹ in '000	₹ in '000
Cost of investment		
Share exchange (12,000 x 75% x 2/3 x ₹ 6.50)	39,000	39,000
Deferred consideration (7,150 / 1.10)	6,500	6,500
Contingent consideration	25,000	25,000
Non-controlling interest at date of acquisition:		
Fair value – 3000 x ₹ 6	18,000	
% of net assets – 68,000 (Refer W.N.) x 25%		17,000
Net assets on the acquisition date (Refer W.N.)	(68,000)	(68,000)
Goodwill on acquisition	20,500	19,500
Impairment @ 10%	2,050	1,950

Working Note:

Net assets on the acquisition date	₹ '000
Fair value at acquisition date	70,000
Deferred tax on fair value adjustments [20% x (70,000 – 60,000)]	(2,000)
	68,000

Q65 · Step 4 — goodwill

ICAI Practice Questions · Ch 12 Q5

5. Bima Ltd. acquired 65% of shares on 1 June, 20X1 in Nafa Ltd. which is engaged in production of components of machinery. Nafa Ltd. has 1,00,000 equity shares of ₹ 10 each. The quoted market price of the shares of Nafa Ltd. was ₹ 12 on the date of acquisition. The fair value of Nafa Ltd.'s identifiable net assets as on 1 June, 20X1 was ₹ 80,00,000.

Bima Ltd. wired ₹ 50,00,000 in cash and issued 50,000 equity shares as purchase consideration on the date of acquisition. The quoted market price of shares of Bima Ltd. on the date of issue was ₹ 25 per share.

Bima Ltd. also agrees to pay additional consideration of ₹ 15,00,000, if the cumulative profit earned by Nafa Ltd. exceeds ₹ 1 crore over the next three years. On the date of acquisition, Nafa Ltd. assessed and determined that it is considered probable that extra consideration will be paid. The fair value of this consideration on the date of acquisition is ₹ 9,80,000. Nafa Ltd. incurred ₹ 1,50,000 in relation to the acquisition. It measures Non-controlling interest at fair value.

How will the acquisition of Nafa Ltd. be accounted by Bima Ltd., under Ind AS 103? Prepare detailed workings and pass the necessary journal entry.

Solution — ICAI

5. Computation of Goodwill / Capital reserve on consolidation as per Ind AS 103

Particulars	₹
Cost of investment:	
Share exchange (50,000 x 25)	12,50,000
Cash consideration	50,00,000
Contingent consideration	9,80,000
Consideration transferred at date of acquisition [A]	72,30,000
Fair value of non-controlling interest at date of acquisition [B] (1,00,000 x 35% x 12)	4,20,000
Total [C] = [A] + [B]	76,50,000
Net assets acquired at date of acquisition [D]	(80,00,000)
Capital Reserve [D] – [C]	3,50,000

In a business combination, acquisition-related costs (including stamp duty) are expensed in the period in which such costs are incurred and are not included as part of the consideration transferred. Therefore, ₹ 1,50,000 incurred by Nafa Ltd. in relation to acquisition, will be ignored by Bima Ltd.

Journal entry at the date of acquisition by Bima Limited as per Ind AS 103:

		₹	₹
Identifiable net assets	Dr.	80,00,000	
To Equity share capital (50,000 x 10)			5,00,000
To Securities Premium (50,000 x 15)			7,50,000
To Cash			50,00,000
To Provision for contingent consideration to Nafa Ltd.			9,80,000
To Non-controlling Interest			4,20,000
To Capital Reserve			3,50,000

Q66 · Step 4 — goodwill

RTP May 2025 · Q15 · Numerical

15. On 1st January, 20X1, H Ltd. acquired all of the share capital of S Ltd. for ₹ 15,00,000. The book values and the fair values of the identifiable assets and liabilities of S Ltd. at the date of acquisition are set out below, together with their tax bases in S Ltd.'s tax jurisdictions. Any goodwill arising on the acquisitions is not deductible for tax purposes. The tax rates in H Ltd.'s and S Ltd.'s tax jurisdictions are 30% and 40% respectively.

Net assets acquired Book Tax Fair

values base values

₹ '000 ₹ '000 ₹ '000

Land and buildings	600	500	700
Property, plant and equipment	250	200	270
Inventory	100	100	80
Accounts receivable	150	150	150
Cash and cash equivalents	130	130	130
Total assets	1,230	1,080	1,330
Accounts payable	(160)	(160)	(160)
Retirement benefit obligations	(100)	-	(100)
Net assets before deferred tax	970	920	(1070)

liability

Deferred tax liability on differences

between book values and tax bases

(₹ 50 @ 40%)	(20)		
Net assets at acquisition	950	920	1,070

Calculate deferred tax arising on acquisition of S Ltd. and goodwill

based on the above information.

Solution — ICAI

15. Calculation of deferred tax arising on acquisition of S Ltd. and

goodwill

₹'000 ₹'000

Fair values of S Ltd.'s identifiable assets and

liabilities (excluding deferred tax)		1,070
Less: Tax base		(920)
Temporary difference arising on acquisition		150
Net deferred tax liability arising on acquisition of S		
Ltd. (₹ 1,50,000 @ 40%)– replaces book deferred tax		60
Purchases consideration		1,500
Fair values of S Ltd.'s identifiable assets and		
liabilities (excluding deferred tax)	1,070	
Deferred tax	(60)	1,010
Goodwill arising on acquisition		490

The tax base of the goodwill is nil, so a taxable temporary difference of

₹ 4,90,000 arises on the goodwill. No deferred tax is recognised on the

goodwill. The deferred tax on other temporary differences arising on

acquisitions is provided at 40% (not 30%), because taxes will be

payable or recoverable in S Ltd.'s tax jurisdictions when the temporary

differences are reversed.

Q67 · Step 4 — goodwill

MTP Nov 2026 S-I · Q6(c) · Numerical

(c) On 1st January, 20X1, H Ltd. acquired all of the share capital of S Ltd. for

₹ 15,00,000. The book values and the fair values of the identifiable assets and

liabilities of S Ltd. at the date of acquisition are set out below, together with their

tax bases in S Ltd.'s tax jurisdictions. Any goodwill arising on the acquisitions is not deductible for tax purposes. The tax rates in H Ltd.'s and S Ltd.'s tax jurisdictions are 30% and 40% respectively.

Net assets acquired Book Tax Fair values base values

₹ '000 ₹ '000 ₹ '000

Land and buildings	600	500	700
Property, plant and equipment	250	200	270
Inventory	100	100	80
Accounts receivable	150	150	150
Cash and cash equivalents	130	130	130
Total assets	1,230	1,080	1,330
Accounts payable	(160)	(160)	(160)
Retirement benefit obligations	(100)	-	(100)
Net assets before deferred tax liability	970	920	(1070)
Deferred tax liability on differences between			
book values and tax bases (₹ 50 @ 40%)		(20)	1,070
Net assets at acquisition	950	920	1,070

Calculate deferred tax arising on acquisition of S Ltd. and goodwill based on the above information. (5 Marks)

Solution — ICAI

(c) Calculation of deferred tax arising on acquisition of S Ltd. and goodwill

₹'000 ₹'000

Fair values of S Ltd.'s identifiable assets and

liabilities (excluding deferred tax)	1,070
Less: Tax base	(920)
Temporary difference arising on acquisition	150

Net deferred tax liability arising on acquisition of S Ltd. (₹ 1,50,000 @ 40%)– replaces book deferred tax 60

Purchases consideration 1,500

Fair values of S Ltd.'s identifiable assets and liabilities (excluding deferred tax) 1,070

Deferred tax	(60)	1,010
Goodwill arising on acquisition		490

The tax base of the goodwill is nil, so a taxable temporary difference of ₹ 4,90,000 arises on the goodwill. No deferred tax is recognised on the goodwill. The deferred tax on other temporary differences arising on acquisitions is provided at 40% (not 30%), because taxes will be payable or recoverable in S Ltd.'s tax jurisdictions when the temporary differences are reversed.

Q68 · Bargain purchase (capital reserve)

SM Ch 12 · Illustration 21 · Numerical

Illustration 21

On 1st January, 20X1, A Ltd. acquires 80 per cent of the equity interests of B Ltd. in exchange for cash of ₹ 15 crore. The former owners of B Ltd. were required to dispose off their investments in B Ltd. by a specified date, and accordingly they did not have sufficient time to find potential buyers. A qualified valuation professional hired by the management of A Ltd. measures the identifiable net assets acquired, in accordance with the requirements of Ind AS 103, at ₹ 20 crore and the fair value of the 20 per cent non-controlling interest in B Ltd. at ₹ 4.2 crore. How should A Ltd. recognise the above bargain purchase?

Solution — ICAI

Solution

The amount of B Ltd.'s identifiable net assets i.e., ₹ 20 crore exceeds the fair value of the consideration transferred plus the fair value of the non-controlling interest in B Ltd. i.e. ₹ 19.2 crore. Therefore, A Ltd. should review the procedures it used to identify and measure the net assets acquired and the fair value of non-controlling interest in B Ltd. and the consideration transferred. After the review, A Ltd. decides that the procedures and resulting measures were appropriate. A Ltd. measures the gain on its purchase of the 80 per cent interest at ₹ 80 lakh, as the difference between the amount of the identifiable net assets which is ₹ 20 crore and the sum of purchase consideration and fair value of non-controlling interest, which is ₹ 19.2 crore (cash consideration of ₹ 15 crore and fair value of non-controlling interest of ₹ 4.2 crore).

Assuming there exists clear evidence of the underlying reasons for classifying the business combination as a bargain purchase, the gain on bargain purchase of 80 per cent interest calculated at ₹ 80 lakh, which will be recognised in other comprehensive income on the acquisition date and accumulated the same in equity as capital reserve.

If the acquirer chose to measure the non-controlling interest in B Ltd. on the basis of its proportionate share of identifiable net assets of the acquiree, the recognised amount of the non-controlling interest would be ₹ 4 crore (₹ 20 crore × 0.20). The gain on the bargain purchase then would be ₹ 1 crore (₹ 20 crore – (₹ 15 crore + ₹ 4 crore)).

Q69 · Bargain purchase (capital reserve)

SM Ch 12 · Test Your Knowledge Q6 · Numerical

6. Company A acquires 70 percent of Company S on 1st January, 20X1 for consideration transferred of ₹ 5 million. Company A intends to recognise the NCI at proportionate share of fair value of identifiable net assets. With the assistance of a suitably qualified valuation professional, A measures the identifiable net assets of B at ₹ 10 million. A performs a review and determines that the business combination did not include any transactions that should be accounted for separately from the business combination.

   State whether the procedures followed by A and the resulting measurements are appropriate or not. Also calculate the bargain purchase gain in the process

Solution — ICAI

6. The amount of B's identifiable net assets exceeds the fair value of the consideration transferred plus the fair value of the NCI in B, resulting in an initial indication of a gain on a bargain purchase. Accordingly, A reviews the procedures it used to identify and measure the identifiable net assets acquired, to measure the fair value of both the NCI and the consideration transferred, and to identify transactions that were not part of the business combination.

Following that review, A concludes that the procedures followed and the resulting measurements were appropriate.

	(₹)
Identifiable net assets	1,00,00,000
Less: Consideration transferred	(50,00,000)
NCI (10 million x 30%)	(30,00,000)
Gain on bargain purchase	20,00,000

Q70 · Bargain purchase (capital reserve)

RTP May 2023 · Q11 · Numerical

11. In October 20X1, IHL acquired 75% of Very Relevant Limited by paying cash consideration of ₹ 0.80 million. The fair value of non-controlling interest on the date of acquisition is ₹ 0.20 million. The value of Very Relevant Limited's identifiable net assets as per Ind AS 103 is ₹ 1.10 million.

With respect to acquisition of Very Relevant Limited, determine the value of gain on bargain purchases, when NCI is measured as per:

(a) Fair value method

(b) Proportionate share of net identifiable assets method.

Solution — ICAI

11. (a) When NCI is measured as per fair value method

₹ in million

Fair value of consideration transferred	0.80
Fair value of non-controlling interest	0.20
	1.00

Value of Very Relevant Limited's identifiable net assets as per (1.10)

Ind AS 103

Gain on bargain purchase 0.10

(b) When NCI is measured as per proportionate share method

₹ in million

Fair value of consideration transferred	0.80
Proportional share of non-controlling interest in the net	
identifiable assets of acquiree (1.10 x 25%)	0.275
	1.075

Value of Very Relevant Limited's identifiable net assets as per Ind (1.10)

AS 103

Gain on bargain purchase 0.025

Study-material link: variant of SM Illustration 3 (Ch 13 unit 4, gain on bargain purchase)

Q71 · Bargain purchase (capital reserve)

MTP Nov 2026 S-II · Part II Q1 · Numerical

1. Makers Ltd. acquired 65% of shares on 1 June, 20X3 in D Limited which is engaged in production of components of machinery. D Limited has 1,00,000 equity shares of ₹ 10 each. The quoted market price of shares of D Limited was ₹ 12 on the date of acquisition. The fair value of D Limited's identifiable net assets as on 1 June, 20X3 was ₹ 80,00,000.

Makers Limited paid ₹ 50,00,000 in cash and issued 50,000 equity shares as purchase consideration on the date of acquisition. The quoted market price of Makers Limited on the date of issue is ₹ 25 per share.

Makers Limited also agrees to pay additional consideration of ₹ 15,00,000, if the cumulative profit earned by D Limited exceeds ₹ 1,00,00,000 over the next three years. On the date of acquisition, D Limited assessed and determined that it is considered probable that the extra consideration will be paid. The fair value of this consideration on the date of acquisition is ₹ 9,80,000. D Limited incurred ₹ 1,50,000 in relation to the acquisition. Makers Ltd. measures non-controlling interest at fair value.

How will the acquisition of D Ltd. be accounted by Makers Limited, under Ind AS 103? Prepare detailed workings and pass the necessary journal entries. (14 Marks)

Solution — ICAI

1. Computation of Goodwill / Capital reserve on consolidation as per Ind As 103

Particulars ₹

Cost of investment:

Share exchange (50,000 x 25)	12,50,000
Cash consideration	50,00,000
Contingent consideration	9,80,000

Consideration transferred at date of acquisition [A] 72,30,000

Fair value of non-controlling interest at date of acquisition

(1,00,000 x 35% x ₹ 12) [B]	4,20,000
Total [C] = [A] + [B]	76,50,000
Net assets acquired at date of acquisition [D]	(80,00,000)
Capital Reserve [D] – [C]	3,50,000

In a business combination, acquisition-related costs (including stamp duty) are expensed in the period in which such costs are incurred and are not included as part of the consideration transferred. Therefore, ₹ 1,50,000 incurred by D Ltd. in relation to

acquisition, will be ignored by Makers Ltd.

Journal entry at the date of acquisition by Makers Limited as per Ind AS 103:

₹ ₹

Identifiable net assets Dr.	80,00,000
To Equity share capital (50,000 x 10)	5,00,000
To Securities Premium (50,000 x 15)	7,50,000
To Cash	50,00,000

To Provision for contingent consideration to D Ltd. 9,80,000

To Non-controlling Interest	4,20,000
To Gain on bargain purchase	3,50,000

Or

₹ ₹

Identifiable net assets Dr.	80,00,000
To Purchase consideration	72,30,000
To Non-controlling Interest	4,20,000
To Gain on bargain purchase	3,50,000

Note: Since ₹ 1,50,000 is incurred by D Ltd., no entry is passed for it in the books of

Makers Ltd.

Q72 · Measurement period (provisional accounting)

SM Ch 12 · Illustration 22 · Theory

Illustration 22

Entity X acquired 100% shareholding of Entity Y on 1st April, 20X1 and had completed the preliminary purchase price allocation and accordingly recorded net assets of ₹ 100 million against the purchase consideration of 150 million. Entity Y had significant carry forward losses on which deferred tax asset was not recorded due to lack of convincing evidence on the acquisition date. However, on 31st March, 20X2, Entity Y won a significant contract which is expected to generate enough taxable income to recoup the losses. Accordingly, the deferred tax asset was recorded on the carry forward losses on 31st March, 20X2.

Whether the aforesaid losses can be adjusted with the Goodwill recorded based on the preliminary purchase price allocation?

Solution — ICAI

Solution

No, as per the requirement of Ind AS 103, changes to the net assets are allowed which results from the discovery of a fact which existed on the acquisition date. However, change of facts resulting in recognition and de-recognition of assets and liabilities after the acquisition date will be accounted in accordance with other Ind AS. In the above scenario deferred tax asset was not eligible for recognition on the acquisition date and accordingly the new contract on 31st March, 20X2 will tantamount to change of estimate and accordingly will not impact the Goodwill amount.

Q73 · Measurement period (provisional accounting)

SM Ch 12 · Illustration 23 · Numerical

Illustration 23

ABC Ltd. acquires XYZ Ltd. in a business combination on 15th January, 20X1. Few days before the date of acquisition, one of XYZ Ltd.'s customers had claimed that certain amounts were due by XYZ Ltd. under penalty clauses for completion delays included in the contract.

ABC Ltd. evaluates the dispute based on the information available at the date of acquisition and concludes that XYZ Ltd. was responsible for at least some of the delays in completing the contract. Based on the evaluation, ABC Ltd. recognises ₹ 1 crore towards this liability which is its best estimate of the fair value of the liability to the customer based on the information available at the date of acquisition.

In October, 20X1 (within the measurement period), the customer presents additional information as per which ABC Ltd. concludes the fair value of liability on the date of acquisition to be 2 crore.

ABC Ltd. continues to receive and evaluate information related to the claim after October, 20X1. Its evaluation doesn't change till February, 20X2 (i.e. after the measurement period), when it concludes that the fair value of the liability for the claim at the date of acquisition is ₹ 1.9 crore. ABC Ltd. determines that the amount that would be recognised with respect to the claim under Ind AS 37, Provisions, Contingent Liabilities and Contingent Assets as at February, 20X2 is ₹ 2.2 crore.

How should the adjustment to the provisional amounts be made in the financial statements during and after the measurement period?

Solution — ICAI

Solution

The consolidated financial statements of ABC Ltd. for the year ended 31st March, 20X1 should include ₹ 1 crore towards the contingent liability in relation to the customer claim.

When the customer presents additional information in support of its claim, the incremental liability of ₹ 1 crore (₹ 2 crore – ₹ 1 crore) will be adjusted as a part of acquisition accounting as it is within the measurement period. In its financial statements for the year ending on 31st March, 20X2, ABC Ltd. will disclose the amounts and explanations of the adjustments to the provisional values recognized during the current reporting period. Therefore, it will disclose that the comparative information for the year ending on 31st March, 20X1 is adjusted retrospectively to increase the fair value of the item of liability at the acquisition date by ₹ 1 crore, resulting in a corresponding increase in goodwill.

The information resulting in the decrease in the estimated fair value of the liability for the claim in February, 20X2 was obtained after the measurement period. Accordingly, the decrease is not recognised as an adjustment to the acquisition accounting. If the amount determined in accordance with Ind AS 37 subsequently exceeds the previous estimate of the fair value of the liability, then ABC Ltd. recognises an increase in the liability. As the change has occurred after the end of the measurement period, the increase in the liability amounting to ₹ 20 lakh (₹ 2.2 crore – ₹ 2 crore) is recognised in profit or loss.

Q74 · Measurement period (provisional accounting)

SM Ch 12 · Test Your Knowledge Q3 · Theory

3. **Scenario 1: New information on the fair value of an acquired loan**

Bank F acquires Bank E in a business combination in October, 20X1. The loan by Bank E to Borrower B is recognised at its provisionally determined fair value. In December 20X1, F receives Borrower B's financial statements for the year ended 30th September, 20X1, which indicate significant decrease in Borrower B's income from operations. Basis this, the fair value of the loan to B at the acquisition date is determined to be less than the amount recognised earlier on a provisional basis.

Scenario 2: Decrease in fair value of acquired loan resulting from an event occurring during the measurement period.

Bank F acquires Bank E in a business combination in October, 20X1. The loan by Bank E to Borrower B is recognised at its provisionally determined fair value. In December 20X1, F receives information that Borrower B has lost its major customer earlier that month and this is expected to have a significant negative effect on B's operations.

Comment on the treatment done by Bank F.

Solution — ICAI

3. **Scenario 1:** The new information obtained by F subsequent to the acquisition relates to facts and circumstances that existed at the acquisition date. Accordingly, an adjustment (i.e., decrease) to in the provisional amount should be recognised for loan to B with a corresponding increase in goodwill.

Scenario 2: Basis this, the fair value of the loan to B will be less than the amount recognised earlier at the acquisition date. The new information resulting in the change in the estimated fair value of the loan to B does not relate to facts and circumstances that existed at the acquisition date, but rather is due to a new event i.e., the loss of a major customer subsequent to the acquisition date. Therefore, based on the new information, F should determine and recognise an allowance for loss on the loan in accordance with Ind AS 109, *Financial Instruments: Recognition and Measurement*, with a corresponding charge to profit or loss; goodwill is not adjusted.

(F) What is part of the combination

Q75 · What is part of the business combination; pre-existing relationships

SM Ch 12 · Illustration 24 · Numerical

Illustration 24

Progressive Ltd. is being sued by Regressive Ltd. for an infringement of its Patent. At 31st March, 20X2, Progressive Ltd. recognised a ₹ 10 million liability related to this litigation.

On 30th July, 20X2, Progressive Ltd. acquired the entire equity of Regressive Ltd. for ₹ 500 million. On that date, the estimated fair value of the expected settlement of the litigation is ₹ 20 million.

Recommend the accounting for such litigation liability at the time of business combination of Progressive Ltd. and Regressive Ltd.

Solution — ICAI

Solution

In the above scenario the litigation is in substance settled with the business combination transaction and accordingly ₹ 20 million being the fair value of the litigation liability will be considered as paid for settling the litigation claim and will be not included in the business combination. Accordingly, the purchase price will reduce by ₹ 20 million and the difference between ₹ 20 million and ₹ 10 million will be recorded in income statement of the Progressive limited as loss on settlement of the litigation.

Q76 · What is part of the business combination; pre-existing relationships

PYQ May 2026 · MCQ 8 · 2 marks · Theory

(Case Scenario-II facts (1)-(3) as in MCQ 6 above.)

8. Determine the amount of consideration for Business Combination for acquiring Sour Ltd.

(A) ₹ 192.40 lakhs

(B) ₹ 187.60 lakhs

(C) ₹ 200 lakhs

(D) ₹ 194 lakhs

Solution — app-written (ICAI suggested answer not in the repo; figures match ICAI's published key/answer)

ICAI answer key: (B) ₹ 187.60 lakhs.

Working (app-written, reproduces ICAI's key):

Particulars	₹ lakhs
Agreed total consideration	200.00
Less: reimbursement of sellers' transaction cost — acquisition-related cost, expensed (not consideration)	(4.00)
Less: salary to two shareholders as general managers for post-combination service: ₹ 40,000 × 4 quarters × 2 years × 2 persons — employee benefit expense	(6.40)
Less: settlement of pre-existing legal case — accounted separately (Ind AS 103.51–52)	(2.00)
Consideration for the business combination	**187.60**

Q77 · Contingent payments to employees or selling shareholders

SM Ch 12 · Illustration 25 · Numerical

Illustration 25

KKV Ltd acquires a 100% interest in VIVA Ltd, a company owned by a single shareholder who is also the KMP in the Company, for a cash payment of USD 20 million and a contingent payment of USD 2 million. The terms of the agreement provide for contingent payment 2 years after the acquisition if, the following conditions are met:

- *the EBIDTA margins of the Company after 2 years post-acquisition is 21%.*
- *the former shareholder continues to be employed with VIVA Ltd for at least 2 years after the acquisition. No part of the contingent payment will be paid if the former shareholder does not complete the 2 year employment period.*

Determine the purchase consideration in the above case.

Solution — ICAI

Solution

In the above scenario the former shareholder is required to continue in employment and the contingent consideration will be forfeited if the employment is terminated or if he resigns. Accordingly, only USD 20 million is considered as purchase consideration and the contingent consideration is accounted as employee cost and will be accounted as per the other Ind AS.

Q78 · Contingent payments to employees or selling shareholders

SM Ch 12 · Illustration 26 : Contingent consideration- Payments to employees who are former owners · Numerical

Illustration 26 : Contingent consideration- Payments to employees who are former owners of acquiree

ABC Ltd. acquires all of the outstanding shares of XYZ Ltd. in a business combination. XYZ Ltd. had three shareholders with equal shareholdings, two of whom were also senior-level employees of XYZ Ltd. and would continue as employee post-acquisition of shares by ABC Ltd.

- *The employee shareholders each will receive ₹ 60,00,000 plus an additional payment of ₹ 1,50,00,000 to 2,00,00,000 based on a multiple of earnings over the next two years.*
- *The non-employee shareholders each receive ₹ 1,00,00,000.*

The additional payment of each of these employee shareholders will be forfeited if they leave the employment of XYZ Ltd. at any time during the two years following its acquisition by ABC Ltd. The salary received by them is considered reasonable remuneration for their services.

How much amount is attributable to post combination services?

Solution — ICAI

Solution

Paragraph B55(a) of Ind AS 103 provides an indication that a contingent consideration arrangement in which the payments are automatically forfeited if employment terminates is remuneration for post-combination services.

Arrangements in which the contingent payments are not affected by employment termination may indicate that the contingent payments are additional consideration rather than remuneration.

In accordance with the above, in the instant case, the additional consideration of ₹ 1,50,00,000 to ₹ 2,00,00,000 represents compensation for post-combination services, as the same represents that part of the payment which is forfeited if the former shareholder does not remain in the employment of XYZ Ltd. for two years following the acquisition - i.e., only ₹ 60,00,000 is attributed to consideration in exchange for the acquired business.

Q79 · Contingent payments to employees or selling shareholders

ICAI Practice Questions · Ch 12 Q6

6. Entity A acquires entity B. Entity A agrees with the former shareholders of entity B to pay ₹ 900, with an additional payment of ₹ 500 if the subsequent earnings of entity B reach a specified target in three years. The former shareholders also become employees. On the acquisition date, the fair value of the net assets of entity B amount to ₹ 850, and the fair value of additional payment is estimated at ₹ 200. At the acquisition date, the outflow of additional payment is not probable.

   Over the next three years, the cumulative earnings of entity B (before considering the effects of the additional payments) amount to ₹ 1,050. At the end of year three, entity A pays ₹ 500 as the conditions were met.

   State the impact on the financial position and results of classifying the payments as remuneration and contingent consideration.

Solution — ICAI

6. The impact on the financial position and results of classifying the payments as remuneration and contingent consideration is tabulated as follows:

	Additional Payment is classified as	
	Remuneration	**Contingent consideration**
Consideration	900	900
Fair value of additional payment	0	200
Total consideration	**900**	**1,100**
Fair value of net assets	(850)	(850)
Goodwill at acquisition date	**50**	**250**
Subsequent changes in additional payment	0	0
Total Goodwill	**50**	**250**
Cumulative earnings (before considering additional payment)	1,050	1,050
Impact of additional payment	(500)	(300)
Reported results across three years	**550**	**750**

Q80 · Replacement and non-replacement share-based awards

SM Ch 12 · Illustration 27 · Numerical

Illustration 27

Green Ltd acquired Pollution Ltd. As a part of the arrangement Green Ltd. had to replace the Pollution Ltd.'s existing equity-settled award. The original awards specify a vesting period of five years. At the acquisition date, Pollution Ltd employees have already rendered two years of service.

As required, Green Ltd replaced the original awards with its own share-based payment awards (replacement award). Under the replacement awards, the vesting period is reduced to 2 year (from the acquisition date).

The value (market-based measure) of the awards at the acquisition date are as follows:

- *original awards: ₹ 500*
- *replacement awards: ₹ 600*

As of the acquisition date, all awards are expected to vest.

Determine the accounting for the above replacement award.

Solution — ICAI

Solution

Pre-combination period

The value of the replacement awards will have to be allocated between the pre-combination and post combination period. As of the acquisition date, the fair value of the original award (₹ 500) will be multiplied by the service rendered upto acquisition date (2 years) divided by greater of original vesting period (5 years) or new vesting period (4 years). Accordingly, ₹ 500 x 2/5= ₹ 200 will be considered as pre-combination service and will be included in the purchase consideration.

Post- Combination period

The fair value of the award on the acquisition date is ₹ 600 which means the difference between the replacement award which is ₹ 600 and the amount allocated to pre-combination period (₹ 200) is ₹ 400 which will be now recorded over the remaining vesting period which is 2 years as an employee compensation cost.

Q81 · Replacement and non-replacement share-based awards

SM Ch 12 · Illustration 28 · Numerical

Illustration 28

P Ltd. a real estate company acquires Q Ltd. another construction company which has an existing equity settled share-based payment scheme. The awards vest after 5 years of employee service. At the acquisition date, Company Q's employees have rendered 2 years of service. None of the awards are vested at the acquisition date. P did not replace the existing share-based payment scheme but reduced the remaining vesting period from 3 years to 2 years. Company P determines that the market-based measure of the award at the acquisition date is ₹ 500 (based on measurement principles and conditions at the acquisition date as per Ind AS 102).

Determine the accounting for market-based measure of the award.

Solution — ICAI

Solution

The market-based measure or the fair value of the award on the acquisition date of 500 is allocated to NCI and post combination employee compensation expense. The portion allocable to pre-combination period is ₹ 500 x 2/5 = ₹ 200 which will be included in pre-combination period and is allocated to NCI on the acquisition date. The amount is computed based on original vesting period.

The remaining expense which is ₹ 500 – ₹ 200 = ₹ 300 is accounted over the remaining vesting period of 2 years as compensation expenses.

Q82 · Replacement and non-replacement share-based awards

ICAI Practice Questions · Ch 12 Q4

4. Entity X acquired entity Y in a business combination as per Ind AS 103. There is an existing share-based plan in entity Y with a vesting condition for 3 years in which 2 years have already lapsed at the date of such business acquisition. Entity X agreed to replace the existing award for the employees of combined entity. The details are as below –

Acquisition date fair value of share-based payment plan	₹ 300
Number of years to vest after acquisition	1 year
Fair Value of award which replaces existing plan	₹ 400

Calculate the share-based payment values?

Solution — ICAI

4. Pre-acquisition period = 2

Post-acquisition period = 1

Total fair value at acquisition date = ₹ 300

Value to be recorded as per business combination under Ind AS 103 = ₹ 300/3 x 2 = ₹ 200

Value to be recorded as per Ind AS 102 (**A**) = ₹ 300/3 x 1 = ₹ 100

Fair value of the replacement of such award = ₹ 400

Difference from acquisition date fair value (**B**) = ₹ 400 – ₹ 300 = ₹ 100

Total value to be accounted over vesting period as per Ind AS 102 = A + B

= ₹ 100 + ₹ 100 = ₹ 200

Q83 · Replacement and non-replacement share-based awards

MTP May 2025 S-II · Part II Q1 · Numerical

1. The balance sheet of Professional Ltd. and Dynamic Ltd. as of 31st March, 20X2 is given

below: I₹ in lakhs

Assets Professional Dynamic

Ltd. Ltd.

Non-Current Assets:

Property, plant and equipment	300	500
Investment	400	100
Current assets:		
Inventories	250	150
Financial assets		
Trade receivables	450	300
Cash and cash equivalents	200	100
Others	400	230
Total	2,000	1,380

Equity and Liabilities

Equity

Share capital- Equity shares of ₹ 100 each of

Dynamic Ltd. and ₹ 10 each of Professional

Ltd.	500	400
Other Equity	810	225

Non-Current liabilities:

Financial liabilities

Long term borrowings	250	200
Long term provisions	50	70
Deferred tax	40	35

Current Liabilities:

Financial liabilities

Short term borrowings	100	150
Trade payables	250	300
Total	2,000	1,380

Other information

1. Professional Ltd. acquired 70% shares of Dynamic Ltd. on 1st April, 20X2 by issuing its own shares in the ratio of 1 share of Professional Ltd. for every 2 shares of Dynamic Ltd. The fair value of the shares of Professional Ltd was ₹ 40 per share.

2. The fair value exercise resulted in the following: (all nos. in Lakh)

a. Fair value of PPE on 1st April, 20X2 was ₹ 350 lakhs.

b. Professional Ltd also agreed to pay an additional payment as consideration that is higher of ₹ 35 lakh and 25% of any excess profits in the first year, after acquisition, over its profits in the preceding 12 months made by Dynamic Ltd. This additional amount will be due after 2 years. Dynamic Ltd has earned ₹ 10 lakh profit in the preceding year and expects to earn another ₹ 20 Lakh.

c. In addition to the above, Professional Ltd also agreed to pay one of the founder shareholders a payment of ₹ 20 lakh provided he stays with the Company for two years after acquisition.

d. Dynamic Ltd had a certain equity settled share-based payment award

(original award) which was replaced by the new awards issued by Professional Ltd. As per the original terms, the vesting period was 4 years and as of the acquisition date the employees of Dynamic Ltd have already served 2 years of service. As per the replaced awards the vesting period has been reduced to one year (one year from the acquisition date). The fair value of the award on the acquisition date was as follows:

i. Original award- ₹ 5 lakh

ii. Replacement award-₹ 8 lakh.

e. Dynamic Ltd had a lawsuit pending with a customer who had made a claim of ₹ 50 lakh. Management reliably estimated the fair value of the liability to be ₹ 5 lakh.

3. The applicable tax rate for both entities is 30%.

You are required to prepare opening consolidated balance sheet of Professional Ltd as on 1st April, 20X2. Assume 10% discount rate. (14 Marks)

Solution — ICAI

1. Consolidated Balance Sheet of Professional Ltd as on 1st April, 20X2

(₹ in Lakhs)

Amount

Assets

Non-Current Assets:

Property, plant and equipment	650
Investment	500
Current assets:	
Inventories	400
Financial assets:	
Trade receivables	750
Cash and cash equivalents	300
Others	630
Total	3,230

Equity and Liabilities

Equity

Share capital- Equity shares of ₹ 10 each 514

Other Equity	1,128.62
NCI	154.95
Non-Current liabilities:	
Long term borrowings	450
Long term provisions (50+70+28.93)	148.93
Deferred tax	28.5
Current Liabilities:	
Short term borrowings	250
Trade payables	550
Provision for Lawsuit Damages	5
Total	3,230

Notes:

a. As per Ind AS 103, the acquirer is required to record the assets and liabilities acquired at their respective fair value. Accordingly, the PPE of Dynamic Ltd. will be recorded at ₹ 350 lakhs.

b. The value of replacement award is allocated between consideration transferred and post combination expense. The portion attributable to purchase consideration is determined based on the fair value of the replacement award for the service rendered till the date of the acquisition. Accordingly, ₹ 2.5 lakhs (5 x 2/4) is considered as a part of purchase consideration and is credited to Professional Ltd equity as this will be settled in its own equity. Since the fair value of the award on the acquisition date is ₹ 8 lakhs, the balance of ₹ 5.5 lakhs (8 – 2.5) will be recorded as employee expense in the books of Dynamic Ltd over the remaining life, which is 1 year in this scenario. (Para B59 of Ind AS 103)

c. There is a difference between contingent consideration and deferred consideration. In the given case, ₹ 35 lakhs is the minimum payment to be paid after 2 years and accordingly will be considered as deferred consideration. The other element is if a company meet certain target then they will get 25% of that or ₹ 35 lakhs whichever is higher. In the given case, the minimum what is expected to be paid has been considered and the fair value of the contingent consideration has been considered as zero. The impact of time value on deferred consideration has been given @ 10%.

d. The additional consideration of ₹ 20 lakhs to be paid to the founder shareholder is contingent to him/her continuing in employment and hence this will be considered as employee compensation and will be recorded as post combination expenses in the income statement of Dynamic Ltd.

Working Notes:

1. Computation for Purchase consideration

Particulars Amount

Share capital of Dynamic Ltd	4,00,00,000
Number of shares	4,00,000
Shares to be issued 2:1	2,00,000
Fair value ₹ per share	40
₹ in lakhs	
PC (2,00,000 x 70% x ₹ 40 per share) (A)	56.00
Deferred consideration after discounting ₹ 35 lakhs	
for 2 years @ 10% (B)	28.93

Replacement award Market based measure of the

acquiree award (5) x ratio of the portion of the vesting

period completed (2) / greater of the total vesting

period (3) or the original vesting period (4) of the 2.50

acquiree award i.e. (5 x 2/4) (C)

PC in lakhs (A+B+C) 87.43

2. Allocation of Purchase price

Particulars Book value Fair FV adjustment

(A) value (A-B)

(B)

Property, plant and equipment	500	350	(150)
Investment	100	100	-
Inventories	150	150	-
Financial assets:			-
Trade receivables	300	300	-
Cash and cash equivalents	100	100	-
Others	230	230	
Less: Long term borrowings	(200)	(200)	-
Long term provisions	(70)	(70)	-
Deferred tax	(35)	(35)	-
Short term borrowings	(150)	(150)	-
Trade payables	(300)	(300)	-
Contingent liability	-	(5)	(5)
Net assets (X)	625	470	(155)
Deferred Tax Asset on FV adjustment			
(155 x 30%) (Y)		46.50	155
Net assets (X+Y)		516.5	

Non-controlling interest (516.50 x 30%) 154.95

rounded off

Purchase consideration (PC)	87.43
Capital Reserve (Net assets – NCI –	
PC)	274.12

3. Computation of consolidated amounts of Consolidated financial

statements

Professional Dynamic PPA Total

Ltd. Ltd. (pre- Allocation

acquisition)

Assets

Non-Current Assets:

Property, plant and equipment	300	500	(150)	650
Investment	400	100		500
Current assets:				
Inventories	250	150		400
Financial assets:				
Trade receivables	450	300		750
Cash and cash equivalents	200	100		300
Others	400	230		630
Total	2,000	1,380	(150)	3230

Equity and Liabilities

Equity

Share capital- Equity shares 500

of ₹ 10 each

Shares allotted to Dynamic 14 514

Ltd. (2,00,000 x 70% x ₹ 10

per share)

Other Equity	810		
Replacement award (W.N.1)		2.5	2.5
Security Premium (2,00,000			
shares x 70% x ₹ 30)		42	42
(W.N.1)			
Capital Reserve (W.N.2)		274.12	274.12
Non-controlling interest (W.N.2)	0	154.95	154.95

Non-Current liabilities:

Financial liabilities

Long term borrowings	250	200		450
Long term provisions	50	70	28.93	148.93
(W.N.1)				
Deferred tax (W.N.2)	40	35	(46.5)	28.5

Current Liabilities:

Financial liabilities

Short term borrowings	100	150		250
Trade payable	250	300	0	550
Liability for lawsuit damages			5	5
Total	2,000	755	475	3230

Study-material link: variant of SM Illustration 40 (Ch 12), same facts

① Common control combinations (Appendix C)

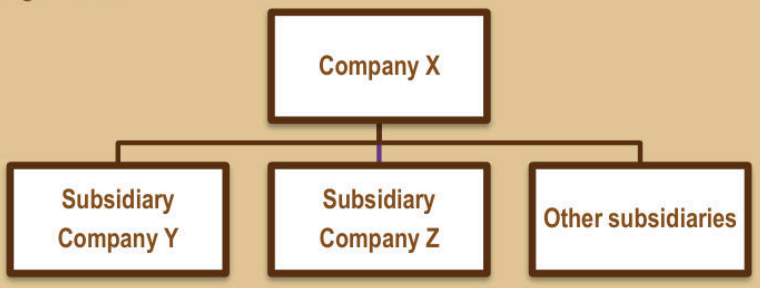
Q84 · Common control business combinations — scope

SM Ch 12 · Illustration 30 · Theory

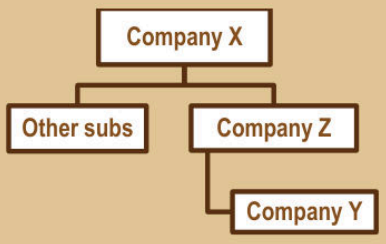
Illustration 30

Company X, the ultimate parent of a large number of subsidiaries, reorganises the retail segment of its business to consolidate all of its retail businesses in a single entity. Under the reorganisation, Company Z (a subsidiary and the biggest retail company in the group) acquires Company X's shareholdings in its one operating subsidiary, Company Y by issuing its own shares to Company X. After the transaction, Company Z will directly control the operating and financial policies of Company Y.

Before Reorganisation



After Reorganisation



Analyse the above transaction.

Solution — ICAI

Solution

In this situation, Company Z pays consideration to Company X to obtain control of Company Y. The transaction meets the definition of a business combination. Prior to the reorganisation, each of the parties are controlled by Company X. After the reorganisation, although Company Y is now owned by Company Z, all two companies are still ultimately owned and controlled by Company X. From the perspective of Company X, there has been no change as a result of the reorganisation. This transaction therefore meets the definition of a common control combination and is within the scope of Ind AS 103.

Q85 · Common control business combinations — scope

SM Ch 12 · Illustration 31 · Theory

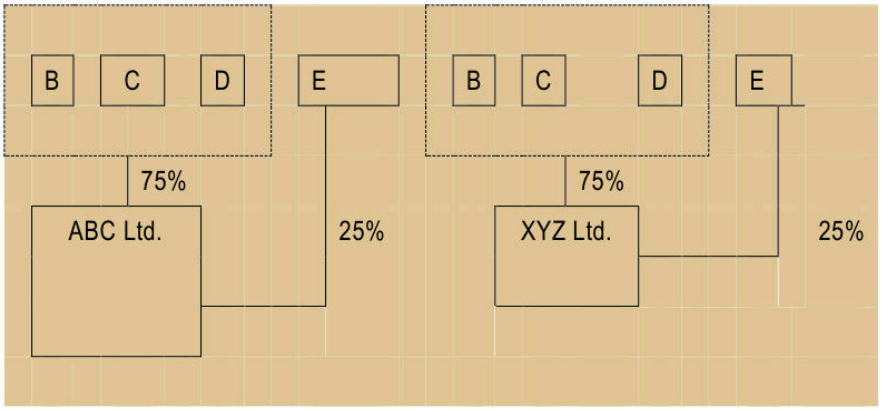
Illustration 31

ABC Ltd. and XYZ Ltd. are owned by four shareholders B, C, D and E, each of whom holds 25% of the shares in each company. Shareholders B, C and D have entered into a shareholders' agreement in terms of governance of ABC Ltd. and XYZ Ltd. due to which they exercise joint control.

Determine whether ABC Ltd. and XYZ Ltd. are under common control.

Solution — ICAI

Solution



Appendix C to Ind AS 103 defines common control business combination as a business combination involving entities or businesses in which all the combining entities or businesses are ultimately controlled by the same party or parties both before and after the business combination, and that control is not transitory.

As per paragraphs 6 and 7 of Appendix C to Ind AS 103, an entity can be controlled by an individual, or by a group of individuals acting together under a contractual arrangement, and that individual or group of individuals may not be subject to the financial reporting requirements of Ind AS. Therefore, it is not necessary for combining entities to be included as part of the same consolidated financial statements for a business combination to be regarded as one having entities under common control. Also, a group of individuals are regarded as controlling an entity when, as a result of contractual arrangements, they collectively have the power to govern its financial and operating policies so as to obtain benefits from its activities, and that ultimate collective power is not transitory.

In the instant case, both ABC Ltd. and XYZ Ltd. are jointly controlled by group of individuals (B, C and D) as a result of contractual arrangement. Therefore, in the current scenario, ABC Ltd. and XYZ Ltd. are considered to be under common control.

Q86 · Common control business combinations — scope

SM Ch 12 · Illustration 32 · Theory

Illustration 32

ABC Ltd. and XYZ Ltd. are owned by four shareholders B, C, D and E, each of whom holds 25% of the shares in each company. However, there are no agreements between any of the shareholders that they will exercise their voting power jointly.

Determine whether ABC Ltd. and XYZ Ltd. are under common control.

Solution — ICAI

Solution

Appendix C to Ind AS 103 defines 'Common control business combination' as business combination involving entities or businesses in which all the combining entities or businesses are ultimately controlled by the same party or parties both before and after the business combination, and that control is not transitory.

Further as per paragraphs 6 and 7 of Appendix C to Ind AS 103, an entity can be controlled by an individual, or by a group of individuals acting together under a contractual arrangement, and that individual or group of individuals may not be subject to the financial reporting requirements of Ind AS. Therefore, it is not necessary for combining entities to be included as part of the same consolidated financial statements for control. Also a group of individuals are regarded as controlling an entity when, as a result of contractual arrangements, they collectively have the power to govern its financial and operating policies so as to obtain benefits from its activities, and that ultimate collective power is not transitory.

In the present case, there is no contractual arrangement between the shareholders who exercise control collectively over either company. Thus, ABC Ltd. and XYZ Ltd. are not considered to be under common control even if there is an established pattern of voting together.

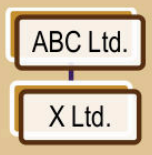
Q87 · Common control business combinations — scope

SM Ch 12 · Illustration 33 · Theory

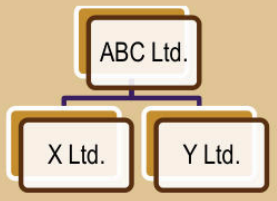
Illustration 33

ABC Ltd. had a subsidiary, namely, X Ltd. which was acquired on 1st April, 2XX0. ABC Ltd. acquires all of the shares of Y Ltd. on 1st April, 2X17. ABC Ltd. transfers the shares in Y Ltd. to X Ltd. on 2nd April, 2X17. How should the above transfer of Y Ltd. into X Ltd. be accounted for in the consolidated financial statements of X Ltd.?

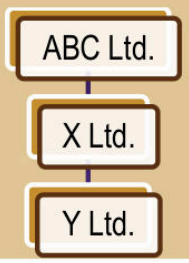
Before:



Intermediate:



After:



Solution — ICAI

Solution

Appendix C to Ind AS 103 defines common control business combination as business combination involving entities or businesses in which all the combining entities or businesses are ultimately controlled by the same party or parties both before and after the business combination, and that control is not transitory.

As per paragraph 7 of Appendix C to Ind AS 103, a group of individuals are regarded as controlling an entity when, as a result of contractual arrangements, they collectively have the power to govern its financial and operating policies so as to obtain benefits from its activities, and that ultimate collective power is not transitory.

The term 'transitory' has been included as part of Appendix C to Ind AS 103.

The word 'transitory' has been included in the common control definition to ensure that acquisition accounting applies to those transactions that look as though they are combinations involving entities under common control, but which in fact represent genuine substantive business combinations with unrelated parties.

Based on above, if the intermediate step had been omitted and instead X Ltd. had been the ABC group's vehicle for the acquisition of Y Ltd. - i.e. going straight to the 'after' position - then X Ltd. would have been identified as the acquirer.

Considering X Ltd. and Y Ltd. are under common control (with common parent), it might seem that acquisition accounting is not required because of the specific requirement for common control business combination. However, X Ltd. should be identified as the acquirer and should account for its combination with Y Ltd. using acquisition accounting. This is because X Ltd. would have applied acquisition accounting for Y Ltd. if X Ltd. had acquired Y Ltd directly rather than through ABC Ltd. Acquisition accounting cannot be avoided in the financial statements of X Ltd. simply by placing X Ltd. and Y Ltd. under the common control ABC Ltd shortly before the transaction.

Q88 · Common control business combinations — scope

SM Ch 12 · Test Your Knowledge Q7 · Theory

7. Entity A and entity B provide construction services in India. Entity A is owned by a group of individuals, none of whom has control and does not have a collective control agreement. Entity B is owned by a single individual, Mr. Ram. The owners of entities A and B have decided to combine their businesses. The consideration will be settled in shares of entity B. Entity B issues new shares, amounting to 40% of its issued share capital, to its controlling shareholder, Mr. Ram. Mr. Ram then transfers the shares to the owners of entity A in exchange for their interest in entity A. At this point Mr. Ram controls both entities A and B, owning 100% of entity A and 71.42% of entity B. Mr. Ram had a controlling interest in both entity A and entity B before and after the contribution.

   Is the combination of entities A and B a combination of entities under common control?

Solution — ICAI

7. No. This is not a business combination of entities under common control. Mr. Ram's control of both entities before the business combination was transitory. The substance of the transaction is that entity B has obtained control of entity A. Entity B accounts for this transaction as a business combination under Ind AS 103 using acquisition accounting.

Q89 · Pooling of interests method

SM Ch 12 · Illustration 34 · Theory

Illustration 34

How will the financial statement of the prior periods be restated under common control in the following scenarios:

a) Common Control period extends beyond the start of comparative period

XYZ Ltd acquired PQR Ltd in a common control transaction on 1 October 20X9. The year-end of XYZ Ltd is 31 March. Both XYZ Ltd and PQR Ltd have been controlled by shareholders since their incorporation.

b) Common Control period started in the comparative period

ABC Ltd acquired DEF Ltd in a common control transaction on 1st October 20X9. The year-end of ABC Ltd is 31st March. Both ABC Ltd and DEF Ltd are controlled by shareholder A. A made investment in ABC Ltd in 20X0 and made investment in DEF Ltd on 1st October 20X8.

Solution — ICAI

Solution

Paragraph 9(iii) of Appendix C to Ind AS 103 states that the financial information in the financial statements in respect of prior periods should be restated as if the business combination had occurred from the beginning of the preceding period in the financial statements, irrespective of the actual date of the combination. However, if business combination had occurred after that date, the prior period information shall be restated only from that date.

a) In accordance with Paragraph 9(iii) above, the entity will be required to restate its financial statements as if the business combination had occurred from the beginning of the preceding period in the financial statements, accordingly in the present case XYZ Ltd will have to restate its comparatives for the financial year 20X8-20X9 as if the acquisition had occurred before 1st April 20X8. Additionally, the results of current year of PQR Ltd will be required to include XYZ's financial statements for the period from 1st April 20X9 to 30th September 20X9.

b) In accordance with paragraph 9(iii) above, ABC Ltd will have to restate its comparatives for the financial year ended 20X8-20X9 as if the acquisition had occurred on 1st October 20X8, but not earlier. Additionally, the results of current year of DEF Ltd will be required to include the financial statements of ABC Ltd for the period from 1 April 20X9 to 1st October 20X9.

Q90 · Pooling of interests method

SM Ch 12 · Illustration 35 · Theory

Illustration 35

Entity A owns 100% equity shares of entity B since 01.04.20X1. Entity A arranges loan funding from a financial institution in a new wholly owned subsidiary called "Entity C". The loan is used by Entity C to acquire 100% shareholding in entity B, for cash consideration of ₹ 2,00,000. Entity A applies Ind AS 103 to account for common control transactions and Entity C will adopt the same policy. Fair value of net identifiable assets is ₹ 1,50,000 and carrying value of net identifiable assets is ₹ 1,00,000.

How will Entity C apply acquisition accounting in its consolidated financial statements?

Solution — ICAI

Solution:

As per para 2 of appendix C of Ind AS 103, Common control business combination means a business combination involving entities or businesses in which all the combining entities or businesses are ultimately controlled by the same party or parties both before and after the business combination, and that control is not transitory.

In the above scenario, Entity A controls Entity B before and after the acquisition. After acquisition, entity A controls entity B through entity C.

As per para 8 of appendix C of Ind AS 103, Business combinations involving entities or businesses under common control shall be accounted for using the pooling of interest method.

As per para 9(i) of appendix C of Ind AS 103, the pooling of interest method is considered to involve the assets and liabilities of the combining entities are reflected at their carrying amounts.

Based on the above analysis, Entity C cannot be the acquirer. Entity A has created Entity C and is the seller, so Entity C has effectively been formed and issued shares to effect the business combination. Entity C is not a business and the transaction between entity B and Entity C is not a business combination. It is a reorganisation of entity B. As a result, entity B's assets and liabilities are included in Entity C consolidated financial statements at their pre-combination carrying amounts without a fair value uplift.

Q91 · Pooling of interests method

SM Ch 12 · Illustration 36 · Numerical

Illustration 36

Enterprise Ltd. has 2 divisions Laptops and Mobiles. Division Laptops has been making constant profits while division Mobiles has been invariably suffering losses.

On 31st March, 20X2, the division-wise draft extract of the Balance Sheet was: *(₹ in crores)*

		Laptops	Mobiles	Total
Property, Plant and Equipment cost		250	500	750
Depreciation		(225)	(400)	(625)
Net Property, Plant and Equipment	(A)	25	100	125
Current assets:		200	500	700
Less: Current liabilities		(25)	(400)	(425)
	(B)	175	100	275
Total	(A+B)	200	200	400
Financed by:				
Loan funds		-	300	300
Capital : Equity ₹ 10 each		25	-	25
Surplus		175	(100)	75
		200	200	400

Division Mobiles along with its assets and liabilities was sold for ₹ 25 crores to Turnaround Ltd. a new company, who allotted 1 crore equity shares of ₹ 10 each at a premium of ₹ 15 per share to the members of Enterprise Ltd. in full settlement of the consideration, in proportion to their shareholding in the company. One of the members of Enterprise Ltd. was holding 52% shareholding of the Company.

Assuming that there are no other transactions, you are asked to:

(i) Pass journal entries in the books of Enterprise Ltd.

(ii) Prepare the Balance Sheet of Enterprise Ltd. after the entries in (i).

(iii) Prepare the Balance Sheet of Turnaround Ltd.

Solution — ICAI

Solution

Journal of Enterprise Ltd.

(₹ in crores)

			Dr.	Cr.
(1)	Loan Funds	Dr.	300	
	Current Liabilities	Dr.	400	
	Provision for Depreciation	Dr.	400	
	To Property, Plant and Equipment			500
	To Current Assets			500
	To Proft and Loss			100
	(Being division Mobiles along with its assets and liabilities sold to Turnaround Ltd. for ₹ 25 crores)			

Notes :

(1) Any other alternative set of entries, with the same net effect on various accounts, may be given by the students.

(2) In the given scenario, this demerger will meet the definition of common control transaction. Accordingly, the transfer of assets and liabilities will be derecognized and recognized as per book value and the resultant loss or gain will be recorded in the profit and loss in the books of demerged entity (Enterprise Ltd).

Enterprise Ltd.

Balance Sheet after reconstruction *(₹ in crores)*

ASSETS	Note No.	Amount
Non-current assets		
Property, Plant and Equipment		25
Current assets		
Other current assets		200
		225

EQUITY AND LIABILITIES		
Equity		
Equity share capital (of face value of ₹ 10 each)		25
Other equity (Surplus)		175
Liabilities		
Current liabilities		
Current liabilities		25
		225

Notes to Accounts

		(₹ in crores)
1.	**Other Equity**	
	Surplus (175-100)	75
	Add: Capital Reserve on reconstruction	100
		175

Notes to Accounts: Consequent on transfer of Division Mobiles to newly incorporated company Turnaround Ltd., the members of the company have been allotted 1 crore equity shares of ₹ 10 each at a premium of ₹ 15 per share of Turnaround Ltd., in full settlement of the consideration in proportion to their shareholding in the company.

Balance Sheet of Turnaround Ltd.

(₹ in crores)

ASSETS	**Note No.**	**Amount**
Non-current assets		
Property, Plant and Equipment		100
Current assets		
Other current assets		500
		600
EQUITY AND LIABILITIES		
Equity		
Equity share capital (of face value of ₹ 10 each)	1	10
Other equity	2	(110)

Liabilities		
Non-current liabilities		
Financial liabilities		
Borrowings		300
Current liabilities		
Current liabilities		400
		600

Notes to Accounts

		(₹ in crores)
1.	**Share Capital:**	
	Issued and Paid-up capital	
	1 crore Equity shares of ₹ 10 each fully paid up	10
	(All the above shares have been issued for consideration other than cash, to the members of Enterprise Ltd. on takeover of Division Mobiles from Enterprise Ltd.)	
2.	**Other Equity:**	
	Securities Premium	15
	Capital reserve [25- (600 – 700)]	(125)
		(110)

Working Note:

In the given case, since both the entities are under common control, this will be accounted as follows:

- All assets and liabilities will be recorded at book value
- Identity of reserves to be maintained.
- No goodwill will be recorded.
- Securities issued will be recorded as per the nominal value.

Q92 · Pooling of interests method

SM Ch 12 · Illustration 37 · Numerical

Illustration 37

Maxi Mini Ltd. has 2 divisions - Maxi and Mini. The draft information of assets and liabilities as at 31st October, 20X2 was as under:

		Maxi division	Mini division	Total (in crores)
Property, Plant and Equipment				
Cost		600	300	900
Depreciation		(500)	(100)	(600)
W.D.V.	(A)	100	200	300
Current assets		400	300	700
Less: Current liabilities		(100)	(100)	(200)
	(B)	300	200	500
Total	(A+B)	400	400	800
Financed by :				
Loan funds	(A)	–	100	100
(secured by a charge on property, plant and equipment)				
Own funds:				
Equity capital				50
(fully paid up ₹ 10 per share)				
Other Equity		-	-	650
	(B)	?	?	700
Total (A+B)		400	400	800

It is decided to form a new company Mini Ltd. to take over the assets and liabilities of Mini division.

Accordingly, Mini Ltd. was incorporated to take over at Balance Sheet figures, the assets and liabilities of that division. Mini Ltd. is to allot 5 crore equity shares of ₹ 10 each in the company to the members of Maxi Mini Ltd. in full settlement of the consideration. The members of Maxi Mini Ltd. are therefore to become members of Mini Ltd. as well without having to make any further investment.

(a) *You are asked to pass journal entries in relation to the above in the books of Maxi Mini Ltd. and Mini Ltd. Also show the Balance Sheets of the 2 companies as on the morning of 1st November, 20X2, showing corresponding previous year's figures.*

(b) *The directors of the 2 companies ask you to find out the net asset value of equity shares pre and post demerger.*

(c) *Comment on the impact of demerger on "shareholders wealth".*

Solution — ICAI

Solution

Demerged Company: Mini Division of "Maxi Mini Ltd"

Resulting Company: "Mini Ltd."

(a) Journal of Maxi Mini Ltd. (Demerged Company)

		(₹ in crores)	
		Dr.	Cr.
Current liabilities A/c	Dr.	100	
Loan fund (secured) A/c	Dr.	100	
Provision for depreciation A/c	Dr.	100	
Loss on reconstruction (Balancing figure)	Dr.	300	
To Property, Plant and Equipment A/c			300
To Current assets A/c			300
(Being the assets and liabilities of Mini division taken out of the books on transfer of the division to Mini Ltd., the consideration being allotment to the members of the company of one equity share of ₹ 10 each of that company at par for every share held in the company vide scheme of reorganisation)			

Note: Any other alternatives set of entries, with the same net effect on various accounts, may be given by the students. In the absence of additional information on fair value of the assets transferred it has been assumed that the group of shareholders control both the demerged and the resultant entity. It is expected that students should evaluate all reorganization from common control parameters and aptly highlight the assumptions in the note while solving the question.

Journal of Mini Ltd.

		(₹ in crores)	
		Dr.	Cr.
Property, Plant and Equipment (300-100) A/c	Dr.	200	
Current assets A/c	Dr.	300	
To Current Liabilities A/c			100
To Secured loan funds A/c			100
To Equity share capital A/c			50
To Capital reserve			250
(Being the assets and liabilities of Mini division of Maxi Mini Ltd. taken over and allotment of 5 crores equity shares of ₹ 10 each at part as fully paid up to the members of Maxi Mini Ltd.)			

Maxi Mini Ltd.

Balance Sheet as at 1st November, 20X2

₹ in crore

ASSETS	Note No.	After Reconstruction	Before Reconstruction
Non-current assets			
Property, Plant and Equipment	1	100	300
Current assets			
Other current assets		400	700
		500	1,000
EQUITY AND LIABILITIES			
Equity			
Equity share capital (of face value of ₹ 10 each)		50	50
Other equity	2	350	650
Liabilities			
Non-current liabilities			
Financial liabilities			
Borrowings		-	100
Current liabilities			
Current liabilities		100	200
		500	1,000

Notes to Accounts

		After Reconstruction	*Before Reconstruction*
1.	**Property, Plant and Equipment**	600	900
	Less: Depreciation	(500)	(600)
		100	300
2.	**Other Equity**		
	Other Equity	650	650
	Less: Loss on reconstruction	(300)	–
		350	650

Notes to Accounts: Consequent on reconstruction of the company and transfer of Mini division to newly incorporated company Mini Ltd., the members of the company have been allotted 5 crores equity shares of ₹ 10 each at part of Mini Ltd. The demerged entity and the resultant entity are common control and accordingly the transaction has been accounted at book values of the assets transferred in both the entity.

Mini Ltd.

Balance Sheet as at 1st November, 20X2 *₹ in crore*

ASSETS	**Note No.**	**After reconstruction**
Non-current assets		
Property, Plant and Equipment		200
Current assets		
Other current assets		300
		500
EQUITY AND LIABILITIES		
Equity		
Equity share capital (of face value of ₹ 10 each)		50
Other equity (capital reserve)		250
Liabilities		
Non-current liabilities		
Financial liabilities		
Borrowings		100
Current liabilities		
Current liabilities		100
		500

Notes to Account

	(₹ in crores)
1. **Share Capital:**	
Issued and paid up:	
5 crores Equity shares of ₹ 10 each fully paid up	50
(All the above shares have been issued for consideration other than cash, to the members of Maxi Mini Ltd., on takeover of Mini division from Maxi Mini Ltd.)	

(b) Net asset value of an equity share

	Pre-demerger	*Post-demerger*
Maxi Mini Ltd. :	$\frac{₹\ 700\ \text{crores}}{5\ \text{crores}} = 140$	$\frac{₹\ 400\ \text{crores}}{5\ \text{crores}} = ₹\ 80$
Mini Ltd.:		$\frac{₹\ 300\ \text{crores}}{5\ \text{crores}} = ₹\ 60$

(c) Demerger into two companies has had no impact on "net asset value" of shareholding. Pre-demerger, it was ₹ 140 per share. After demerger, it is ₹ 80 plus ₹ 60 i.e. ₹ 140 per original share.

It is only yield valuation that is expected to change because of separate focusing on two distinct businesses whereby profitability is likely to improve on account of demerger.

Q93 · Pooling of interests method

SM Ch 12 · Illustration 38 · Numerical

Illustration 38

AX Ltd. and BX Ltd. amalgamated from 1st January, 20X2. A new Company ABX Ltd. with shares of ₹ 10 each was formed to take over the businesses of the existing companies.

Summarized Balance Sheet as on 31-12-20X1

₹ in '000

ASSETS	***Note No.***	***AX Ltd***	***BX Ltd***
Non-current assets			
Property, Plant and Equipment		*8,500*	*7,500*
Financial assets			
Investment		*1,050*	*550*

Current assets			
Inventory		1,250	2,750
Financial assets			
Trade receivables		1,800	4,000
Cash and Cash equivalent		450	400
		13,050	15,200
EQUITY AND LIABILITIES			
Equity			
Equity share capital (of face value of ₹ 10 each)		6,000	7,000
Other equity	1	3,050	2,700
Liabilities			
Non-current liabilities			
Financial liabilities			
Borrowings (12% Debentures)		3,000	4,000
Current liabilities			
Financial liabilities			
Trade payables		1,000	1,500
		13,050	15,200

Note:

1.	Other equity	AX Ltd	BX Ltd
	General Reserve	1,500	2,000
	Profit & Loss	1,000	500
	Investment Allowance Reserve	500	100
	Export Profit Reserve	50	100
		3,050	2,700

ABX Ltd. issued a requisite number of shares to discharge the claims of the equity shareholders of the transferor companies. Also new debentures were issued in exchange of the old series of both the companies.

Prepare a note showing purchase consideration and discharge thereof and draft the Balance Sheet of ABX Ltd:

a. *Assuming that both the entities are under common control*

b. *Assuming BX Ltd is a larger entity and their management will take control of the entity ABX Ltd.*

The fair value of net assets of AX and BX limited are as follows:

Assets	AX Ltd. ('000)	BX Ltd. ('000)
Property, Plant and Equipment	9,500	1,000
Inventory	1,300	2,900
Fair value of the business	11,000	14,000

Solution — ICAI

Solution

(a) 1. Calculation of Purchase Consideration

		AX Ltd.		BX Ltd.
		₹ '000		₹ '000
Assets taken over:				
Property, Plant and Equipment		85,00		75,00
Investment		10,50		5,50
Inventory		12,50		27,50
Trade receivables		18,00		40,00
Cash & Cash equivalent		4,50		4,00
Gross Assets		130,50		152,00
Less : Liabilities				
12% Debentures	30,00		40,00	
Trade payables	10,00	(40,00)	15,00	(55,00)
Net Assets taken over		90,50		97,00
Less: Other Equity:				
General Reserve	15,00		20,00	
P & L A/c	10,00		5,00	
Investment Allowance Reserve	5,00		1,00	
Export Profit Reserve	50	(30,50)	1,00	(27,00)
Purchase Consideration		60,00		70,00

Total Purchase Consideration = 130,00 (60,00 of AX Ltd. & 70,00 of BX Ltd.)

2. Discharge of Purchase Consideration

No. of shares to be issued to AX Ltd =

$$\frac{\text{Net Assets taken over of AX Ltd.}}{\text{Net Assets taken over of AX Ltd. and BX Ltd.}} \times \text{Purchase Consideration}$$

No. of shares to be issued to BX Ltd =

$$\frac{\text{Net Assets taken over of BX Ltd.}}{\text{Net Assets taken over of AX Ltd. and BX Ltd.}} \times \text{Purchase Consideration}$$

	AX Ltd. *₹'000*	*BX Ltd.* *₹'000*
$130,00 \times \frac{90,50}{187,50} = 6,27,500$ * Equity shares of ₹ 10 each	62,75	
$130,00 \times \frac{97,00}{187,50} = 6,72,500$ Equity shares of ₹ 10 each		67,25

Balance Sheet of ABX Ltd. as on 1.1.20X2 *₹ in '000*

ASSETS	Note No.	Amount
Non-current assets		
Property, Plant and Equipment		16,000
Financial assets		
Investments		1,600
Current assets		
Inventory		4,000
Trade receivable		5,800
Cash and Cash equivalent		850
		28,250

* The total purchase consideration is to be discharged by ABX Ltd. in such a way that the rights of the shareholders of AX Ltd. and BX Ltd. remain unaltered in the future profits of ABX Ltd.

EQUITY AND LIABILITIES		
Equity		
Equity share capital (of face value of ₹ 10 each)	1	13,000
Other equity	2	5,750
Liabilities		
Non-current liabilities		
Financial liabilities		
Borrowings	3	7,000
Current liabilities		
Trade payable		2,500
		28,250

Notes to Accounts

		(₹ 000)	*(₹ 000)*
1.	**Share Capital**		
	13,00,000 Equity Shares of ₹ 10 each		130,00
2.	**Other Equity**		
	General Reserve (15,00 + 20,00)	35,00	
	Profit & Loss (10,00 + 5,00)	15,00	
	Investment Allowance Reserve (5,00 + 1,00)	6,00	
	Export Profit Reserve (50 + 1,00)	1,50	57,50
3.	**Long Term Borrowings**		
	12% Debentures		70,00

(b) Assuming BX Ltd is a larger entity and their management will take the control of the entity ABX Ltd.

In this case BX Ltd. and AX Ltd. are not under common control and hence accounting prescribed under Ind AS 103 for business combination will be applied. A question arises here is who is the accounting acquirer ABX Ltd which is issuing the shares or AX Ltd. or BX Ltd. As per the accounting guidance provided in Ind AS 103, sometimes the legal acquirer may not be the accounting acquirer. In the given scenario although ABX Ltd. is issuing the shares but BX Ltd. post-merger will have control and is bigger in size which is a clear indicator that BX Ltd. will be an accounting acquirer. This can be justified by the following table:

(In '000s)

	AX Ltd.	BX Ltd.
Fair Value	11,000	14,000
Value per share	10	10
No. of shares	1,100	1,400
i.e. Total No. of shares in ABX Ltd. = 2,500 thousand shares		
Thus, % Held by each Company in Combined Entity	44%	56%

Note: It is a case of Reverse Acquisition.

Accordingly, BX Ltd.'s assets will be recorded at historical cost in the merged financial statements.

(1) Calculation of Purchase Consideration (All figures are in thousands)

We need to calculate the number of shares to be issued by BX Ltd. to AX Ltd. to maintain the same percentage i.e. 56%:

Thus, 700 thousand shares of BX Ltd. (given in the balance sheet) represents 56%. This means that total no. of shares would be 1,250 thousand shares ie 700 thousand shares / 56%.

This implies BX Ltd. would need to issue 550 thousand shares (1,250 less 700) to AX Ltd.

Purchase Consideration = 550 thousand shares x ₹ 20 per share (ie. 14,000 thousand / 700 thousand shares) = ₹ 11,000 thousand.

Balance Sheet of ABX Ltd. as on 1.1.20X2 *₹ in '000*

ASSETS	Note No.	Amount
Non-current assets		
Property, Plant and Equipment (9,500 + 7,500)		17,000
Goodwill (Refer Working Note)		900
Financial assets		
Investment (1,050 + 550)		1,600
Current assets		
Inventory (1,300 + 2,750)		4,050
Trade receivables (1,800 + 4,000)		5,800

Cash and Cash equivalent (450 + 400)		850
		30,200
EQUITY AND LIABILITIES		
Equity		
Equity share capital (of face value of ₹ 10 each)	1	12,500
Other equity	2	8,200
Liabilities		
Non-current liabilities		
Financial liabilities		
Borrowings (12% Debentures)	3	7,000
Current liabilities		
Trade payables		2,500
		30,200

Notes to Accounts

		(₹ 000)	*(₹ 000)*
1.	**Share Capital**		
	1,250,000 Equity Shares of ₹ 10 each (700,000 to BX Ltd and 550,000 as computed above to AX LTD)		1,25,00
2.	**Other Equity**		
	General reserve of BX Ltd	20,00	
	P&L of BX Ltd	5,00	
	Export Profit Reserve of BX Ltd	1,00	
	Investment Allowance Reserve of BX Ltd	1,00	
	Security Premium (550 shares x 10)	5,500	8,200
3.	**Long Term Borrowings**		
	12% Debentures		70,00

Working Note:

Goodwill Computation:

Assets:	**₹ in 000s**
Property, Plant and Equipment	9,500
Investment	1,050
Inventory	1,300
Trade Receivable	1,800
Cash & Cash Equivalent	450
Total Assets	14,100
Less : Liabilities:	
Borrowings	3,000
Trade Payable	1,000
Net Assets	10,100
Purchase Consideration	11,000
Goodwill	900

Q94 · Pooling of interests method

SM Ch 12 · Illustration 39 · Numerical

Illustration 39

On 9th April, 20X2, Shyam Ltd. a listed company started to negotiate with Ram Ltd, which is an unlisted company about the possibility of merger. On 10th May, 20X2, the board of directors of Shyam Ltd. authorized their management to pursue the merger with Ram Ltd. On 15th May, 20X2, management of Shyam Ltd. offered management of Ram Ltd. 12,000 shares of Shyam Ltd. against their total share outstanding. On 31st May, 20X2, the board of directors of Ram Ltd accepted the offer subject to shareholder's vote. On 2nd June, 20X2 both the companies jointly made a press release about the proposed merger.

On 10th June, 20X2, the shareholders of Ram Ltd approved the terms of the merger. On 15th June, the shares were allotted to the shareholders of Ram Ltd.

The market price of the shares of Shyam Ltd was as follows:

Date	Price per share
9th April	70
10th May	75
15th May	60
31st May	70
2nd June	80
10th June	85
15th June	90

What is the acquisition date and what is purchase consideration in the above scenario?

Solution — ICAI

Solution

As per paragraph 8 of Ind AS 103, the acquirer shall identify the acquisition date, which is the date on which it obtains control of the aquiree. In the above scenario, the acquisition date will the date on which the shares were allotted to the shareholders of Ram Ltd. Although the shareholder approval was obtained on 10th June, 20X2 but the shares were issued only on 15th June, 20X2. Accordingly, the purchase consideration will be on the basis of ₹ 90 ie. the market price on that date. Hence total purchase consideration would be ₹ 10,80,000 (ie 12,000 shares x ₹ 90).

Q95 · Pooling of interests method

SM Ch 12 · Illustration 40 · Numerical

Illustration 40

The balance sheet of Professional Ltd. and Dynamic Ltd. as of 31st March, 20X2 is given below:

₹ in lakhs

Assets	Professional Ltd	Dynamic Ltd
Non-Current Assets:		
Property, plant and equipment	300	500
Investment	400	100
Current assets:		
Inventories	250	150
Financial assets		
Trade receivables	450	300
Cash and cash equivalents	200	100
Others	400	230
Total	2,000	1,380
Equity and Liabilities		
Equity		
Share capital- Equity shares of ₹ 100 each of Dynamic Ltd. and ₹ 10 each of Professional Ltd.	500	400
Other Equity	810	225
Non-Current liabilities:		
Financial liabilities		
Long term borrowings	250	200
Long term provisions	50	70
Deferred tax	40	35

Current Liabilities:		
Financial liabilities		
Short term borrowings	100	150
Trade payables	250	300
Total	2,000	1,380

Other information

1. Professional Ltd. acquired 70% shares of Dynamic Ltd. on 1st April, 20X2 by issuing its own shares in the ratio of 1 share of Professional Ltd. for every 2 shares of Dynamic Ltd. The fair value of the shares of Professional Ltd was ₹ 40 per share.

2. The fair value exercise resulted in the following: (all nos. in Lakh)

   a. Fair value of PPE on 1st April, 20X2 was ₹ 350 lakhs.

   b. Professional Ltd also agreed to pay an additional payment as consideration that is higher of ₹ 35 lakh and 25% of any excess profits in the first year, after acquisition, over its profits in the preceding 12 months made by Dynamic Ltd. This additional amount will be due after 2 years. Dynamic Ltd has earned ₹ 10 lakh profit in the preceding year and expects to earn another ₹ 20 Lakh.

   c. In addition to the above, Professional Ltd also agreed to pay one of the founder shareholders a payment of ₹ 20 lakh provided he stays with the Company for two years after acquisition.

   d. Dynamic Ltd had a certain equity settled share-based payment award (original award) which was replaced by the new awards issued by Professional Ltd. As per the original terms, the vesting period was 4 years and as of the acquisition date the employees of Dynamic Ltd have already served 2 years of service. As per the replaced awards the vesting period has been reduced to one year (one year from the acquisition date). The fair value of the award on the acquisition date was as follows:

      i. Original award- ₹ 5 lakh

      ii. Replacement award-₹ 8 lakh.

   e. Dynamic Ltd had a lawsuit pending with a customer who had made a claim of ₹ 50 lakh. Management reliably estimated the fair value of the liability to be ₹ 5 lakh.

3. The applicable tax rate for both entities is 30%.

You are required to prepare opening consolidated balance sheet of Professional Ltd as on 1st April, 20X2. Assume 10% discount rate.

Solution — ICAI

Solution

Consolidated Balance Sheet of Professional Ltd as on 1st April, 20X2 **(₹ in Lakhs)**

	Amount
Assets	
Non-Current Assets:	
Property, plant and equipment	650
Investment	500
Current assets:	
Inventories	400
Financial assets:	
Trade receivables	750
Cash and cash equivalents	300
Others	630
Total	3,230
Equity and Liabilities	
Equity	
Share capital- Equity shares of ₹ 10 each	514
Other Equity	1,128.62
NCI	154.95
Non-Current liabilities:	
Long term borrowings	450
Long term provisions (50+70+28.93)	148.93
Deferred tax	28.5
Current Liabilities:	
Short term borrowings	250
Trade payables	550
Provision for Lawsuit Damages	5
Total	3,230

Notes:

a. As per Ind AS 103, the acquirer is required to record the assets and liabilities acquired at their respective fair value. Accordingly, the PPE of Dynamic Ltd. will be recorded at ₹ 350 lakhs.

b. The value of replacement award is allocated between consideration transferred and post combination expense. The portion attributable to purchase consideration is determined based on the fair value of the replacement award for the service rendered till the date of the acquisition. Accordingly, ₹ 2.5 lakhs (5 x 2/4) is considered as a part of purchase consideration and is credited to Professional Ltd equity as this will be settled in its own equity. Since the fair value of the award on the acquisition date is ₹ 8 lakhs, the balance of ₹ 5.5 lakhs (8 – 2.5) will be recorded as employee expense in the books of Dynamic Ltd over the remaining life, which is 1 year in this scenario. (Para B59 of Ind AS 103)

c. There is a difference between contingent consideration and deferred consideration. In the given case, ₹ 35 lakhs is the minimum payment to be paid after 2 years and accordingly will be considered as deferred consideration. The other element is if a company meet certain target then they will get 25% of that or ₹ 35 lakhs whichever is higher. In the given case, the minimum what is expected to be paid has been considered and the fair value of the contingent consideration has been considered as zero. The impact of time value on deferred consideration has been given @ 10%.

d. The additional consideration of ₹ 20 lakhs to be paid to the founder shareholder is contingent to him/her continuing in employment and hence this will be considered as employee compensation and will be recorded as post combination expenses in the income statement of Dynamic Ltd.

Working Notes:

1. Computation for Purchase consideration

Particulars		Amount
Share capital of Dynamic Ltd		4,00,00,000
Number of shares	4,00,000	
Shares to be issued 2:1	2,00,000	
Fair value ₹ per share		40
		₹ in lakhs
PC (2,00,000 x 70% x ₹ 40 per share) (A)		56.00
Deferred consideration after discounting ₹ 35 lakhs for 2 years @ 10% (B)		28.93
Replacement award Market based measure of the acquiree award (5) x ratio of the portion of the vesting period completed (2) / greater of the total vesting period (3) or the original vesting period (4) of the acquiree award i.e. (5 x 2/4) (C)		2.50
PC in lakhs (A+B+C)		87.43

2. Allocation of Purchase price

Particulars	Book value (A)	Fair value (B)	FV adjustment (A-B)
Property, plant and equipment	500	350	(150)
Investment	100	100	-
Inventories	150	150	-
Financial assets:			-
Trade receivables	300	300	-
Cash and cash equivalents	100	100	-
Others	230	230	
Less: Long term borrowings	(200)	(200)	-
Long term provisions	(70)	(70)	-
Deferred tax	(35)	(35)	-
Short term borrowings	(150)	(150)	-
Trade payables	(300)	(300)	-
Contingent liability	-	(5)	(5)
Net assets (X)	625	470	(155)
Deferred tax Asset on FV adjustment (155 x 30%) (Y)		46.50	155
Net assets (X+Y)		516.5	
Non-controlling interest (516.50 x 30%) rounded off		154.95	
Purchase consideration (PC)		87.43	
Capital Reserve (Net assets – NCI – PC)		274.12	

3. Computation of consolidated amounts of Consolidated financial statements

	Professional Ltd.	*Dynamic Ltd. (pre-acquisition)*	*PPA Allocation*	*Total*
Assets				
Non-Current Assets:				
Property, plant and equipment	300	500	(150)	650
Investment	400	100		500

Current assets:				
Inventories	250	150		400
Financial assets:				
Trade receivables	450	300		750
Cash and cash equivalents	200	100		300
Others	400	230		630
Total	2,000	1,380	(150)	3230

Equity and Liabilities				
Equity				
Share capital- Equity shares of ₹ 10 each	500			
Shares allotted to Dynamic Ltd. (2,00,000 x 70% x ₹ 10 per share)			14	514
Other Equity	810			
Replacement award (W.N.1)			2.5	2.5
Security Premium (2,00,000 shares x 70% x ₹ 30) (W.N.1)			42	42
Capital Reserve (W.N.2)			274.12	274.12
Non-controlling interest (W.N.2)	0		154.95	154.95
Non-Current liabilities:				
Financial liabilities				
Long term borrowings	250	200		450
Long term provisions (W.N.1)	50	70	28.93	148.93
Deferred tax (W.N.2)	40	35	(46.5)	28.5
Current Liabilities:				
Financial liabilities				
Short term borrowings	100	150		250
Trade payable	250	300	0	550
Liability for lawsuit damages			5	5
Total	2,000	755	475	3230

14. EXTRACTS FROM THE FINANCIAL STATEMENTS OF LISTED ENTITIES